Part 4

Calculation of Credit Risk for Non-securitization Exposures: STC Approach

Division 1—General

50. Application of Part 4

(1) This Part applies to an authorized institution which uses the STC approach to calculate its credit risk for non-securitization exposures.

(2) Unless the context otherwise requires, a reference to an authorized institution in this Part is a reference to an authorized institution which uses the STC approach to calculate its credit risk for non-securitization exposures.

51. Interpretation of Part 4

(1) In this Part, unless the context otherwise requires— *(L.N. 137 of 2011)*

attributed risk-weight (歸屬風險權重), in relation to a person to whom an authorized institution has an exposure—

(a) if—

(i) the risk-weight of the exposure is determined in accordance with any of sections 55, 56, 57, 58, 59, 60 and 61; and

(ii) the person (or, where the person is a public sector entity or sovereign foreign public sector entity, the sovereign of the jurisdiction in which the person is incorporated) has an ECAI issuer rating,

means the risk-weight which would be attributable, in accordance with those sections, to a senior and unsecured debt obligation of the person based on that ECAI issuer rating, and on the assumption that no ECAI issue specific rating has been assigned to any debt obligation of the person (or, where the person is a public sector entity or sovereign foreign public sector entity, the sovereign of the jurisdiction in which the person is incorporated);

(b) if—

(i) the risk-weight of the exposure is determined in accordance with any of sections 55, 56, 57, 58, 59, 60 and 61; and

(ii) the person (or, where the person is a public sector entity or sovereign foreign public sector entity, the sovereign of the jurisdiction in which the person is incorporated) does not have an ECAI issuer rating,

means the risk-weight which would be attributable, in accordance with those sections, to an exposure to the person as an obligor who has neither an ECAI issuer rating nor any ECAI issue specific rating assigned to any debt obligation of the person (or, where the person is a public sector entity or sovereign foreign public sector entity, the risk-weight which would be attributable, in accordance with section 57, to an exposure to the person on the assumption that the sovereign of the jurisdiction in which the person is incorporated does not have an ECAI issuer rating); *(L.N. 137 of 2011)*

(c) if the risk-weight of the exposure is determined in accordance with section 63A, 64, 66, 67 or 68A, means the risk-weight which would be attributable to the exposure pursuant to those sections; *(L.N. 156 of 2012)*

cash items (現金項目), in relation to an authorized institution, means all or any of the following—

(a) legal tender notes or other notes, and coins, representing the lawful currency of a country held by the institution;

(b) the institution's holdings of certificates of indebtedness issued by the Government for the issue of legal tender notes;

(c) gold bullion held by the institution, or gold bullion held on an allocated basis for the institution by another person, which is backed by gold bullion liabilities;

(d) gold bullion held on an unallocated basis for the institution by another person which is backed by gold bullion liabilities;

(e) gold bullion held by the institution, or gold bullion held for the institution by another person, which is not backed by gold bullion liabilities;

(f) cheques, drafts and other items drawn on other banks—

(i) which are payable to the account of the institution immediately upon presentation; and

(ii) which are in the process of collection;

(g) unsettled clearing items of the institution which are being processed through any interbank clearing system in Hong Kong;

(h) receivables from transactions in securities (other than repo-style transactions), foreign exchange, and commodities which are not yet due for settlement;

(i) positive current exposure incurred by the institution under transactions in securities (other than repo-style transactions), foreign exchange, and commodities—

(i) which are entered into on a delivery-versus-payment basis; and

(ii) which are outstanding after the settlement date in respect of the transaction concerned;

(j) the amounts of payment made or the current market value of the thing delivered, and the positive current exposure incurred, by the institution under transactions in securities (other than repo-style transactions), foreign exchange, and commodities—

(i) which are entered into on a basis other than a delivery-versus-payment basis; and *(L.N. 156 of 2012)*

(ii) which are outstanding up to and including the fourth business day after the settlement date in respect of the transaction concerned;

comprehensive approach (全面方法), in relation to the use by an authorized institution of recognized collateral which falls within section 80 to reduce the risk-weighted amount of the institution's exposures, means the method of using the recognized collateral set out in Division 7;

corporate (法團) means—

(a) a company; or

(b) a partnership or any other unincorporated body,

which is neither—

(c) a public sector entity, bank or securities firm; nor

(d) an obligor to which an authorized institution has a regulatory retail exposure;

credit equivalent amount (信貸等值數額), in relation to an off-balance sheet exposure, means the credit equivalent amount of the exposure calculated under section 71 or 73, as the case requires;

credit protection covered portion (信用保障涵蓋部分), in relation to an exposure of an authorized institution which is covered by recognized collateral, a recognized guarantee or a recognized credit derivative contract, means that portion of the exposure (which may be all of the exposure) which is covered by the current market value of the recognized collateral, or the maximum liability of the credit protection provider to the institution under the recognized guarantee or recognized credit derivative contract, as the case may be;

credit protection uncovered portion (不受信用保障涵蓋部分), in relation to an exposure of an authorized institution which is covered by recognized collateral, a recognized guarantee or a recognized credit derivative contract, means that portion of the exposure which is not covered by the current market value of the recognized collateral, or the maximum liability of the credit protection provider to the institution under the recognized guarantee or recognized credit derivative contract, as the case may be;

debt securities (債務證券) means any securities other than shares, stocks or import or export trade bills;

exposure (風險承擔), in relation to an authorized institution, means a credit exposure (including an asset) of the institution;

main index (主要指數) means an index by reference to which futures contracts or option contracts are traded on a recognized exchange;

minimum holding period (最短持有期), in relation to collateral or any other thing held by an authorized institution, or by another person, for the institution's benefit (however described), means a period—

(a) which is reasonably likely to be required by the institution to realize the collateral or thing;

(b) which commences on the date of the default by the obligor giving rise to the right on the part of the institution to realize the collateral or thing; and

(c) which ends on the business day (being a day which is not a public holiday in any relevant market for the collateral or thing) on which the institution would be reasonably likely to be able to realize the collateral or thing;

non-qualifying reference obligation (不合資格參照義務) means a reference obligation which is not a qualifying reference obligation;

past due exposure (逾期風險承擔) means an exposure which—

(a) is overdue for more than 90 days; or

(b) has been rescheduled;

principal amount (本金額)—

(a) in relation to an on-balance sheet exposure of an authorized institution—

(i) if the exposure is measured at fair value, means the value of the exposure determined in accordance with section 4A; or

(ii) if the exposure is not measured at fair value, means the book value (including accrued interest) of the exposure; or *(L.N. 137 of 2011)*

(b) in relation to an off-balance sheet exposure of an authorized institution, means—

(i) subject to subparagraph (ii), in the case of an exposure listed in Table 10, the contracted amount of the exposure;

(ii) in the case of an exposure listed in Table 10 arising from an undrawn facility or the undrawn portion of a partially drawn facility, the amount of the undrawn commitment; *(L.N. 175 of 2017)*

(iii) subject to subparagraph (iv), in the case of an exposure listed in Table 11, the notional amount of the exposure;

(iv) in the case of an exposure listed in Table 11 where the stated notional amount of the exposure is leveraged or enhanced by the structure of the exposure, the effective notional amount of the exposure taking into account that the stated notional amount is so leveraged or enhanced, as the case may be;

(v) in the case of an exposure to a person arising from the person holding collateral posted by the institution in a manner that is not bankruptcy remote from the person, the fair value of the collateral; *(L.N. 156 of 2012)*

qualifying reference obligation (合資格參照義務) means a reference obligation which falls within section 287(4) or is issued by a sovereign with a credit quality grade of 1, 2 or 3 as determined in accordance with section 287;

recognized collateral (認可抵押品) means collateral recognized under section 77;

recognized credit derivative contract (認可信用衍生工具合約) means—

(a) a credit derivative contract recognized under section 99(1); or

(b) a credit derivative contract which falls within section 99(2) or (3) to the extent that it is deemed under that section to be a recognized credit derivative contract;

recognized guarantee (認可擔保) means a guarantee recognized under section 98;

regulatory retail exposure (監管零售風險承擔) means an exposure of an authorized institution which shall be allocated a risk-weight of 75% under section 64;

rescheduled (重組), in relation to an on-balance sheet exposure of an authorized institution—

(a) subject to paragraph (b), means the original terms of repayment of the exposure have been revised because of the inability of the obligor to meet the original repayment terms;

(b) does not include an exposure, the original terms of repayment of which have been revised as referred to in paragraph (a), where the exposure has subsequently been serviced by the obligor in accordance with the revised repayment terms continuously for—

(i) in the case of an exposure with monthly payments (including both interest and principal), a period of not less than 6 months; or

(ii) in any other case, a period of not less than 12 months;

SFT risk-weighted amount (SFT風險加權數額), in relation to SFTs, means the sum of the default risk risk-weighted amounts for all counterparties to the SFTs where the default risk risk-weighted amount for each of the counterparties is calculated as the product of—

(a) the sum of default risk exposures across all the SFTs with the counterparty calculated under—

(i) section 76A(4), (5), (6) and (7);

(ii) section 96; or

(iii) section 97,

as the case requires, net of specific provisions; and

(b) the applicable risk-weight determined under section 74(1); *(L.N. 156 of 2012)*

simple approach (簡易方法), in relation to the use by an authorized institution of recognized collateral which falls within section 79 to reduce the risk-weighted amount of the institution's exposures, means the method of using the recognized collateral set out in Division 6;

small business (小型企業), in relation to a regulatory retail exposure—

(a) means—

(i) subject to paragraph (b), an unlisted company with an annual turnover not exceeding $100 million which, if required to give consent under the small business consent provisions, has given its consent for the disclosure of its credit data to a commercial credit reference agency; or

(ii) an unincorporated enterprise with an annual turnover not exceeding $100 million which, if required to give consent under the small business consent provisions, has given its consent for the disclosure of its credit data to a commercial credit reference agency;

(b) does not include an unlisted company which belongs to a group of companies with an annual turnover exceeding $100 million; *(L.N. 175 of 2017)*

small business consent provisions (小型企業同意條文) means the provisions of—

(a) the Commercial Credit Reference Agency framework set out in the Monetary Authority's Supervisory Policy Manual Module 1C – 7 entitled "The Sharing and Use of Commercial Credit Data through a Commercial Credit Reference Agency"; or

(b) any guidelines issued by the Monetary Authority, The Hong Kong Association of Banks, or The DTC Association, relating to the framework referred to in paragraph (a);

sovereign foreign public sector entity (屬官方實體的非本地公營單位)—

(a) subject to paragraph (b), means a foreign public sector entity which is regarded as a sovereign for the purposes of calculating the capital adequacy ratio of a bank by the relevant banking supervisory authority of the jurisdiction in which the entity and the bank are incorporated;

(b) does not include a restricted foreign public sector entity;

standard supervisory haircut (標準監管扣減), in relation to the comprehensive approach to the treatment of recognized collateral, means a haircut specified in Schedule 7.

(2) In subsection (1), for the purposes of the definition of ***attributed risk-weight***—

ECAI issue specific rating (ECAI特定債項評級)—

(a) in relation to any debt obligation of a person that is not a corporate incorporated in India, means a short-term credit assessment rating or long-term credit assessment rating that is assigned to the debt obligation by an ECAI within the meaning of paragraph (a), (b), (c), (d) or (e) of the definition of ***external credit assessment institution*** in section 2(1), and is for the time being neither withdrawn nor suspended by that ECAI; or

(b) in relation to any debt obligation of a person that is a corporate incorporated in India, means a short-term credit assessment rating or long-term credit assessment rating that is assigned to the debt obligation by an ECAI, and is for the time being neither withdrawn nor suspended by that ECAI;

ECAI issuer rating (ECAI發債人評級)—

(a) in relation to a person that is not a corporate incorporated in India, means a long-term credit assessment rating that is assigned to the person by an ECAI within the meaning of paragraph (a), (b), (c), (d) or (e) of the definition of ***external credit assessment institution*** in section 2(1), and is for the time being neither withdrawn nor suspended by that ECAI; or

(b) in relation to a person that is a corporate incorporated in India, means a long-term credit assessment rating that is assigned to the person by an ECAI, and is for the time being neither withdrawn nor suspended by that ECAI. *(L.N. 137 of 2011)*

Division 2—Calculation of Credit Risk under STC Approach, Exposures to be Covered in Calculation, and Classification of Exposures

52. Calculation of risk-weighted amount of exposures

(1) Subject to section 53, an authorized institution shall calculate an amount representing the degree of credit risk to which the institution is exposed by aggregating—

(a) the risk-weighted amount of the institution's on-balance sheet exposures; and

(b) the risk-weighted amount of the institution's off-balance sheet exposures.

(2) For the purposes of subsection (1)(a)—

(a) subject to paragraph (b), an authorized institution shall calculate the risk-weighted amount of the institution's on-balance sheet exposures by multiplying the principal amount of each such exposure, net of specific provisions, by the relevant risk-weight attributable to the exposure determined under sections 55, 56, 57, 58, 59, 60, 61, 62, 63, 63A, 64, 65, 66, 67, 68 and 68A; *(L.N. 156 of 2012)*

(b) subject to paragraphs (c) and (d), an authorized institution may reduce the risk-weighted amount of the institution's on-balance sheet exposure by taking into account the effect of any recognized credit risk mitigation in respect of the exposure in the manner set out in Divisions 5, 6, 7, 8, 9 and 10; *(L.N. 156 of 2012)*

(c) where an on-balance sheet exposure of an authorized institution has an ECAI issue specific rating, the institution shall not under paragraph (b) take into account the effect of any recognized credit risk mitigation applicable to the exposure which has already been taken into account in that rating; *(L.N. 156 of 2012)*

(d) if an authorized institution has bought credit protection for an exposure and the credit protection is in the form of a single-name credit default swap that falls within section 226J(1), the institution must not take into account the credit risk mitigation effect of the swap when calculating the risk-weighted amount of the exposure. *(L.N. 156 of 2012)*

(3) For the purposes of subsection (1)(b)—

(a) subject to paragraph (b), in the case of an authorized institution's off-balance sheet exposures that are counterparty credit risk exposures in respect of OTC derivative transactions, credit derivative contracts or SFTs—

(i) the institution must, if it has an IMM(CCR) approval and an approval to use the IMM approach to calculate the market risk capital charge for specific risk for interest rate exposures, calculate the risk-weighted amount of those off-balance sheet exposures as the sum of the amounts specified in subsection (3A)(a), (b) and (c);

(ii) the institution must, if it has an IMM(CCR) approval but does not have an approval to use the IMM approach to calculate the market risk capital charge for specific risk for interest rate exposures, calculate the risk-weighted amount of those off-balance sheet exposures as the sum of the amounts specified in subsection (3A)(a), (b) and (d); and

(iii) the institution must, if it does not have an IMM(CCR) approval for any of its transactions or contracts, calculate the risk-weighted amount of those off-balance sheet exposures as the sum of the CEM risk-weighted amount, the SFT risk-weighted amount, and the CVA risk-weighted amount determined using the standardized CVA method; *(L.N. 156 of 2012)*

(ab) subject to paragraph (b), in the case of an authorized institution's off-balance sheet exposures that do not fall within paragraph (a), the institution must calculate the risk-weighted amount of each of those exposures by—

(i) converting the principal amount of the exposure, net of specific provisions, into its credit equivalent amount in the manner set out in section 71 or 73, as the case requires; and

(ii) multiplying the credit equivalent amount by the exposure's relevant risk-weight determined under section 74; *(L.N. 156 of 2012)*

(b) subject to paragraphs (c), (d) and (e), an authorized institution may reduce the risk-weighted amount of the institution's off-balance sheet exposure by taking into account the effect of any recognized credit risk mitigation in respect of the exposure in the manner set out in Divisions 5, 6, 7, 8, 9 and 10; *(L.N. 156 of 2012)*

(c) where an off-balance sheet exposure of an authorized institution has an ECAI issue specific rating, the institution shall not under paragraph (b) take into account the effect of any recognized credit risk mitigation applicable to the exposure which has already been taken into account in that rating; *(L.N. 156 of 2012)*

(d) if an off-balance sheet exposure of an authorized institution is a counterparty credit risk exposure in respect of OTC derivative transactions, credit derivative contracts or SFTs, the institution must not, under paragraph (b), take into account the effect of any recognized credit risk mitigation applicable to the exposure if that effect has already been taken into account in the calculation of its default risk exposures in respect of those transactions or contracts; *(L.N. 156 of 2012)*

(e) if an authorized institution has bought credit protection for an exposure and the credit protection is in the form of a single-name credit default swap that falls within section 226J(1), the institution must not take into account the credit risk mitigation effect of the swap when calculating the risk-weighted amount of the exposure. *(L.N. 156 of 2012)*

(3A) The amounts referred to in subsection (3)(a)(i) and (ii) are—

(a) the IMM(CCR) risk-weighted amount of the transactions or contracts concerned that are covered by the IMM(CCR) approval;

(b) the CEM risk-weighted amount or SFT risk-weighted amount of the transactions or contracts concerned that are not covered by the IMM(CCR) approval or that fall within section 10B(5) or (7);

(c) the CVA risk-weighted amount determined using the advanced CVA method, the standardized CVA method, or a combination of those 2 methods that is permitted under these Rules, as the case requires; and

(d) the CVA risk-weighted amount determined using the standardized CVA method. *(L.N. 156 of 2012)*

(4) In subsections (2)(c) and (3)(c)—

ECAI issue specific rating (ECAI特定債項評級)—

(a) in relation to an exposure to a person that is not a corporate incorporated in India, means a short-term credit assessment rating or long-term credit assessment rating that is assigned to the exposure by an ECAI within the meaning of paragraph (a), (b), (c), (d) or (e) of the definition of ***external credit assessment institution*** in section 2(1), and is for the time being neither withdrawn nor suspended by that ECAI;

(b) in relation to an exposure to a collective investment scheme, has the meaning given by section 62(4); or

(c) in relation to an exposure to a person that is a corporate incorporated in India, means a short-term credit assessment rating or long-term credit assessment rating that is assigned to the exposure by an ECAI, and is for the time being neither withdrawn nor suspended by that ECAI. *(L.N. 137 of 2011)*

53. On-balance sheet exposures and off-balance sheet exposures to be covered

(1) An authorized institution shall, for the purposes of calculating an amount representing the degree of credit risk to which the institution is exposed under section 52, take into account and risk-weight— *(L.N. 156 of 2012)*

(a) all of the institution's on-balance sheet exposures and off-balance sheet exposures booked in its banking book except such exposures—

(i) that under Division 4 of Part 3 are required to be deducted from any of the institution's CET1 capital, Additional Tier 1 capital and Tier 2 capital; *(L.N. 156 of 2012)*

(ii) that are subject to the requirements of Division 4 of Part 6A; or *(L.N. 156 of 2012)*

(iii) that are subject to the requirements of Part 7; *(L.N. 156 of 2012)*

(b) subject to subsection (2), all of the institution's exposures to counterparties—

(i) under OTC derivative transactions, credit derivative contracts or SFTs booked in its trading book; or

(ii) in respect of assets that are—

(A) posted by the institution as collateral for transactions or contracts booked in its trading book; and

(B) held by the counterparties in a manner that is not bankruptcy remote from the counterparties; and *(L.N. 156 of 2012)*

(c) all of the institution's market risk exposures which are exempted from section 17 under section 22, except for its total net open position in foreign exchange exposures as derived in accordance with section 296.

(2) Subsection (1)(b) does not apply to exposures that are subject to—

(a) deduction from any of the authorized institution's CET1 capital, Additional Tier 1 capital and Tier 2 capital under Division 4 of Part 3; or

(b) the requirements of Division 4 of Part 6A. *(L.N. 156 of 2012)*

54. Classification of exposures

An authorized institution shall classify each of its exposures, according to the obligor or the nature of the exposure, into one only of the following classes—

(a) sovereign exposures;

(b) public sector entity exposures;

(c) multilateral development bank exposures;

(d) bank exposures;

(e) securities firm exposures;

(f) corporate exposures;

(g) collective investment scheme exposures;

(h) cash items;

(ha) exposures in respect of failed delivery on transactions entered into on a basis other than a delivery-versus-payment basis; *(L.N. 156 of 2012)*

(i) regulatory retail exposures;

(j) residential mortgage loans;

(k) other exposures which are not past due exposures; *(L.N. 156 of 2012)*

(l) past due exposures; *(L.N. 156 of 2012)*

(m) significant exposures to commercial entities. *(L.N. 156 of 2012)*

Division 3—Determination of Risk-weights Applicable to On-balance Sheet Exposures

55. Sovereign exposures

(1) Where a sovereign has an ECAI issuer rating, or a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the sovereign, an authorized institution must map the ECAI issuer rating or long-term ECAI issue specific rating, as the case may be, to a scale of credit quality grades represented by the numerals 1, 2, 3, 4, 5 and 6 in accordance with Table A in Schedule 6. *(L.N. 137 of 2011)*

(2) Subject to sections 56 and 69, an authorized institution shall allocate a risk-weight to a sovereign exposure which falls within subsection (1) in accordance with Table 2.

Table 2

Risk-weights for Sovereign Exposures

Credit quality grade (sovereigns)	Risk-weight
1	0%
2	20%
3	50%
4	100%

5	100%
6	150%

(3) Subject to section 56, where a sovereign has neither an ECAI issuer rating, nor a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the sovereign, an authorized institution shall allocate a risk-weight of 100% to an exposure of the institution to the sovereign. *(L.N. 137 of 2011)*

56. Exceptions to section 55

(1) Where a sovereign exposure of an authorized institution consists of a domestic currency exposure to the Government (including an exposure to the Exchange Fund), the institution shall allocate a risk-weight of 0% to the exposure.

(2) Where—

(a) a sovereign exposure of an authorized institution consists of a domestic currency exposure to a sovereign (other than the Government or a restricted sovereign); and

(b) the relevant banking supervisory authority for the jurisdiction of the sovereign would permit banks carrying on banking business in the jurisdiction to allocate a risk-weight to the exposure which is lower than the risk-weight which would be allocated under section 55 to the exposure,

the institution may allocate the lower risk-weight to the exposure.

(3) *(Repealed L.N. 212 of 2015)*

(4) Where a sovereign exposure of an authorized institution consists of an exposure to a relevant international organization, the institution shall allocate a risk-weight of 0% to the exposure.

57. Public sector entity exposures

(1) Where a public sector entity exposure of an authorized institution consists of an exposure to a domestic public sector entity, the institution shall allocate a risk-weight to the exposure which is—

(a) the next higher risk-weight than the risk-weight attributable to the credit quality grade applicable to the Government in accordance with section 55 on the basis of an ECAI issuer rating assigned to the Government or, if there is no such higher risk-weight, the risk-weight so attributed to the credit quality grade applicable to the Government;

(b) if a credit quality grade of 4 or 5 has been allocated to the Government on the basis of an ECAI issuer rating assigned to the Government, a risk-weight of 100%; or

(c) if the Government does not have an ECAI issuer rating, a risk-weight of 100%.

(2) Where a public sector entity exposure of an authorized institution consists of an exposure to a foreign public sector entity—

(a) subject to paragraphs (b), (c) and (d), the institution shall allocate a risk-weight to the exposure which is the next higher risk-weight than the risk-weight attributable to the credit quality grade applicable to the sovereign of the jurisdiction in which that entity is incorporated in accordance with section 55 on the basis of an ECAI issuer rating assigned to the sovereign or, if there is no such higher risk-weight, the risk-weight so attributed to the credit quality grade applicable to the sovereign;

(b) if the entity is a sovereign foreign public sector entity, section 55, with all necessary modifications, applies to the exposure as if the entity were a sovereign, using the ECAI issuer rating of the sovereign of the jurisdiction in which that entity is incorporated;

(c) if a credit quality grade of 4 or 5 has been allocated to the sovereign referred to in paragraph (a) on the basis of an ECAI issuer rating assigned to the sovereign, the institution shall allocate a risk-weight of 100% to the exposure;

(d) if the sovereign referred to in paragraph (a) does not have an ECAI issuer rating, the institution shall allocate a risk-weight of 100% to the exposure.

58. Multilateral development bank exposures

An authorized institution shall allocate a risk-weight of 0% to an exposure of the institution to a multilateral development bank.

59. Bank exposures

(1) Subject to subsection (2), where a bank has an ECAI issuer rating, or an ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank, an authorized institution shall map the ECAI issuer rating or ECAI issue specific rating, as the case may be, to a scale of credit quality grades represented by the numerals 1, 2, 3, 4 and 5 in accordance with Table B in Schedule 6.

(2) Where an ECAI issue specific rating referred to in subsection (1) is a short-term ECAI issue specific rating as referred to in subsection (6), then subsections (6) and (7) apply.

(3) Subject to subsections (4), (5), (6), (7), (8), (9), (10) and (11) and section 69, an authorized institution shall allocate a risk-weight to a bank exposure in accordance with Table 3.

Table 3

Risk-weights for Bank Exposures

Credit quality grade (banks)	Risk-weight for general exposures	Risk-weight for 3 months' exposures (other than an exposure which has a short-term ECAI issue specific rating)
1	20%	20%
2	50%	20%
3	50%	20%
4	100%	50%
5	150%	150%

(4) Subject to subsections (8), (9), (10) and (11), where an authorized institution has an exposure to a bank which has none of the following—

(a) an ECAI issuer rating;

(b) a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank;

(c) a short-term ECAI issue specific rating assigned to the exposure,

subject to subsection (5), the institution shall allocate—

(d) a risk-weight of 50% to the exposure if it is a general exposure; or

(e) a risk-weight of 20% to the exposure if it is a 3 months' exposure.

(5) Subject to subsection (5A), where a bank falls within subsection (4)— *(L.N. 156 of 2012)*

(a) subject to paragraph (b), an authorized institution shall not allocate a risk-weight to an exposure to the bank which is lower than the risk-weight applicable to the credit quality grade allocated to the sovereign of the jurisdiction in which the bank is incorporated in accordance with section 55 on the basis of an ECAI issuer rating assigned to the sovereign;

(b) if the sovereign referred to in paragraph (a) does not have an ECAI issuer rating, an authorized institution shall allocate a risk-weight of 100% to the exposure.

(5A) Subsection (5) does not apply to an exposure of an authorized institution to a bank in respect of a self-liquidating letter of credit that—

(a) is issued by the bank;

(b) has a maturity of less than one year; and

(c) has been confirmed by the institution. *(L.N. 156 of 2012)*

(6) Where a bank has a short-term ECAI issue specific rating assigned to an exposure of an authorized institution to the bank, the institution shall map that rating to a scale of credit quality grades represented by the numerals 1, 2, 3 and 4 in accordance with Part 1 of Table E in Schedule 6. *(L.N. 137 of 2011)*

(7) Subject to subsection (11) and section 69, where a bank has a short-term ECAI issue specific rating assigned to an exposure of an authorized institution to the bank, the institution shall allocate a risk-weight to the exposure in accordance with Table 4.

Table 4

Risk-weights for Bank Exposures with Short-term ECAI Issue Specific Ratings

Credit quality grade (banks)	Risk-weight for exposures to banks with a short-term ECAI issue specific rating
1	20%
2	50%
3	100%
4	150%

(8) Subject to subsections (10) and (11), where—

(a) a 3 months' exposure (referred to in this subsection as ***concerned exposure***) of an authorized institution to a bank does not have a short-term ECAI issue specific rating;

(b) the institution or another person (including another authorized institution) has another exposure (referred to in this subsection as ***reference exposure***) to the bank which has a short-term ECAI issue specific rating; and

(c) if subsections (6) and (7) applied to the reference exposure, the risk-weight which would be allocated pursuant to those subsections to the reference exposure would be—

(i) higher than the risk-weight which would be allocated to the concerned exposure pursuant to subsection (3) if—

(A) the bank has an ECAI issuer rating, or a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank; and

(B) subsection (3) is applied to the concerned exposure; or

(ii) higher than 20% if the bank has neither an ECAI issuer rating, nor a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank,

the institution shall allocate to the concerned exposure the same risk-weight which would be allocated to the reference exposure pursuant to subsections (6) and (7).

(9) Subject to subsections (10) and (11), where—

(a) a 3 months' exposure (referred to in this subsection as ***concerned exposure***) of an authorized institution to a bank does not have a short-term ECAI issue specific rating;

(b) the institution or another person (including another authorized institution) has another exposure (referred to in this subsection as ***reference exposure***) to the bank which has a short-term ECAI issue specific rating; and

(c) if subsections (6) and (7) applied to the reference exposure, the risk-weight which would be allocated pursuant to those subsections to the reference exposure would be—

(i) lower than the risk-weight which would be allocated to the concerned exposure pursuant to subsection (3) if—

(A) the bank has an ECAI issuer rating, or a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank; and

(B) subsection (3) is applied to the concerned exposure; or

(ii) 20% if the bank has neither an ECAI issuer rating, nor a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank,

the institution shall allocate to the concerned exposure—

(d) the risk-weight which would be allocated to the concerned exposure pursuant to subsection (3) if the bank has an ECAI issuer rating, or a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank; or

(e) a risk-weight of 20% if the bank has neither an ECAI issuer rating, nor a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the bank.

(10) Where—

(a) pursuant to subsections (6) and (7), an authorized institution allocates a risk-weight of 150% to an exposure to a bank; or

(b) the institution knows that—

(i) another person (including another authorized institution) has an exposure to the bank which has a short-term ECAI issue specific rating; and

(ii) if subsections (6) and (7) applied to the exposure referred to in subparagraph (i), it would be allocated a risk-weight of 150% pursuant to those subsections,

the institution shall allocate a risk-weight of 150% to each other general exposure or 3 months' exposure it has to the bank which does not have an ECAI issue specific rating.

(11) Notwithstanding any other provision of this section, an authorized institution may allocate a risk-weight of 20% to a 3 months' exposure to a bank if the exposure is denominated and funded in Hong Kong dollars.

(12) In this section—

general exposure (一般風險承擔) means any exposure of an authorized institution to a bank other than a 3 months' exposure;

3 months' exposure (3個月風險承擔) means an exposure of an authorized institution to a bank with an original contractual period of time for full repayment of not more than 3 months where the institution does not expect or anticipate that the facility to which the exposure relates will be rolled over at the expiration of the contractual period.

60. Securities firm exposures

(1) Subject to subsection (2), where a securities firm has an ECAI issuer rating, or an ECAI issue specific rating assigned to a debt obligation issued or undertaken by the firm, an authorized institution shall map the ECAI issuer rating or ECAI issue specific rating, as the case may be, to a scale of credit quality grades represented by the numerals 1, 2, 3, 4 and 5 in accordance with Table B in Schedule 6.

(2) Where an ECAI issue specific rating referred to in subsection (1) is a short-term ECAI issue specific rating as referred to in subsection (6), then subsections (6) and (7) apply.

(3) Subject to subsections (4), (5), (6), (7), (8) and (9) and section 69, an authorized institution shall allocate a risk-weight to a securities firm exposure in accordance with Table 5.

Table 5

Risk-weights for Securities Firm Exposures

Credit quality grade (securities firms)	Risk-weight
1	20%
2	50%
3	50%
4	100%
5	150%

(4) Subject to subsections (8) and (9), where an authorized institution has an exposure to a securities firm which has none of the following—

(a) an ECAI issuer rating;

(b) a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the firm;

(c) a short-term ECAI issue specific rating assigned to the exposure, subject to subsection (5), the institution shall allocate a risk-weight of 50% to the exposure.

(5) Where a securities firm falls within subsection (4)—

(a) subject to paragraph (b), an authorized institution shall not allocate a risk-weight to an exposure to the firm which is lower than the risk-weight applicable to the credit quality grade allocated to the sovereign of the jurisdiction in which the firm is incorporated in accordance with section 55 on the basis of an ECAI issuer rating assigned to the sovereign;

(b) if the sovereign referred to in paragraph (a) does not have an ECAI issuer rating, an authorized institution shall allocate a risk-weight of 100% to the exposure.

(6) Where a securities firm has a short-term ECAI issue specific rating assigned to an exposure of an authorized institution to the firm, the institution shall map that rating to a scale of credit quality grades represented by the numerals 1, 2, 3 and 4 in accordance with Part 1 of Table E in Schedule 6. *(L.N. 137 of 2011)*

(7) Subject to section 69, where a securities firm has a short-term ECAI issue specific rating assigned to an exposure of an authorized institution to the firm, the institution shall allocate a risk-weight to the exposure in accordance with Table 6.

Table 6

Risk-weights for Securities Firm Exposures with Short-term ECAI Issue Specific Ratings

Credit quality grade (securities firms)	Risk-weight for exposures to securities firms with a short-term ECAI issue specific rating
1	20%
2	50%

3	100%
4	150%

(8) Where—

(a) pursuant to subsections (6) and (7), an authorized institution allocates a risk-weight of 150% to an exposure to a securities firm; or

(b) the institution knows that—

(i) another person (including another authorized institution) has an exposure to the securities firm which has a short-term ECAI issue specific rating; and

(ii) if subsections (6) and (7) applied to the exposure referred to in subparagraph (i), it would be allocated a risk-weight of 150% pursuant to those subsections,

the institution shall allocate a risk-weight of 150% to each other exposure it has to the securities firm which does not have an ECAI issue specific rating.

(9) Where—

(a) pursuant to subsections (6) and (7), an authorized institution allocates a risk-weight of 50% or 100% to an exposure to a securities firm; or

(b) the institution knows that—

(i) another person (including another authorized institution) has an exposure to the securities firm which has a short-term ECAI issue specific rating; and

(ii) if subsections (6) and (7) applied to the exposure referred to in subparagraph (i), it would be allocated a risk-weight of 50% or 100% pursuant to those subsections,

the institution shall—

(c) subject to paragraph (d), allocate a risk-weight of 100% to each other exposure it has to the securities firm which —

(i) does not have an ECAI issue specific rating; and

(ii) has a residual maturity of not greater than—

(A) the original maturity of the exposure referred to in paragraph (a); or

(B) the original maturity of the exposure referred to in paragraph (b),

whichever is the greater;

(d) if the securities firm has an ECAI issuer rating, or an exposure of another person (including another authorized institution) to the firm has a long-term ECAI issue specific rating, which maps to a risk-weight of 150% in accordance with subsections (1) and (3), allocate a risk-weight of 150% to an exposure which would otherwise fall within paragraph (c).

61. Corporate exposures

(1) Subject to subsection (2), where a corporate has an ECAI issuer rating, or an ECAI issue specific rating assigned to a debt obligation issued or undertaken by the corporate, an authorized institution shall map the ECAI issuer rating or ECAI issue specific rating, as the case may be, to a scale of credit quality grades represented by the numerals 1, 2, 3, 4 and 5 in accordance with Part 1 of Table C in Schedule 6. *(L.N. 137 of 2011)*

(2) Where an ECAI issue specific rating referred to in subsection (1) is a short-term ECAI issue specific rating as referred to in subsection (6), then subsections (6) and (7) apply.

(3) Subject to subsections (4), (5), (6), (7), (8) and (9) and section 69, an authorized institution shall allocate a risk-weight to a corporate exposure in accordance with Part 1 of Table C in Schedule 6. *(L.N. 137 of 2011)*

Table 7

(Repealed L.N. 137 of 2011)

(4) Subject to subsections (8) and (9), where an authorized institution has an exposure to a corporate which has none of the following—

(a) an ECAI issuer rating;

(b) a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the corporate;

(c) a short-term ECAI issue specific rating assigned to the exposure,

subject to subsection (5), the institution shall allocate a risk-weight of 100% to the exposure.

(5) Where a corporate falls within subsection (4)—

(a) subject to paragraph (b), an authorized institution shall not allocate a risk-weight to an exposure to the corporate which is lower than the risk-weight applicable to the credit quality grade allocated to the sovereign of the jurisdiction in which the corporate is incorporated in accordance with section 55 on the basis of an ECAI issuer rating assigned to the sovereign;

(b) if the sovereign referred to in paragraph (a) does not have an ECAI issuer rating, an authorized institution shall allocate a risk-weight of 100% to the exposure.

(6) Where a corporate has a short-term ECAI issue specific rating assigned to an exposure of an authorized institution to the corporate, the institution shall map that rating to a scale of credit quality grades represented by the numerals 1, 2, 3 and 4 in accordance with Part 1 of Table E in Schedule 6. *(L.N. 137 of 2011)*

(7) Subject to section 69, where a corporate has a short-term ECAI issue specific rating assigned to an exposure of an authorized institution to the corporate, the institution shall allocate a risk-weight to the exposure in accordance with Part 1 of Table E in Schedule 6. *(L.N. 137 of 2011)*

Table 8

(Repealed L.N. 137 of 2011)

(8) Where—

(a) pursuant to subsections (6) and (7), an authorized institution allocates a risk-weight of 150% to an exposure to a corporate; or

(b) the institution knows that—

(i) another person (including another authorized institution) has an exposure to the corporate which has a short-term ECAI issue specific rating; and

(ii) if subsections (6) and (7) applied to the exposure referred to in subparagraph (i), it would be allocated a risk-weight of 150% pursuant to those subsections,

the institution shall allocate a risk-weight of 150% to each other exposure it has to the corporate which does not have an ECAI issue specific rating.

(9) Where—

(a) pursuant to subsections (6) and (7), an authorized institution allocates a risk-weight of 50% or 100% to an exposure to a corporate; or

(b) the institution knows that—

(i) another person (including another authorized institution) has an exposure to the corporate which has a short-term ECAI issue specific rating; and

(ii) if subsections (6) and (7) applied to the exposure referred to in subparagraph (i), it would be allocated a risk-weight of 50% or 100% pursuant to those subsections,

the institution shall—

(c) subject to paragraph (d), allocate a risk-weight of 100% to each other exposure it has to the corporate which—

(i) does not have an ECAI issue specific rating; and

(ii) has a residual maturity of not greater than—

(A) the original maturity of the exposure referred to in paragraph (a); or

(B) the original maturity of the exposure referred to in paragraph (b),

whichever is the greater;

(d) if the corporate has an ECAI issuer rating, or an exposure of another person (including another authorized institution) to the corporate has a long-term ECAI issue specific rating, which maps to a risk-weight of 150% in accordance with subsections (1) and (3), allocate a risk-weight of 150% to an exposure which would otherwise fall within paragraph (c).

61A. Application of section 61

(1) Section 61—

(a) applies to a corporate incorporated outside India; and

(b) subject to the modifications described in subsection (2), applies to a corporate incorporated in India.

(2) The modifications mentioned in subsection (1)(b) are that—

(a) the references in section 61 to "ECAI issue specific rating" are construed as having the meaning given by paragraph (a) of the definition of ***ECAI issue specific rating*** in section 2(1);

(b) the references in section 61 to "ECAI issuer rating" are construed as having the meaning given by paragraph (a) of the definition of ***ECAI issuer rating*** in section 2(1);

(c) the references in section 61 to "long-term ECAI issue specific rating" are construed as having the meaning given by paragraph (a) of the definition of ***long-term ECAI issue specific rating*** in section 2(1);

(d) the references in section 61 to "short-term ECAI issue specific rating" are construed as having the meaning given by paragraph (a) of the definition of ***short-term ECAI issue specific rating*** in section 2(1);

(e) the references in section 61 to "Part 1 of Table C in Schedule 6" are construed as "Part 1 or 2 of Table C in Schedule 6";

(f) the references in section 61 to "Part 1 of Table E in Schedule 6" are construed as "Part 1 or 2 of Table E in Schedule 6"; and

(g) the reference in section 61 to "the numerals 1, 2, 3 and 4 in accordance with Part 1 of Table E in Schedule 6" is construed as "the numerals 1, 2, 3 and 4 in accordance with Part 1 of Table E in Schedule 6 or the numerals 1, 2, 3, 4 and 5 in accordance with Part 2 of that Table".

(L.N. 137 of 2011)

62. Collective investment scheme exposures

(1) Where a collective investment scheme has an ECAI issue specific rating, an authorized institution which has a collective investment scheme exposure arising from the holding of units or shares in the scheme shall map that rating to a scale of credit quality grades represented by the numerals 1, 2, 3, 4 and 5 in accordance with Table D in Schedule 6.

(2) Subject to subsection (3) and section 69(1) and (2), an authorized institution shall allocate a risk-weight to a collective investment scheme exposure held by it in accordance with Table 9.

Table 9

Risk-weights for Collective Investment Scheme Exposures

Credit quality grade (collective investment schemes)	Risk-weight
1	20%
2	50%
3	100%
4	100%
5	150%

(3) Where an authorized institution has a collective investment scheme exposure arising from the holding of units or shares in a collective investment scheme, and the scheme does not have an ECAI issue specific rating, the institution shall allocate a risk-weight of 100% to the exposure.

(4) In this section—

ECAI issue specific rating (ECAI 特定債項評級), means a short-term credit assessment rating or long-term credit assessment rating—

(a) that is assigned by an ECAI within the meaning of paragraph (a), (b), (c) or (d) of the definition of ***external credit assessment institution*** in section 2(1) to a collective investment scheme that only holds cash or fixed income assets;

(b) that is assigned to the scheme by that ECAI based on the credit quality of the cash held or the fixed income assets held, as the case may be; and

(c) that is for the time being neither withdrawn nor suspended by that ECAI. *(L.N. 137 of 2011)*

63. Cash items

An authorized institution shall allocate a risk-weight of 0% to all cash items in relation to the institution except that—

(a) in the case of cash items which fall within paragraph (d) of the definition of ***cash items*** in section 51(1), the institution shall allocate a risk-weight which is the same as the attributed risk-weight of the person who holds the gold bullion concerned;

(b) in the case of cash items which fall within paragraph (e) of the definition of ***cash items*** in section 51(1), the institution shall allocate a risk-weight of 100%;

(c) in the case of cash items which fall within paragraph (f) of the definition of ***cash items*** in section 51(1), the institution shall allocate a risk-weight of 20%;

(d) in the case of cash items which fall within paragraph (i) of the definition of ***cash items*** in section 51(1), and the transactions to which the items relate remain outstanding for 5 or more business days after the settlement date, the institution shall allocate a risk-weight of—

(i) 100% for such items in relation to the transactions which remain so outstanding from 5 to 15 business days (both days inclusive);

(ii) 625% for such items in relation to the transactions which remain so outstanding from 16 to 30 business days (both days inclusive);

(iii) 937.5% for such items in relation to the transactions which remain so outstanding from 31 to 45 business days (both days inclusive); and

(iv) 1250% for such items in relation to the transactions which remain so outstanding for 46 or more business days; and

(e) in the case of cash items which fall within paragraph (j) of the definition of ***cash items*** in section 51(1), the institution shall allocate a risk-weight which is the same as the attributed risk-weight of the obligor in respect of the transaction to which the items relate.

(L.N. 137 of 2011)

63A. Failed delivery on transactions entered into on non-delivery-versus-payment basis

An authorized institution must allocate a risk-weight of 1250% to—

(a) the amount of payment made, or the current market value of the thing delivered, by the institution in respect of any transaction in securities (other than a repo-style transaction), or any transaction in foreign exchange or commodities, that—

(i) is entered into on a basis other than a delivery-versus-payment basis; and

(ii) has remained unsettled after the contractual date of payment or delivery to the institution for 5 or more business days; and

(b) the amount of any positive current exposure associated with any transaction referred to in paragraph (a).

(L.N. 156 of 2012)

64. Regulatory retail exposures

(1) Where—

(a) the maximum aggregate exposure of an authorized institution to a single obligor, or to a group of obligors considered by the institution as a group of obligors for risk management purposes (including, but not limited to, those grouped under the Banking (Exposure Limits) Rules), does not exceed $10 million; and *(L.N. 222 of 2018)*

(b) that single obligor, or a particular obligor in the group of obligors, is an individual or small business,

subject to subsections (3) and (4) and section 65(4)(a), the institution shall allocate a risk-weight of 75% to any exposure of the institution to that single obligor or that particular obligor arising from a transaction, whether drawn down or not, which takes the form of an advance or extension of credit that is—

(c) an overdraft or other line of credit;

(d) an instalment loan, auto loan or lease or other personal term loan or advance by way of leasing facilities;

(e) a credit card or other revolving credit; or

(f) a credit facility or commitment to lend funds or advance a credit facility to a small business.

(2) For the purposes of subsection (1)(a)—

(a) the maximum aggregate exposure shall be calculated on the assumptions that—

(i) in the case of an on-balance sheet exposure, the amount of the exposure is the principal amount of the exposure;

(ii) in the case of an off-balance sheet exposure in respect of an OTC derivative transaction, credit derivative contract or SFT, the amount of the exposure is—

(A) the outstanding default risk exposure in respect of the OTC derivative transaction or credit derivative contract; or

(B) the default risk exposure in respect of the SFT,

as the case requires; and *(L.N. 156 of 2012)*

(iii) in the case of an off-balance sheet exposure which does not fall within subparagraph (ii), the amount of the exposure is the principal amount multiplied by the applicable CCF; and

(b) the following exposures shall be excluded from the calculation of the maximum aggregate exposure—

(i) an exposure which is a residential mortgage loan falling within section 65(1) or (if applicable) section 65(9);

(ii) an exposure which is a holding of securities, whether listed or unlisted.

(3) An authorized institution shall not allocate a risk-weight of 75% to any exposure of the institution under subsection (1) if the exposure—

(a) is a residential mortgage loan falling within section 65(1) or (9);

(b) is a holding of securities, whether listed or unlisted; or

(c) is a past due exposure.

(4) Where a regulatory retail exposure of an authorized institution is an exposure to a small business in respect of which consent under the small business consent provisions is required, the institution shall comply with those provisions as in force from time to time.

65. Residential mortgage loans

(1) Subject to subsections (3) and (6), an authorized institution shall allocate a risk-weight of 35% to a residential mortgage loan in relation to the institution where—

(a) the borrower under the loan is—

(i) one or more than one individual; or

(ii) a property-holding shell company;

(b) the loan is secured by a first legal charge on one or more than one residential property;

(c) each residential property which falls within paragraph (b) is—

(i) if paragraph (a)(i) is applicable, used, or intended for use, as the residence of the borrower or as the residence of a tenant, or a licensee, of the borrower;

(ii) if paragraph (a)(ii) is applicable, used, or intended for use, as the residence of the directors or shareholders of the borrower or as the residence of a tenant, or a licensee, of the borrower;

(d) subject to subsections (2) and (5), the loan-to-value ratio of the loan does not exceed 70% at the time a commitment to extend the loan was made by the institution, or in relation to a residential mortgage loan purchased by the institution, at the time the loan was purchased;

(e) after the loan is drawn by the borrower or purchased by the institution, as the case may be, the loan-to-value ratio of the loan does not exceed 100% at the time of the allocation of the risk-weight to the loan; and *(L.N. 131 of 2011)*

(f) if paragraph (a)(ii) is applicable—

(i) all of the borrowed-monies obligations of the company arising under the loan are the subject of a personal guarantee—

(A) which is entered into by one or more than one director or shareholder (referred to in this paragraph as ***guarantor***) of the company; and

(B) which fully and effectively covers those obligations;

(ii) the institution, having due regard to the guarantor's financial obligations (including, in particular, all the guarantor's borrowed-monies obligations and obligations of suretyship), is satisfied that the guarantor is able to discharge all the guarantor's obligations under the guarantee; and

(iii) the loan has been assessed by reference to substantially similar credit underwriting standards (including loan purpose and loan-to-value and debt service ratios) as would normally be applied by the institution to an individual.

(2) Where a residential mortgage loan is made by an authorized institution to a member of its staff (whether solely or jointly with another person), the loan-to-value ratio of the loan shall not exceed 90% at the time a commitment to extend the loan was made by the institution.

(3) Where, in respect of a residential mortgage loan made or purchased by an authorized institution, any residential property which falls within subsection (1)(b) is situated outside Hong Kong, the institution may allocate a risk-weight to the loan generally provided for under the supervisory treatment, or capital adequacy requirements, applicable to banks carrying on banking business in the jurisdiction in which the residential property is situated.

(4) An authorized institution shall allocate a risk-weight of—

(a) subject to subsections (5) and (9), 75% to a residential mortgage loan made or purchased by the institution where—

(i) the loan does not fall within subsection (1) but does satisfy section 64(1)(a);

(ii) the borrower under the loan is—

(A) one or more than one individual;

(B) a property-holding shell company; or

(C) a small business; and

(iii) subject to subsection (6), the loan-to-value ratio of the loan does not exceed 90% at the time a commitment to extend the loan was made by the institution, or in relation to a residential mortgage loan purchased by the institution, at the time the loan was purchased;

(b) 100% to a residential mortgage loan made or purchased by it which does not fall within subsection (1) or paragraph (a).

(5) Subsections (1)(d), (2) and (4)(a)(iii) do not apply, in the case of a residential mortgage loan secured on a property situated in Hong Kong, to—

(a) a commitment referred to in that subsection which was made before 1 January 2007; or

(b) a purchase referred to in that subsection, of a residential mortgage loan, which was made before 1 January 2007.

(6) Subject to subsection (7), an authorized institution shall, for the purposes of the application of subsection (1)(d) and (e), (2) or (4)(a)(iii) to a residential mortgage loan, exclude from the calculation of the loan-to-value ratio—

(a) any portion of the loan amount which has been provided by a person who is not a member of the group of companies of which the institution is a member; and

(b) any portion of the loan amount which is—

(i) the subject of a guarantee referred to in section 98 whose guarantor has an attributed risk-weight of not more than 20%;

(ii) the subject of mortgage guarantee insurance given by an insurance firm which has an attributed risk-weight of not more than 20%; or

(iii) the subject of cash on deposit falling within section 79(1)(a) which is eligible for a risk-weight of not more than 20% under the use of the STC approach. *(L.N. 156 of 2012)*

(7) The Monetary Authority may, by notice in writing given to an authorized institution, direct the institution, in calculating—

(a) the loan-to-value ratio of a residential mortgage loan specified in the notice; or

(b) the loan-to-value ratio of a residential mortgage loan belonging to a class of residential mortgage loans specified in the notice,

to include a portion of the loan amount which would otherwise be excluded pursuant to subsection (6).

(8) An authorized institution given a notice under subsection (7) shall comply with the notice.

(9) Any residential mortgage loan of an authorized institution which, but for the fact it does not satisfy section 64(1)(a), would have been eligible for a risk-weight of 75% under subsection (4)(a) shall be allocated a risk-weight of 100%, and may be excluded for the calculation of the maximum aggregate exposure of the institution for the purposes of the application of section 64(1)(a).

(10) In this section—

loan-to-value ratio (貸款與價值比率), in relation to a residential mortgage loan, means the ratio of the sum of the following amounts to the market value of the security—

(a) the principal amount of that loan; and

(b) the principal amount of all other residential mortgage loans in respect of which the residential property falling within subsection (1)(b) is also used as security.

66. Other exposures which are not past due exposures

(1) This section applies to—

(a) in the case of an authorized institution's holdings of capital instruments issued by, and non-capital LAC liabilities of, financial sector entities— *(L.N. 222 of 2018)*

(i) insignificant LAC investments that are not subject to deduction from any of the institution's CET1 capital, Additional Tier 1 capital and Tier 2 capital under sections 43(1)(o), 47(1)(c) and 48(1)(c);

(ii) significant LAC investments that are not subject to deduction from the institution's CET1 capital under section 43(1)(p); and

(iii) (if the institution maintains any non-capital LAC debt resources) holdings of non-capital LAC liabilities falling within section 48A that are not subject to deduction from the institution's Tier 2 capital under section 48(1)(g)(i); or *(L.N. 222 of 2018)*

(b) in any other case—

(i) equities held by an authorized institution that do not fall within section 62 or 68A; and

(ii) any other on-balance sheet exposures of the institution that do not fall within any of sections 55, 56, 57, 58, 59, 60, 61, 62, 63, 63A, 64, 65 and 67 (including accrued interest if subsection (5) is applicable). *(L.N. 156 of 2012)*

(2) Subject to subsections (3) and (4), an authorized institution must allocate a risk-weight of—

(a) 100% to an exposure to which this section applies except for an exposure falling within subsection (1)(a)(ii); and

(b) 250% to an exposure falling within subsection (1)(a)(ii). *(L.N. 156 of 2012)*

(3) The Monetary Authority may, by notice in writing given to an authorized institution, direct the institution to allocate to an exposure, or an exposure belonging to a class of exposures, to which this section applies, a risk-weight specified in the notice, being a risk-weight greater than 100%.

(4) An authorized institution given a notice under subsection (3) shall comply with the notice.

(5) Where in respect of an exposure of an authorized institution, the institution has difficulty in allocating any accrued interest under the exposure to the obligors of the institution, the institution may, with the prior consent of the Monetary Authority, treat the accrued interest as an exposure to which this section applies. *(L.N. 137 of 2011)*

67. Past due exposures

(1) Notwithstanding sections 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65 and 66(2)(a), an authorized institution shall allocate a risk-weight of 150% to the relevant amount of a past due exposure. *(L.N. 156 of 2012)*

(2) In this section—

relevant amount (有關數額), in relation to a past due exposure, means the amount which is calculated by deducting from the gross outstanding amount of the exposure—

(a) the value of any specific provisions made in respect of the exposure; and

(b) the sum representing the effect of any recognized credit risk mitigation on the exposure.

68. Credit-linked notes

Where an authorized institution has an exposure in respect of a credit-linked note held by the institution—

(a) if the note has an ECAI issue specific rating, the institution must, subject to paragraphs (b) and (e)— *(L.N. 175 of 2017)*

(i) classify the exposure, in accordance with the issuer or reference entity of the note, into that class of exposures specified in section 54 that will result in the highest risk-weight; and

(ii) determine the risk-weight of the note by mapping the ECAI issue specific rating to a scale of credit quality grades applicable to the rating in accordance with section 55, 56, 57, 58, 59, 60 or 61, as the case requires, or, if the note does not fall within any ECAI ratings based portfolio (within the meaning of section 70(8)) of the institution, by applying section 66, or treat the note as not having an ECAI issue specific rating if, for the class of exposures within which the note falls, there is no scale of credit quality grades applicable to the rating;

(b) if the note falls within paragraph (a) and is a past due exposure, the institution must determine the risk-weight of the note in accordance with section 67;

(c) *(Repealed L.N. 175 of 2017)*

(d) if the note does not have an ECAI issue specific rating, the institution must, subject to paragraph (e), allocate a risk-weight to the exposure that is the greater of—

(i) the risk-weight attributable to the reference obligation of the note as determined in accordance with sections 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65, 66 and 67 as if the institution had a direct exposure to the reference obligation; and

(ii) the attributed risk-weight of the issuer of the note; and

(e) if the note (whether having an ECAI issue specific rating or not)— *(L.N. 175 of 2017)*

(i) is a first-to-default, second-to-default or n^{th}-to-default note; or

(ii) provides credit protection proportionately to a basket of reference obligations,

the institution must determine the risk-weight attributable to the pool of reference obligations of the note in accordance with section 74(3)(b), (4)(b), (5) or (6), as the case requires, as if the institution had a direct exposure to the credit default swap embedded in the note.

(L.N. 137 of 2011)

68A. Significant exposures to commercial entities

(1) This section applies to—

(a) an authorized institution's holdings of shares in any commercial entity if the holdings amount to more than 10% of the ordinary shares issued by that commercial entity; and

(b) an authorized institution's holdings of shares in any commercial entity if that commercial entity is an affiliate of the institution.

(2) Subject to section 43(1)(n), where the net book value of an authorized institution's holdings referred to in subsection (1)(a) or (b) exceeds 15% of its capital base as reported in its capital adequacy ratio return as at the immediately preceding calendar quarter end date, the institution must allocate a risk-weight of 1250% to that amount of the net book value of the holdings that exceeds that 15%.

(L.N. 156 of 2012)

69. Application of ECAI ratings

(1) An authorized institution shall, in complying with the requirements under any subsection of section 55, 57, 59, 60, 61 or 62 in relation to an exposure (referred to in subsection (2) as ***concerned exposure A***) of the institution consisting of a debt obligation issued or undertaken by any person or, for the purposes of section 62, consisting of an interest in a collective investment scheme, where the debt obligation, or collective investment scheme, as the case may be, has one or more than one ECAI issue specific rating assigned to it, determine the rating to be used in accordance with subsection (2).

(2) An authorized institution shall, in complying with the requirements under subsection (1) in relation to concerned exposure A—

(a) if the exposure has only one ECAI issue specific rating, use that rating;

(b) if the exposure has 2 or more ECAI issue specific ratings the use of which by the institution would result in the allocation by the institution of different risk-weights to the exposure, use any one of those ratings except the one or more of those ratings which would result in the allocation by the institution of the lowest of those different risk-weights.

(3) Subject to subsections (5) and (8), where an exposure (however described) of an authorized institution that falls within any subsection of section 55, 57, 59, 60 or 61 does not have an ECAI issue specific rating, and the person to whom the institution has the exposure does not have an ECAI issuer rating but has a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the person, the institution must, in complying with the requirements under that subsection of section 55, 57, 59, 60 or 61, as the case may be, in relation to the exposure—

(a) use the long-term ECAI issue specific rating if—

(i) the exposure ranks equally with, or is subordinated in respect of payment or repayment to, the debt obligation; and

(ii) the use of the long-term ECAI issue specific rating by the institution would result in the allocation by the institution of a risk-weight to the exposure that would be equal to, or higher than, the risk-weight allocated by the institution to the exposure on the basis that the person has neither an ECAI issuer rating nor an ECAI issue specific rating assigned to a debt obligation issued or undertaken by the person; and

(b) use the long-term ECAI issue specific rating if—

(i) the exposure ranks equally with, or senior in respect of payment or repayment to, the debt obligation; and

(ii) the use of the long-term ECAI issue specific rating by the institution would result in the allocation by the institution of a risk-weight to the exposure that would be lower than the risk-weight allocated by the institution to the exposure on the basis that the person has neither an ECAI issuer rating nor an ECAI issue specific rating assigned to a debt obligation issued or undertaken by the person. *(L.N. 156 of 2012)*

(4) Subject to subsections (5) and (8), where an exposure (however described) of an authorized institution that falls within any subsection of section 55, 57, 59, 60 or 61 does not have an ECAI issue specific rating, and the person to whom the institution has the exposure has an ECAI issuer rating but does not have a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the person, the institution must, in complying with the requirements under that subsection of section 55, 57, 59, 60 or 61, as the case may be, in relation to the exposure—

(a) use the ECAI issuer rating if—

(i) the use of the ECAI issuer rating by the institution would result in the allocation by the institution of a risk-weight to the exposure that would be equal to, or higher than, the risk-weight allocated by the institution to the exposure on the basis that the person has neither an ECAI issuer rating nor an ECAI issue specific rating assigned to a debt obligation issued or undertaken by the person;

(ii) the ECAI issuer rating is only applicable to unsecured exposures to the person as an issuer that are not subordinated to other exposures to that person; and

(iii) the exposure to the person ranks equally with, or is subordinated to, the unsecured exposures referred to in subparagraph (ii); and

(b) use the ECAI issuer rating if—

(i) the use of the ECAI issuer rating by the institution would result in the allocation by the institution of a risk-weight to the exposure that would be lower than the risk-weight allocated by the institution to the exposure on the basis that the person has neither an ECAI issuer rating nor an ECAI issue specific rating assigned to a debt obligation issued or undertaken by the person;

(ii) the ECAI issuer rating is only applicable to unsecured exposures to the person as an issuer that are not subordinated to other exposures to that person; and

(iii) the exposure to the person is not subordinated to other exposures to the person as an issuer. *(L.N. 156 of 2012)*

(5) An authorized institution shall, in determining pursuant to subsection (3) or (4) the risk-weight for an exposure as described in the chapeau of that subsection (referred to in this subsection as ***concerned exposure B***) based on one or more ECAI issue specific ratings of another debt obligation issued or undertaken by the person to whom the institution has concerned exposure B (referred to in this subsection as ***reference exposure***), or based on one or more ECAI issuer ratings of that person (referred to in this subsection as ***issuer***) — *(L.N. 128 of 2014)*

(a) if the reference exposure has only one ECAI issue specific rating, or the issuer has only one ECAI issuer rating, as the case may be, use that rating;

(b) if the reference exposure has 2 or more ECAI issue specific ratings, or the issuer has 2 or more ECAI issuer ratings, as the case may be, the use of which by the institution would result in the allocation by the institution of different risk-weights to concerned exposure B, use any one of those ratings except the one or more of those ratings which would result in the allocation by the institution of the lowest of those different risk-weights.

(6) Subject to subsections (7) and (8), where—

(a) an exposure (however described) of an authorized institution which falls within any subsection of section 55, 57, 59, 60 or 61 does not have an ECAI issue specific rating;

(b) the person to whom the institution has the exposure has—

(i) an ECAI issuer rating; and

(ii) a long-term ECAI issue specific rating assigned to a debt obligation issued or undertaken by the person; and

(c) the use, in accordance with subsection (3) or (4), of the ECAI issuer rating and the ECAI issue specific rating referred to in paragraph (b) by the institution would result in the allocation by the institution of 2 different risk-weights to the exposure,

the institution may, in complying with the requirements under that subsection of section 55, 57, 59, 60 or 61, as the case may be, in relation to the exposure, allocate the lower of the 2 risk-weights to the exposure.

(7) An authorized institution—

(a) shall, in determining pursuant to subsection (6) the risk-weight for an exposure which falls within paragraph (a) of that subsection (referred to in this subsection as ***concerned exposure C***) based on one or more ECAI issue specific ratings of another debt obligation issued or undertaken by the person against whom the institution has concerned exposure C (referred to in this subsection as ***reference exposure***), and one or more ECAI issuer ratings of that person—

(i) apply subsection (5) to the ECAI issue specific rating or ECAI issue specific ratings, as the case may be, to determine the issue specific rating to be used; and

(ii) apply subsection (5) to the ECAI issuer rating or ECAI issuer ratings, as the case may be, to determine the issuer rating to be used; and

(b) may, if the risk-weight allocated by the institution to the issue specific rating determined pursuant to paragraph (a)(i) is different from the risk-weight allocated by the institution to the issuer rating determined pursuant to paragraph (a)(ii), allocate the lower of the 2 risk-weights to concerned exposure C.

(8) The operation of subsections (1) and (2) is subject to the operation of section 59(11), and the operation of subsections (3), (4), (5), (6) and (7) is subject to the operation of sections 59(10) and (11), 60(8) and (9) and 61(8) and (9).

(9) Where an authorized institution allocates a risk-weight to an exposure of the institution pursuant to subsection (3), (4), (5), (6) or (7)—

(a) subject to paragraph (b), the institution — *(L.N. 137 of 2011)*

(i) must use ECAI ratings applicable to foreign currency, if available, to the extent that the exposure is denominated in foreign currency;

(ii) must use ECAI ratings applicable to local currency, if available, to the extent that the exposure is denominated in local currency; and *(L.N. 137 of 2011)*

(iii) may use ECAI issuer ratings applicable to foreign currency, if available, to the extent that—

(A) the exposure is denominated in local currency; and

(B) there is not available an ECAI rating applicable to local currency; *(L.N. 137 of 2011)*

(b) the institution may use the obligor's ECAI rating applicable to the obligor's local currency, if available, for the purposes of—

(i) risk-weighting an exposure arising pursuant to the institution's participation in an exposure created by a multilateral development bank which is denominated in another currency; or

(ii) risk-weighting an exposure denominated in another currency to the extent that the exposure is guaranteed by a multilateral development bank against the risk of the obligor not being able to repay the exposure to the institution due to exchange controls of the country in which the obligor is located.

(10) An authorized institution, in complying with the requirements under subsection (3), (4), (5), (6) or (7) or section 59(8), (9) or (10), 60(8) or (9) or 61(8) or (9), must not use an ECAI issue specific rating allocated to a debt obligation that has ceased to be outstanding.

(11) In this section—

ECAI issue specific rating (ECAI特定債項評級)—

(a) in relation to an exposure to a sovereign, a bank, a securities firm or a corporate incorporated outside India, means a short-term credit assessment rating or long-term credit assessment rating that is assigned to the exposure by an ECAI within the meaning of paragraph (a), (b), (c), (d) or (e) of the definition of ***external credit assessment institution*** in section 2(1), and is for the time being neither withdrawn nor suspended by that ECAI;

(b) in relation to an exposure to a collective investment scheme, has the meaning given by section 62(4); or

(c) in relation to an exposure to a corporate incorporated in India, means a short-term credit assessment rating or long-term credit assessment rating that is assigned to the exposure by an ECAI, and is for the time being neither withdrawn nor suspended by that ECAI;

ECAI issuer rating (ECAI發債人評級)—

(a) in relation to a sovereign, a bank, a securities firm or a corporate incorporated outside India, means a long-term credit assessment rating that is assigned to the sovereign, bank, securities firm or corporate by an ECAI within the meaning of paragraph (a), (b), (c), (d) or (e) of the definition of ***external credit assessment institution*** in section 2(1), and is for the time being neither withdrawn nor suspended by that ECAI; or

(b) in relation to a corporate incorporated in India, means a long-term credit assessment rating that is assigned to the corporate by an ECAI, and is for the time being neither withdrawn nor suspended by that ECAI;

long-term ECAI issue specific rating (長期ECAI特定債項評級)—

(a) in relation to an exposure to a sovereign, a bank, a securities firm or a corporate incorporated outside India, means an ECAI issue specific rating assigned to the exposure by an ECAI within the meaning of paragraph (a), (b), (c), (d) or (e) of the definition of ***external credit assessment institution*** in section 2(1) that is a long-term credit assessment rating; or

(b) in relation to an exposure to a corporate incorporated in India, means an ECAI issue specific rating assigned to the exposure by an ECAI that is a long-term credit assessment rating.

(L.N. 137 of 2011)

70. Authorized institutions required to nominate ECAIs to be used

(1) Subject to subsection (2), an authorized institution shall—

(a) nominate, for each of its ECAI ratings based portfolios which does not fall within paragraph (b), the name of the ECAI the credit assessment ratings issued by which it will use, for the purposes of this Part, in respect of the ECAI ratings based portfolio concerned; or

(b) nominate, for each of its ECAI ratings based portfolios which does not fall within paragraph (a), the names of the ECAIs the credit assessment ratings issued by which it will use, for the purposes of this Part, in respect of the ECAI ratings based portfolio concerned.

(2) An authorized institution—

(a) shall nominate under subsection (1)(a) the name of an ECAI for an ECAI ratings based portfolio of the institution in respect of which, having regard to the obligors in respect of the institution's exposures which fall within that portfolio and to the geographical regions where those exposures arise or may require to be enforced, it can reasonably be concluded that the ECAI so nominated issues a range of credit assessment ratings which provides a reasonable coverage for that portfolio;

(b) shall nominate under subsection (1)(b) the names of ECAIs for an ECAI ratings based portfolio of the institution in respect of which, having regard to the obligors in respect of the institution's exposures which fall within that portfolio and to the geographical regions where those exposures arise or may require to be enforced, it can reasonably be concluded that the ECAIs so nominated, and taken collectively, issue a range of credit assessment ratings which provides a reasonable coverage for that portfolio.

(3) An authorized institution shall, as soon as is practicable after making a nomination under subsection (1), give notice in writing to the Monetary Authority of the nomination.

(4) An authorized institution shall not, in respect of an ECAI ratings based portfolio of the institution, use, for the purposes of this Part, the credit assessment ratings of an ECAI unless—

(a) the ECAI has been nominated under subsection (1) in respect of that portfolio; and

(b) notice of that nomination has been given to the Monetary Authority pursuant to subsection (3).

(5) An authorized institution may, with the prior consent of the Monetary Authority, amend a nomination under subsection (1) (including a nomination amended pursuant to this subsection).

(6) Subsections (2), (3) and (4), with all necessary modifications, apply to a nomination to be amended, or amended, pursuant to subsection (5) as they apply to a nomination under subsection (1).

(7) For the avoidance of doubt, it is hereby declared that an authorized institution shall, for the purposes of this Part, treat as not having an ECAI rating any person, debt obligation, or collective investment scheme, which, although falling within an ECAI ratings based portfolio of the institution, does not have an ECAI rating assigned to it by an ECAI nominated under subsection (1) by that institution in respect of that portfolio.

(8) In this section—

ECAI ratings based portfolio (ECAI評級基準組合), in relation to an authorized institution, means—

(a) the institution's sovereign exposures;

(b) the institution's public sector entity exposures;

(c) the institution's bank exposures;

(d) the institution's securities firm exposures;

(e) the institution's corporate exposures; or

(f) the institution's collective investment scheme exposures.

Division 4—Calculation of Risk-weighted Amount of Authorized Institution's Off-balance Sheet Exposures

70A. Application of sections 71(2) and (3), 72 and 73(b) and (c)

Sections 71(2) and (3), 72 and 73(b) and (c) do not apply to OTC derivative transactions or credit derivative contracts for which an authorized institution has an IMM(CCR) approval except for transactions or contracts for which the institution is permitted under section 10B(5), or has chosen under section 10B(7), to use the current exposure method.

(L.N. 156 of 2012)

71. Off-balance sheet exposures

(1) An authorized institution shall, in calculating the risk-weighted amount of an off-balance sheet exposure of the institution—

(a) specified in column 2 of Table 10; and

(b) booked in the institution's banking book, calculate the credit equivalent amount of the off-balance sheet exposure by multiplying the principal amount of the exposure, after deducting any specific provisions applicable to the exposure, by the CCF specified in column 3 of Table 10 opposite the exposure.

Table 10

Determination of CCF for Off-balance Sheet Exposures other than OTC Derivative Transactions or Credit Derivative Contracts

Item	Off-balance sheet exposures	CCF
1.	Direct credit substitutes	100%
2.	Transaction-related contingencies	50%
3.	Trade-related contingencies	20%
4.	Asset sales with recourse	100%
5.	Forward asset purchases	100%
6.	Partly paid-up shares and securities	100%
7.	Forward forward deposits placed	100%
8.	Note issuance and revolving underwriting facilities	50%
9.	Off-balance sheet exposures that do not fall within any of items 1, 2, 3, 4, 5, 6, 7 and 8 and arise from commitments— *(L.N. 175 of 2017)*	
	(a) subject to paragraph (d), which have an original maturity of not more than one year;	20%
	(b) subject to paragraph (d), which have an original maturity of more than one year;	50%

(c)	which may be cancelled at any time unconditionally by the authorized institution or which provide for automatic cancellation due to a deterioration in the creditworthiness of the persons to whom the institution has made the commitments;	0%
(d)	the drawdown of which will give rise to an off-balance sheet exposure falling within any of items 1, 2, 3, 4, 5, 6, 7 and 8 or any item specified in section 73,	the lower of the CCF applicable to the exposure based on the original maturity of the commitment or the CCF applicable to the off-balance sheet exposure arising from the drawdown of the commitment concerned *(L.N. 175 of 2017)*

where—

original maturity (原訂到期期限), in relation to a commitment of an authorized institution, means the period between the date on which the institution enters into the commitment and the earliest date on which the institution can, at its option, unconditionally cancel the commitment. *(L.N. 175 of 2017)*

(2) Subject to section 72, an authorized institution shall, in calculating the risk-weighted amount of an off-balance sheet exposure of the institution being an OTC derivative transaction or credit derivative contract—

(a) specified in column 2 of Table 11; and

(b) booked in the institution's banking book or trading book,

calculate the credit equivalent amount of the off-balance sheet exposure—

(c) subject to paragraph (d) and to any exceptions specified in column 2 of Table 11 applicable to the off-balance sheet exposure, by multiplying the principal amount of the off-balance sheet exposure by the CCF specified in column 3 of Table 11 opposite the off-balance sheet exposure and aggregating the resultant figure with the current exposure of the off-balance sheet exposure;

(d) if the off-balance sheet exposure is a single-currency floating rate against floating rate interest rate swap, by taking the current exposure of the off-balance sheet exposure as the credit equivalent amount.

Table 11

Determination of CCF for OTC Derivative Transactions or Credit Derivative Contracts

Item	Off-balance sheet exposures	CCF
1.	Exchange rate contracts (other than an excluded exchange rate contract)—	
	(a) with a residual maturity of not more than one year;	1%
	(b) with a residual maturity of more than one year but not more than 5 years;	5%
	(c) with a residual maturity of more than 5 years,	7.5%

where—

excluded exchange rate contract (豁除匯率合約) means—

(a) *(Repealed L.N. 212 of 2015)*

(b) a forward exchange rate contract entered into by the authorized institution pursuant to a swap deposit arrangement with an obligor;

swap deposit arrangement (掉期存款安排) means an arrangement entered into by the authorized institution with an obligor whereby the institution sells a specified currency at spot rate to the obligor against another currency, and at the same time, the obligor deposits the specified currency so purchased with the institution and enters into a forward exchange rate contract with the institution to sell the specified currency so purchased back to the institution against another currency at a specified exchange rate on a future date.

2. Interest rate contracts—

(a) with a residual maturity of not more than one year;	0%
(b) with a residual maturity of more than one year but not more than 5 years;	0.5%

	(c) with a residual maturity of more than 5 years.	1.5%
3.	Equity contracts—	
	(a) with a residual maturity of not more than one year;	6%
	(b) with a residual maturity of more than one year but not more than 5 years;	8%
	(c) with a residual maturity of more than 5 years.	10%
4.	Precious metal contracts—	
	(a) with a residual maturity of not more than one year;	7%
	(b) with a residual maturity of more than one year but not more than 5 years;	7%
	(c) with a residual maturity of more than 5 years.	8%
5.	Debt security contracts or other commodity contracts—	
	(a) with a residual maturity of not more than one year;	10%
	(b) with a residual maturity of more than one year but not more than 5 years;	12%
	(c) with a residual maturity of more than 5 years.	15%
6.	Credit derivative contracts which are—	
	(a) credit default swaps booked in the trading book—	
	(i) where the authorized institution is a protection buyer and the reference obligation is—	

(A) a qualifying reference obligation;	5%
(B) a non-qualifying reference obligation;	10%
(ii) where the authorized institution is a protection seller and the credit default swap is subject to close-out upon the insolvency of the protection buyer while the reference entity is still solvent and the reference obligation is—	
(A) a qualifying reference obligation;	5%
(B) a non-qualifying reference obligation;	10%
(iii) where the authorized institution is a protection seller and the credit default swap does not fall within subparagraph (ii) and the reference obligation is—	
(A) a qualifying reference obligation;	0%
(B) a non-qualifying reference obligation;	0%
(b) total return swaps booked in the trading book—	

(i) where the authorized institution is a protection buyer and the reference obligation is—	
(A) a qualifying reference obligation;	5%
(B) a non-qualifying reference obligation;	10%
(ii) where the authorized institution is a protection seller and the reference obligation is—	
(A) a qualifying reference obligation;	5%
(B) a non-qualifying reference obligation,	10%
where the amount of the potential exposure for a credit derivative contract which falls within paragraph (a)(ii) shall be capped at the amount of the unpaid premium under the contract.	

(3) For the avoidance of doubt, it is hereby declared that an authorized institution is not required to hold regulatory capital in respect of an excluded exchange rate contract specified in Table 11.

72. Provisions supplementary to section 71

For the purposes of the operation of section 71 in relation to an authorized institution and its off-balance sheet exposures—

(a) in the case of an off-balance sheet exposure which has multiple exchanges of principal, the institution shall calculate its potential exposure to the off-balance sheet exposure by multiplying the product of the number of payments remaining to be made under the off-balance sheet exposure and the principal by the CCF required to be used under that section in respect of the off-balance sheet exposure;

(b) in the case of an off-balance sheet exposure—

(i) which is structured to settle the outstanding exposures under the off-balance sheet exposure on specified payment dates; and

(ii) the terms of which are reset so that the market value of the off-balance sheet exposure is zero on the specified payment dates referred to in subparagraph (i),

the institution—

(iii) subject to subparagraph (iv), shall treat the residual maturity of the off-balance sheet exposure as being equal to the period until the next specified payment date; and

(iv) if the off-balance sheet exposure is an interest rate contract where the remaining time to final maturity of the contract is more than one year, shall not use a CCF of less than 0.5% in respect of the off-balance sheet exposure;

(c) in the case of an off-balance sheet exposure booked in the institution's trading book which is a first-to-default credit derivative contract, the institution shall use the CCF for non-qualifying reference obligation if there is at least one non-qualifying reference obligation in the basket of reference obligations specified in the contract, otherwise the CCF for qualifying reference obligation is to be used;

(d) in the case of an off-balance sheet exposure booked in the institution's trading book which is a second-to-default credit derivative contract or any other subsequent-to-default credit derivative contract, the institution shall—

(i) for the second-to-default credit derivative contract, use the CCF for non-qualifying reference obligation if there are at least 2 non-qualifying reference obligations in the basket of reference obligations specified in the second-to-default credit derivative contract, otherwise the CCF for qualifying reference obligation is to be used;

(ii) for any other subsequent-to-default credit derivative contract, determine the CCF for the other subsequent-to-default credit derivative contract with reference to the corresponding number of non-qualifying reference obligations in the basket of reference obligations specified in the contract based on the approach taken in subparagraph (i);

(e) in the case of an off-balance sheet exposure arising from a commitment in the form of a general banking facility consisting of 2 or more credit lines, where under each credit line, an authorized institution is obliged either to provide funds or create off-balance sheet exposures in the future, the institution shall assign a CCF to the commitment in accordance with item 9(a), (b) or (c) of Table 10 based on the original maturity of the commitment; *(L.N. 137 of 2011; L.N. 175 of 2017)*

(f) in the case of an off-balance sheet exposure that is a credit derivative contract where—

(i) the contract is a credit default swap, the institution is the protection seller and a regulatory capital has been held in respect of the risk-weighted amount calculated in accordance with section 74 or Part 7 for the credit risk of the reference obligation underlying the swap; or

(ii) the institution is the protection buyer and the credit risk mitigation effect of the contract has been recognized and taken into account, in accordance with Divisions 9 and 10, or Division 5 of Part 7, for the purposes of the calculation of the risk-weighted amount of the exposure to which credit protection is provided by the contract, *(L.N. 175 of 2017)*

the institution must treat the credit equivalent amount of the exposure as zero. *(L.N. 137 of 2011)*

73. Calculation of credit equivalent amount of other off-balance sheet exposures not specified in Table 10 or 11

An authorized institution must, in calculating the risk-weighted amount of an off-balance sheet exposure that is not specified in Table 10 or 11—

(a) subject to paragraph (c), if the exposure is not specified in Table 10 and is neither an OTC derivative transaction nor a credit derivative contract, calculate the credit equivalent amount of the exposure by applying a CCF of 100% in accordance with section 71(1) with all necessary modifications;

(b) subject to paragraph (c), if the exposure is an OTC derivative transaction or credit derivative contract that is not specified in Table 11, calculate the credit equivalent amount of the exposure by treating the exposure as if it fell within item 5 of Table 11 and applying the relevant CCF specified in that item in accordance with section 71(2) with all necessary modifications; or

(c) calculate the credit equivalent amount of the exposure by applying the CCF applicable to the exposure pursuant to Part 2 of Schedule 1 in accordance with section 71(1) or (2), as the case requires, with all necessary modifications.

(L.N. 137 of 2011)

74. Determination of risk-weights applicable to off-balance sheet exposures

(1) Subject to subsections (2) and (6A), an authorized institution shall determine the risk-weight attributable to an off-balance sheet exposure in accordance with sections 55, 56, 57, 58, 59, 60, 61, 63A, 64, 65, 66, 67 and 68A as if the exposure were an on-balance sheet exposure. *(L.N. 156 of 2012)*

(2) Where an off-balance sheet exposure referred to in subsection (1) of an authorized institution is—

(a) an asset sale with recourse;

(b) a forward asset purchase;

(c) partly paid-up shares and securities; or

(d) a direct credit substitute arising from the selling of credit derivative contracts in the form of total return swaps or credit default swaps in the institution's banking book,

the institution shall determine the risk-weight attributable to the exposure—

(e) in the case of paragraph (a) or (b), by reference to the risk-weight allocated to the assets sold or purchased or the attributed risk-weight of the obligor in respect of the assets sold or purchased; *(L.N. 175 of 2017)*

(f) in the case of paragraph (c), by reference to the risk-weight allocated to the relevant shares or securities; *(L.N. 212 of 2015)*

(g) in the case of paragraph (d), subject to subsections (3), (4), (5) and (6), by reference to the risk-weight of the relevant reference obligation in respect of the credit derivative contract. *(L.N. 175 of 2017)*

(3) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from a first-to-default credit derivative contract— *(L.N. 175 of 2017)*

(a) *(Repealed L.N. 175 of 2017)*

(b) the institution— *(L.N. 175 of 2017)*

(i) subject to subparagraph (ii), shall aggregate the risk-weights of the reference obligations in the basket of reference obligations specified in the contract to determine the risk-weight to be allocated to its exposure in respect of the contract; and

(ii) shall not allocate to its exposure in respect of the contract a risk-weight greater than 1,250%.

(4) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from a second-to-default credit derivative contract— *(L.N. 175 of 2017)*

(a) *(Repealed L.N. 175 of 2017)*

(b) the institution— *(L.N. 175 of 2017)*

(i) subject to subparagraph (ii), shall aggregate the risk-weights of the reference obligations in the basket of reference obligations specified in the contract to determine the risk-weight to be allocated to its exposure in respect of the contract but excluding the lowest of those risk-weights; and

(ii) shall not allocate to its exposure in respect of the contract a risk-weight greater than 1,250%.

(5) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from any other subsequent-to-default credit derivative contract, the institution shall, for the purposes of that subsection, and with all necessary modifications, apply subsection (4) to that contract as that subsection is applied to a second-to-default credit derivative contract so that the reference to “lowest” in subsection (4)(b)(i) is construed to mean “lowest and second lowest” in the case of a third-to-default credit derivative contract and “lowest, second lowest and third lowest” in the case of a fourth-to-default credit derivative contract and likewise for other subsequent-to-default credit derivative contracts. *(L.N. 175 of 2017)*

(6) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from a credit derivative contract which provides credit protection proportionately in respect of the reference obligations in the basket of reference obligations specified in the contract, the institution shall calculate the risk-weight of its exposure in respect of the contract by taking a weighted average of the risk-weights attributable to the reference obligations in the basket by the use of Formula 1. *(L.N. 175 of 2017)*

Formula 1

Calculation of Risk-weight of Off-balance Sheet Exposure Arising from Credit Derivative Contract which falls within Section 74(6)

(L.N. 175 of 2017)

$$RW_a = \sum_i a_i \times RW_i$$

where—

RW_a = average risk-weight in a basket of reference obligations;

a_i = proportion of credit protection allocated to a reference obligation; and

RW_i = risk-weight of a reference obligation.

(6A) Where an off-balance sheet exposure referred to in subsection (1) of an authorized institution arises from a single-name credit default swap that falls within section 226J(1) and the default risk exposure in respect of the swap is determined in accordance with section 226J(3), the institution must determine the risk-weight attributable to the exposure by reference to the attributed risk-weight of the counterparty in respect of the swap without taking into account any recognized credit risk mitigation afforded to the swap. *(L.N. 156 of 2012)*

(7) For the avoidance of doubt, it is hereby declared that where an off-balance sheet exposure referred to in subsection (1) of an authorized institution arises from a commitment to extend a residential mortgage loan, the institution shall allocate a risk-weight in accordance with section 65 to the exposure only if the institution has no reason to believe that any of the provisions of that section will not be satisfied immediately after the loan that is the subject of that commitment is drawn down. *(L.N. 175 of 2017)*

75. Calculation of risk-weighted amount of exposures in respect of assets underlying SFTs booked in banking book*

(1) An authorized institution shall calculate the risk-weighted amount of an exposure in respect of the asset underlying an SFT booked in its banking book in accordance with the following provisions. *(L.N. 156 of 2012)*

(2) Subject to subsection (5), where the SFT is a repo-style transaction that falls within paragraph (a) or (b) of the definition of ***repo-style transaction*** in section 2(1), an authorized institution shall treat the securities sold or lent under the transaction as an on-balance sheet exposure of the institution as if the institution had never entered into the transaction and, accordingly, calculate the risk-weighted amount of the institution's exposure in respect of the transaction by reference to the risk-weight attributable to the securities. *(L.N. 156 of 2012)*

(3) *(Repealed L.N. 156 of 2012)*

(4) Subject to subsection (5), where the SFT is a repo-style transaction that falls within paragraph (d) of the definition of ***repo-style transaction*** in section 2(1)— *(L.N. 156 of 2012)*

(a) *(Repealed L.N. 156 of 2012)*

(b) if and to the extent an authorized institution has provided collateral in the form of securities under the transaction, the institution shall treat those securities as its on-balance sheet exposure as if the institution had never entered into the transaction and, accordingly, calculate the risk-weighted amount of the institution's exposure in respect of the transaction by reference to the risk-weight attributable to the securities.

(5) Where the asset underlying an SFT is a securitization issue, an authorized institution must determine the risk-weight attributable to the asset in accordance with Part 7. *(L.N. 156 of 2012)*

Editorial Note:

* (L.N. 156 of 2012)

76. Calculation of risk-weighted amount of exposures in respect of assets underlying SFTs booked in trading book

(1) To avoid doubt, an exposure of an authorized institution to the asset underlying a specified SFT is an exposure subject to the requirements of Part 8 instead of this Part.

(2) In subsection (1)—

specified SFT (指明SFT), in relation to an authorized institution, means—

(a) a repo-style transaction that is booked in the institution's trading book and falls within paragraph (a) or (b) of the definition of ***repo-style transaction*** in section 2(1); or

(b) a repo-style transaction—

(i) that is booked in the institution's trading book and falls within paragraph (d) of the definition of ***repo-style transaction*** in section 2(1); and

(ii) under which the collateral provided by the institution is in the form of securities.

(L.N. 222 of 2018)

76A. Calculation of risk-weighted amount of default risk exposures in respect of SFTs

(1) Where an authorized institution does not have an IMM(CCR) approval for SFTs, the institution must calculate the risk-weighted amount of its default risk exposures in respect of SFTs (whether booked in its banking book or trading book) in accordance with subsections (4), (5), (6) and (7).

(2) Subject to subsection (3), an authorized institution that has an IMM(CCR) approval for SFTs must calculate the risk-weighted amount of its default risk exposures in respect of SFTs (whether booked in its banking book or trading book) using the IMM(CCR) approach.

(3) Where—

(a) an authorized institution has an IMM(CCR) approval for SFTs but the approval does not include SFTs that are long settlement transactions; or

(b) an authorized institution is permitted under section 10B(5), or has chosen under section 10B(7), to use the methods referred to in section 10A(1)(b) for certain SFTs,

the institution must calculate the risk-weighted amount of its default risk exposures in respect of SFTs (whether booked in its banking book or trading book) that are not, by virtue of the circumstance described in paragraph (a) or (b), subject to the IMM(CCR) approach, in accordance with subsections (4), (5), (6) and (7).

(4) Where the SFT is a repo-style transaction that falls within paragraph (a) or (b) of the definition of ***repo-style transaction*** in section 2(1), the authorized institution must treat the securities sold or lent under the transaction as if they were an on-balance sheet exposure to the counterparty secured on the money or securities that are provided to, or to the order of, the institution under the transaction and, accordingly, calculate the risk-weighted amount of the institution's default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(5) Where the SFT is a repo-style transaction that falls within paragraph (c) of the definition of ***repo-style transaction*** in section 2(1), the authorized institution must treat the money paid by the institution under the transaction as if it were a loan to the counterparty secured on the securities that are provided to, or to the order of, the institution under the transaction and, accordingly, calculate the risk-weighted amount of the institution's default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(6) Where the SFT is a margin lending transaction, the authorized institution must calculate the risk-weighted amount of its default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(7) Where the SFT is a repo-style transaction that falls within paragraph (d) of the definition of ***repo-style transaction*** in section 2(1)—

(a) if and to the extent that the authorized institution has provided collateral in the form of money under the transaction, the institution must treat the money paid by the institution under the transaction as if it were a loan to the counterparty secured on the securities borrowed by the institution and, accordingly, calculate the risk-weighted amount of the institution's default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction; and

(b) if and to the extent that the authorized institution has provided collateral in the form of securities under the transaction, the institution must treat those securities as if they were an on-balance sheet exposure to the counterparty secured on the securities borrowed by the institution and, accordingly, calculate the risk-weighted amount of the institution's default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(L.N. 156 of 2012)

Division 5—Use of Recognized Collateral in Credit Risk Mitigation: General

77. Recognized collateral

Collateral is recognized for the purposes of calculating the risk-weighted amount of an exposure of an authorized institution where —

(a) all documentation creating the collateral and providing for the obligations of the parties with respect to each other in respect of the collateral is binding on all parties and legally enforceable in all relevant jurisdictions;

(b) the legal mechanism by which the collateral is pledged or transferred ensures that the institution has the right to realize, or to take legal possession of, the collateral in a timely manner in the event of a default by, or the insolvency or bankruptcy of, or any other event specified in the relevant legal documentation applicable to any of —

(i) the obligor in respect of the exposure; or

(ii) the custodian, if any, holding the collateral;

(c) the institution has clear and adequate procedures for the timely realization of collateral in respect of an event referred to in paragraph (b);

(d) the institution has taken all steps to fulfil requirements under the law applicable to the institution's interest in the collateral which are necessary to obtain and maintain an enforceable security interest, whether by registration or otherwise, or to exercise a right to set-off in relation to title transfer collateral;

(e) if the collateral is to be held by a custodian, the institution has taken reasonable steps to ensure that the custodian segregates the collateral from the custodian's assets;

(ea) if the collateral is provided under a margin agreement for OTC derivative transactions, credit derivative contracts or SFTs, the institution—

(i) has devoted sufficient resources to enable the orderly operation of the agreement; and

(ii) has collateral management policies in place to control, monitor and report—

(A) risks (including liquidity risk and concentration risk) associated with the agreement;

(B) reuse of collateral; and

(C) the rights ceded by the institution in respect of collateral posted; *(L.N. 156 of 2012)*

(f) there is no material positive correlation between the credit quality of the obligor in respect of which the institution has an exposure and the current market value of the collateral provided in respect of the exposure; *(L.N. 156 of 2012)*

(g) if the simple approach to the treatment of recognized collateral applies to the collateral, the collateral—

(i) is pledged for not less than the life of the exposure;

(ii) subject to subparagraph (iii), is revalued not less than every 6 months from the date upon which the collateral is taken in respect of the exposure; and

(iii) in the case of an exposure which is a past due exposure, is revalued not less than every 3 months from the date upon which the exposure is classified as a past due exposure;

(h) if the comprehensive approach to the treatment of recognized collateral applies to the collateral, the institution has in place a written internal policy and systems and procedures—

(i) adequate to enable the institution to manage collateral provided to it in respect of any relevant exposure; and

(ii) to revalue the collateral as necessary and take account of the assumed minimum holding periods for collateral in the calculation of the risk-weighted amount of its exposures in respect of collateralized transactions; and

(i) the collateral falls within—

(i) section 79(1)(a), (b), (c), (d), (e), (f), (g), (h), (i), (j), (ja), (k), (l), (la), (m), (n), (o) or (p) if the institution uses the simple approach in its treatment of recognized collateral; or

(ii) section 80(1)(a), (b), (c) or (d) if the institution uses the comprehensive approach in its treatment of recognized collateral. *(L.N. 156 of 2012)*

78. Approaches to use of recognized collateral

(1) Subject to subsection (2), an authorized institution may use the simple approach or the comprehensive approach in its treatment of recognized collateral for the purposes of calculating the risk-weighted amount of its exposures.

(2) An authorized institution shall—

(a) for exposures booked in the institution's banking book which are not past due exposures, use only the simple approach or only the comprehensive approach to the treatment of recognized collateral;

(b) for past due exposures booked in the institution's banking book, use only the simple approach to the treatment of recognized collateral; and

(c) for exposures booked in the institution's trading book, use only the comprehensive approach to the treatment of recognized collateral.

79. Collateral which may be recognized for purposes of section 77(i)(i)

(1) Subject to subsection (2), for the purposes of section 77(i)(i), only collateral of the following description may be recognized in relation to an authorized institution which uses the simple approach in its treatment of recognized collateral— *(L.N. 156 of 2012)*

(a) cash on deposit with the institution or held at a third-party bank;

(b) certificates of deposit issued by the institution;

(c) instruments issued by the institution which are comparable to instruments referred to in paragraph (b);

(d) gold bullion;

(e) debt securities issued by a sovereign which have a long-term ECAI issue specific rating which, if mapped to the scale of credit quality grades in Table A in Schedule 6, would result in the debt securities being assigned a credit quality grade of 1, 2, 3 or 4;

(f) debt securities (other than restricted debt securities) issued by a sovereign foreign public sector entity which have an ECAI issue specific rating which, if mapped to the scale of credit quality grades in Table A in Schedule 6 as if they were securities issued by a sovereign, would result in the debt securities being assigned a credit quality grade of 1, 2, 3 or 4;

(g) debt securities issued by a domestic public sector entity or foreign public sector entity (other than a sovereign foreign public sector entity) which have an ECAI issue specific rating which, if mapped to the scale of credit quality grades in Table A in Schedule 6 as if they were securities issued by a sovereign, would result in the debt securities being assigned a credit quality grade of 1, 2 or 3;

(h) debt securities issued by a multilateral development bank;

(i) debt securities issued by a bank or securities firm which have a long-term ECAI issue specific rating which, if mapped to the scale of credit quality grades in Table B in Schedule 6, would result in the debt securities being assigned a credit quality grade of 1, 2 or 3;

(j) debt securities issued by a corporate incorporated outside India that have a long-term ECAI issue specific rating that, if mapped to the scale of credit quality grades in Part 1 of Table C in Schedule 6, would result in the debt securities being assigned a credit quality grade of 1, 2 or 3; *(L.N. 137 of 2011)*

(ja) debt securities issued by a corporate incorporated in India that have a long-term ECAI issue specific rating that, if mapped to the scale of credit quality grades in Part 1 of Table C in Schedule 6, would result in the debt securities being assigned a credit quality grade of 1, 2 or 3 or, if mapped to the scale of credit quality grades in Part 2 of that Table, would result in the debt securities being assigned a credit quality grade of 1, 2, 3 or 4; *(L.N. 137 of 2011)*

(k) debt securities issued by a sovereign, public sector entity or sovereign foreign public sector entity which have a short-term ECAI issue specific rating which, if mapped to the scale of credit quality grades in Part 1 of Table E in Schedule 6 as if they were securities issued by a bank, securities firm or corporate, would result in the debt securities being assigned a credit quality grade of 1, 2 or 3; *(L.N. 137 of 2011)*

(l) debt securities issued by a bank, a securities firm or a corporate incorporated outside India that have a short-term ECAI issue specific rating that, if mapped to the scale of credit quality grades in Part 1 of Table E in Schedule 6, would result in the debt securities being assigned a credit quality grade of 1, 2 or 3; *(L.N. 137 of 2011)* (la) debt securities issued by a corporate incorporated in India that have a short-term ECAI issue specific rating that, if mapped to the scale of credit quality grades in Part 1 of Table E in Schedule 6, would result in the debt securities being assigned a credit quality grade of 1, 2 or 3 or, if mapped to the scale of credit quality grades in Part 2 of that Table, would result in the debt securities being assigned a credit quality grade of 1, 2, 3 or 4; *(L.N. 137 of 2011)*

(m) debt securities issued by a bank which do not have an ECAI issue specific rating where— *(L.N. 212 of 2015)*

(i) the debt securities are not subordinated to any other debt obligations of the issuer of the debt securities;

(ii) the debt securities are listed on a recognized exchange and the institution is of the reasonable opinion that, having regard to current market conditions, there is sufficient liquidity in the market for the debt securities to enable the institution to dispose of the debt securities at an open market price;

(iii) other debt securities issued by the same issuer which have an ECAI issue specific rating and rank equally with the first-mentioned debt securities, have an ECAI issue specific rating which, if mapped to the scale of credit quality grades in Table B in Schedule 6 (or, in the case of exposures with short-term ECAI issue specific ratings, in Part 1 of Table E in Schedule 6) would result in those other debt securities being assigned a credit quality grade of 1, 2 or 3; and *(L.N. 137 of 2011)*

(iv) the institution is not aware, and has no reason to be aware, of information suggesting that an assignment of a credit quality grade of 4 or 5 in Table B in Schedule 6 (or, in the case of short-term ECAI issue specific ratings, a credit quality grade of 4 in Part 1 of Table E in Schedule 6) would be justified in respect of the debt securities; *(L.N. 137 of 2011)*

(n) equities (including convertible bonds) which are included in any main indices;

(o) units or shares in a collective investment scheme where —

(i) the price of the units or shares in that scheme is quoted publicly on a daily basis; and

(ii) that scheme is restricted by its investment guidelines or objects to investing in those items listed in these Rules as being recognized collateral for the purposes of using the simple approach to the treatment of recognized collateral;or

(p) collateral in the form of real property (whether residential or otherwise) insofar as the collateral relates to a past due exposure.

(2) Any reference to debt securities in subsection (1) does not include debt securities that, if treated as an on-balance sheet exposure of an authorized institution, would fall within the definition of ***re-securitization exposure*** in section 2(1).*(L.N. 156 of 2012)*

80. Collateral which may be recognized for purposes of section 77(i)(ii)

(1) Subject to subsection (2), for the purposes of section 77(i)(ii), only collateral of the following description may be recognized in relation to an authorized institution which uses the comprehensive approach in its treatment of recognized collateral— *(L.N. 156 of 2012)*

(a) recognized collateral falling within section 79(1)(a), (b), (c), (d), (e), (f), (g), (h), (i), (j), (ja), (k), (l), (la), (m), (n) or (o); *(L.N. 137 of 2011; L.N. 156 of 2012)*

(b) equities (including convertible bonds) which are not included in a main index but are listed on a recognized exchange;

(c) units or shares in collective investment schemes which may invest in equities referred to in paragraph (b); or

(d) securities received by the institution under a repo-style transaction that is booked in the institution’s trading book. *(L.N. 175 of 2017)*

(2) Collateral referred to in subsection (1) does not include debt securities that, if treated as an on-balance sheet exposure of an authorized institution, would fall within the definition of ***re-securitization exposure*** in section 2(1). *(L.N. 156 of 2012)*

Division 6—Use of Recognized Collateral in Credit Risk Mitigation: Simple Approach

81. Calculation of risk-weighted amount of exposures taking into account credit risk mitigation effect of recognized collateral under simple approach

(1) Where an authorized institution uses the simple approach in its treatment of recognized collateral, the institution shall, in respect of an exposure of the institution to which the collateral relates—

(a) subject to subsections (2), (3) and (4), allocate to the credit protection covered portion of the exposure the risk-weight of the collateral; and

(b) allocate to the credit protection uncovered portion of the exposure the risk-weight of the exposure.

(2) Where recognized collateral consists of collateral—

(a) which falls within section 79(1)(a), (b) or (c); *(L.N. 156 of 2012)*

(b) which is held at a third-party bank in a non-custodial arrangement; and

(c) which is unconditionally and irrevocably pledged or assigned to an authorized institution,

the institution shall allocate to the credit protection covered portion of the exposure the attributed risk-weight of the third-party bank.

(3) Where—

(a) an exposure is a past due exposure; and

(b) the recognized collateral provided in respect of the exposure is real property,

an authorized institution shall allocate a risk-weight of 100% to the credit protection covered portion.

(4) Where recognized collateral is real property, an authorized institution shall, for the purposes of making a substitution pursuant to subsection (1)(a), reduce the current market value of the real property by—

(a) 10% in the case of residential property;

(b) 20% in the case of any other real property.

82. Determination of risk-weight to be allocated to recognized collateral under simple approach

(1) Where an authorized institution uses the simple approach in its treatment of recognized collateral, the institution—

(a) subject to paragraph (b)—

(i) must, subject to subparagraph (ii), determine the risk-weight to be allocated to the collateral in accordance with sections 55, 56, 57, 58, 59, 60, 61, 62, 63, 66 and 68 as if the collateral were an on-balance sheet exposure; and

(ii) if the collateral is a securitization issue, must determine the risk-weight to be allocated to the collateral in accordance with Part 7 as if the collateral were an on-balance sheet exposure; and *(L.N. 137 of 2011; L.N. 175 of 2017)*

(b) subject to subsections (2), (3) and (4), shall not allocate a risk-weight of less than 20% to the collateral.

(2) Subject to subsection (3), an authorized institution may under subsection (1) allocate a risk-weight of 0% to recognized collateral provided under a repo-style transaction booked in the institution's banking book where— *(L.N. 175 of 2017)*

(a) the counterparty is—

(i) a sovereign;

(ii) a public sector entity;

(iii) a multilateral development bank;

(iv) a bank or securities firm;

(v) a corporate (other than a bank or securities firm)—

(A) which is an investment company, insurance firm, finance company or other like financial institution; and

(B) which has an attributed risk-weight of not more than 20%; or

(vi) a clearing organization (other than a restricted clearing organization) the activities or objects of which include—

(A) the provision of services for the clearing and settlement of transactions in, or the day-to-day adjustment of the financial position of, futures contracts or option contracts effected on an exchange;

(B) the provision of services for the clearing and settlement of transactions in securities effected on an exchange;

(C) the provision of services for the clearing and settlement of payment obligation; or

(D) the provision of guarantees for the settlement of any transactions which fall within sub-subparagraph (A), (B) or (C);

(b) the exposure to which the collateral relates and the collateral are—

(i) cash; or

(ii) securities issued by a sovereign, or a sovereign foreign public sector entity, which would be allocated a risk-weight of 0% under the use of the STC approach;

(c) the exposure and the collateral have no currency mismatch;

(d) either—

(i) the exposure is only an overnight exposure; or

(ii) the exposure and the collateral are revalued daily by marking-to-market, and based on the marked-to-market value of the exposure and the collateral—

(A) the value of any excess collateral (referred to in this subsection as ***margin***) is calculated daily; and

(B) if the margin is below the value required under the terms of the transaction, the counterparty is required to bring the margin up to the required value on the same day;

(e) the institution reasonably expects, if the counterparty fails to deliver any shortfall in margin required to be delivered to the institution under the terms of the transaction, to be able to realize the collateral for its benefit within 4 business days beginning on the day after the day on which the exposure is marked-to-market for the last time before the counterparty's failure to deliver the shortfall in margin; *(L.N. 212 of 2015)*

(f) the transaction is settled by means of a settlement system customarily used for repo-style transactions;

(g) the transaction is documented using standard market documentation for repo-style transactions involving securities of the same type as those that are the subject matter of the transaction; and *(L.N. 212 of 2015)*

(h) the documentation setting out the transaction provides that—

(i) the institution may terminate the transaction immediately if—

(A) the counterparty commits an event of default under the transaction; or

(B) an event of default occurs in respect of the counterparty; and

(ii) the institution has, immediately upon any such default, an unfettered and legally enforceable right to seize and realize the collateral for its benefit, whether or not the counterparty is insolvent or bankrupt.

(3) Where the recognized collateral is provided to an authorized institution under a repo-style transaction which satisfies all the provisions of subsection (2) except paragraph (a) of that subsection, the institution may under subsection (1) allocate a risk-weight of 10% to the collateral.

(4) An authorized institution may under subsection (1)—

(a) allocate a risk-weight of 0% to recognized collateral provided under an OTC derivative transaction or a credit derivative contract where—

(i) the transaction or contract is marked-to-market daily and is collateralized by cash provided to the institution; and

(ii) the settlement currency of the transaction or contract and the cash provided to the institution as collateral have no currency mismatch;

(b) allocate a risk-weight of 10% to recognized collateral which is provided under an OTC derivative transaction or a credit derivative contract where—

(i) the transaction or contract is marked-to-market daily, and is collateralized by debt securities issued by a sovereign, or a sovereign foreign public sector entity, which would under section 55 or 57, as the case may be, be allocated a risk-weight of 0%; and

(ii) the settlement currency of the transaction or contract and the collateral provided to the institution have no currency mismatch;

(c) *(Repealed L.N. 212 of 2015)*

(d) allocate a risk-weight of 0% to recognized collateral provided in the case of any financial transaction where—

(i) the collateral and the exposure to which the collateral relates have no currency mismatch; and

(ii) the collateral is either—

(A) cash; or

(B) debt securities—

(I) which are issued by a sovereign, or a sovereign foreign public sector entity, and would under section 55 or 57, as the case may be, be allocated a risk-weight of 0%; and

(II) the current market value of which has been reduced by a haircut of 20%.

(5) In this section—

cash (現金)—

(a) in relation to an exposure, means money paid by an authorized institution to a counterparty under a repo-style transaction; or *(L.N. 137 of 2011)*

(b) in relation to a collateral, means recognized collateral which falls within section 79(1)(a), (b) or (c), other than collateral held at a third-party bank in a non-custodial arrangement. *(L.N. 156 of 2012)*

83. Calculation of risk-weighted amount of on-balance sheet exposures

An authorized institution shall calculate the risk-weighted amount of each of its on-balance sheet exposures by—

(a) dividing the principal amount of the exposure, net of specific provisions, into—

(i) the credit protection covered portion; and

(ii) the credit protection uncovered portion;

(b) multiplying the credit protection covered portion by the risk-weight attributable to the recognized collateral and multiplying the credit protection uncovered portion by the risk-weight attributable to the exposure; and

(c) adding together the 2 products derived from the application of paragraph (b).

84. Calculation of risk-weighted amount of off-balance sheet exposures other than OTC derivative transactions or credit derivative contracts*

An authorized institution shall calculate the risk-weighted amount of each of its off-balance sheet exposures which is neither an OTC derivative transaction nor a credit derivative contract by— *(L.N. 137 of 2011)*

(a) dividing the principal amount of the exposure, net of specific provisions, into—

(i) the credit protection covered portion; and

(ii) the credit protection uncovered portion;

(b) multiplying the credit protection covered portion and the credit protection uncovered portion by the CCF applicable to the off-balance sheet exposure to produce 2 credit equivalent amounts;

(c) multiplying the credit equivalent amount of the credit protection covered portion by the risk-weight attributable to the recognized collateral and multiplying the credit equivalent amount of the credit protection uncovered portion by the risk-weight attributable to the exposure; and

(d) adding together the 2 products derived from the application of paragraph (c).

Editorial Note:

* (Amended L.N. 137 of 2011)

85. Calculation of risk-weighted amount of OTC derivative transactions and credit derivative contracts*

(1) An authorized institution shall calculate the risk-weighted amount of each of its off-balance sheet exposures which is an OTC derivative transaction by— *(L.N. 137 of 2011)*

(a) dividing the outstanding default risk exposure of the transaction, net of specific provisions, into—

(i) the credit protection covered portion; and

(ii) the credit protection uncovered portion; *(L.N. 156 of 2012)*

(b) multiplying the credit protection covered portion by the risk-weight attributable to the recognized collateral and multiplying the credit protection uncovered portion by the risk-weight attributable to the exposure; and *(L.N. 156 of 2012)*

(c) adding together the 2 products derived from the application of paragraph (b). *(L.N. 156 of 2012)*

(d) *(Repealed L.N. 156 of 2012)*

(2) Subsection (1), with all necessary modifications, applies to the calculation of the risk-weighted amount of each of an authorized institution's off-balance sheet exposures that is a credit derivative contract as it applies to the calculation of the risk-weighted amount of each of the institution's off-balance sheet exposures that is an OTC derivative transaction. *(L.N. 137 of 2011)*

Editorial Note:
* (Amended L.N. 137 of 2011)

Division 7—Use of Recognized Collateral in Credit Risk Mitigation: Comprehensive Approach

86. Calculation of risk-weighted amount of exposures taking into account credit risk mitigation effect of recognized collateral under comprehensive approach

(1) Where an authorized institution uses the comprehensive approach in its treatment of recognized collateral, the institution shall calculate the risk-weighted amount of its on-balance sheet exposures and off-balance sheet exposures in accordance with sections 87, 88, 89, 90, 91, 92 and 93.

(2) Schedule 7 contains provisions relating to the use of standard supervisory haircut in the treatment of recognized collateral.

87. Calculation of net credit exposure of on-balance sheet exposures

An authorized institution shall calculate its net credit exposure to an obligor in respect of an on-balance sheet exposure by the use of Formula 2.

Formula 2

Calculation of Net Credit Exposure to Obligor under On-balance Sheet Exposure

$$E^* = \max \{0, [E \times (1 + H_e) - C \times (1 - H_c - H_{fx})]\}$$

where—

E^* = net credit exposure;

E = principal amount of on-balance sheet exposure net of specific provisions, if any;

H_e = haircut applicable to the authorized institution's exposure to the obligor pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92;

C = current market value of the recognized collateral before adjustment required by the comprehensive approach to the treatment of recognized collateral;

H_c = haircut applicable to the recognized collateral pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92; and

H_{fx} = haircut applicable in consequence of a currency mismatch, if any, pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92.

88. Calculation of net credit exposure of off-balance sheet exposures other than credit derivative contracts or OTC derivative transactions*

An authorized institution shall calculate its net credit exposure to an obligor in respect of an off-balance sheet exposure (other than a credit derivative contract or an OTC derivative transaction) by the use of Formula 3.

Formula 3

**Calculation of Net Credit Exposure to Obligor under Off-balance
Sheet Exposure other than Credit Derivative Contract or OTC Derivative Transaction**

$$E^* = \max\{0, [E \times (1 + H_e) - C \times (1 - H_c - H_{fx})]\} \times CCF$$

where—

E* = net credit exposure;

E = principal amount of off-balance sheet exposure net of specific provisions, if any;

H_e = haircut applicable to the authorized institution's exposure to the obligor pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92;

C = current market value of the recognized collateral before adjustment required by the comprehensive approach to the treatment of recognized collateral;

H_c = haircut applicable to the recognized collateral pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92;

H_{fx} = haircut applicable in consequence of a currency mismatch, if any, pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92; and

CCF = CCF applicable to the off-balance sheet exposure.

(L.N. 156 of 2012)

Editorial Note:

* (L.N. 156 of 2012)

89. Calculation of net credit exposure of credit derivative contracts and OTC derivative transactions*

An authorized institution shall calculate its net credit exposure to a counterparty in respect of a credit derivative contract, or an OTC derivative transaction, by the use of Formula 4.

Formula 4

Calculation of Net Credit Exposure to Counterparty under Credit Derivative Contract or OTC Derivative Transaction

$$E^* = \max\{0, [E - C \times (1 - H_c - H_{fx})]\}$$

where—

E^* = net credit exposure;

E = outstanding default risk exposure of the credit derivative contract or OTC derivative transaction, as the case may be, net of specific provisions, if any;

C = current market value of the recognized collateral before adjustment required by the comprehensive approach to the treatment of recognized collateral;

H_c = haircut applicable to the recognized collateral pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92; and

H_{fx} = haircut applicable in consequence of a currency mismatch, if any, pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92.

(L.N. 156 of 2012)

Editorial Note:

* (L.N. 156 of 2012)

90. Haircuts

Where a basket of recognized collateral which consists of more than one type of recognized collateral is provided to an authorized institution in respect of an exposure of the institution, the institution shall calculate the haircut applicable to the basket of recognized collateral by the use of Formula 5.

Formula 5

Calculation of Haircut where More than One Type of Recognized

Collateral is Provided in Respect of Same Exposure

$$H_a = \sum_i a_i \times H_i$$

where—

H_a = haircut applicable to the basket of recognized collateral;

a_i = weight of a given type of recognized collateral in relation to the aggregate value of all types of recognized collateral provided in respect of the exposure; and

H_i = haircut applicable to that given type of recognized collateral pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92.

91. Minimum holding periods

(1) Where in respect of an exposure of an authorized institution, there is— *(L.N. 156 of 2012)*

(a) a daily revaluation of the exposure and the recognized collateral provided in respect of the exposure; or

(b) a requirement that the obligor in respect of the exposure has to bring the value of the recognized collateral provided in respect of the exposure up to a value required under the terms of the transaction giving rise to the exposure based on the daily mark-to-market value of the exposure and the collateral (referred to in this Division as "daily remargining"),

the institution shall, for the purposes of determining whether adjustment of the standard supervisory haircuts applicable to the recognized collateral and the exposure under section 92 is needed, take the assumed minimum holding periods to be as set out in Table 12 based on the type of the transaction giving rise to the exposure.

Table 12

Assumed Minimum Holding Periods

Type of transaction	Assumed minimum holding period	Condition
Repo-style transactions	5 business days	Daily remargining
Other capital market transactions	10 business days	Daily remargining
Secured lending transactions	20 business days	Daily revaluation

(2) Where the exposure referred to in subsection (1) arises from a netting set that falls within any of the descriptions in section 226M(2), (3) or (7), the assumed minimum holding period of the netting set must be equal to the longer margin period of risk that would apply to the netting set under section 226M(2), (3) or (7), as the case requires. *(L.N. 156 of 2012; L.N. 175 of 2017)*

92. Adjustment of standard supervisory haircuts in certain circumstances

Where for the purposes of section 87, 88, 89, 90, 94, 95, 96 or 100 —

(a) the assumed minimum holding period of a transaction giving rise to an exposure of an authorized institution is not 10 business days; or

(b) the exposure of an authorized institution and the recognized collateral provided to the institution in respect of the exposure, are not subject to daily remargining or daily revaluation as assumed in the standard supervisory haircuts,

the institution shall adjust the standard supervisory haircuts by the use of Formula 6.

Formula 6

Adjustment of Standard Supervisory Haircuts for Circumstances Set Out in Section 92

$$H = H_{10} \times \sqrt{\frac{N_R + (T_M - 1)}{10}}$$

where—

H = haircut after adjustment for differences in assumed minimum holding period and remargining and revaluation frequency;

H_{10} = standard supervisory haircuts based on an assumed minimum holding period of 10 business days, daily remargining and daily revaluation;

N_R = actual number of days between each remargining or each revaluation of the recognized collateral; and

T_M = assumed minimum holding period for a particular type of transaction determined in accordance with section 91. *(L.N. 156 of 2012)*

93. Calculation of risk-weighted amount of collateralized transactions under comprehensive approach

An authorized institution shall calculate the risk-weighted amount of each of its exposures which is a collateralized transaction by multiplying the net credit exposure of the institution to the obligor by the risk-weight attributable to the exposure.

Division 8—Use of Recognized Netting in Credit Risk Mitigation

94. On-balance sheet netting

(1) Where amounts owed by an obligor to an authorized institution in respect of on-balance sheet exposures of the institution are subject to recognized netting, the institution—

(a) may take into account the effect of the recognized netting in calculating its exposure to the obligor; and

(b) if a net credit exposure for the institution is the result of so taking into account the effect of the recognized netting, shall use the net credit exposure in calculating the risk-weighted amount of the exposure.

(2) An authorized institution shall calculate its net credit exposure, if any, referred to in subsection (1)(b) by the use of Formula 7.

Formula 7

Calculation of Net Credit Exposure under Recognized Netting

$$\text{Net credit exposure} = \max\,[0, \text{exposures} - \text{liabilities} \times (1 - H_{fx})]$$

where—

exposures = the amounts subject to recognized netting, net of specific provisions, owed by the obligor to the authorized institution;

liabilities = the amounts subject to recognized netting owed by the authorized institution to the obligor; and

H_{fx} = haircut applicable in consequence of a currency mismatch, if any, between the currencies in which the exposures and liabilities are denominated pursuant to the standard supervisory haircuts applicable to currency mismatch set out in Schedule 7 subject to adjustment as set out in section 92.

(3) Where an authorized institution has a net credit exposure to an obligor after taking into account recognized netting, the institution shall calculate the risk-weighted amount of the net credit exposure by multiplying the net credit exposure by the attributed risk-weight of the obligor.

94A. Application of sections 95, 96 and 97

(1) Where an authorized institution uses the IMM(CCR) approach to calculate the default risk exposure of a netting set that contains OTC derivative transactions or credit derivative contracts—

(a) subject to paragraph (b), the institution must take into account the effect of any recognized netting in the manner set out in Part 6A instead of in the manner set out in section 95;

(b) paragraph (a) does not apply in the case of OTC derivative transactions or credit derivative contracts for which the institution is permitted under section 10B(5), or has chosen under section 10B(7), to use the current exposure method.

(2) Where an authorized institution uses the IMM(CCR) approach to calculate the default risk exposure of a netting set that contains SFTs—

(a) subject to paragraph (b), the institution must take into account the effect of any recognized netting in the manner set out in Part 6A instead of in the manner set out in section 96 or 97;

(b) paragraph (a) does not apply in the case of SFTs for which the institution is permitted under section 10B(5), or has chosen under section 10B(7), to use the methods referred to in section 10A(1)(b).

(L.N. 156 of 2012)

95. Netting of OTC derivative transactions and netting of credit derivative contracts*

(1) Where an authorized institution's exposure to a counterparty is under a nettable derivative transaction (whether or not the recognized netting concerned relates to more than one type of nettable derivative transaction), the institution may, in accordance with subsections (2) and (3), take into account the effect of the recognized netting in calculating the risk-weighted amount of its net credit exposure to the counterparty.

(2) Subject to subsection (3), an authorized institution shall calculate the credit equivalent amount of its net credit exposure to a counterparty by adding together—

(a) the net current exposure (being the sum of the positive and negative mark-to-market replacement costs of the individual nettable derivative transactions subject to recognized netting if the sum is positive); and

(b) the net potential exposure calculated by the use of Formula 8.

Formula 8

Calculation of Net Potential Exposure under Nettable Derivative Transactions

$$A_{Net} = 0.4 \times A_{Gross} + 0.6 \times NGR \times A_{Gross}$$

where—

A_{Net} = the net potential exposure;

A_{Gross} = the sum of the individual amounts derived by multiplying the principal amounts of all of the individual nettable derivative transactions by the applicable CCFs; and

NGR = the ratio of net replacement cost for the nettable derivative transactions (that is, the non-negative sum of the positive and negative mark-to-market replacement costs of the transactions) to gross replacement cost for the nettable derivative transactions (that is, the sum of the positive mark-to-market replacement costs of the transactions).

(3) An authorized institution, in the application of Formula 8 in respect of its nettable derivative transactions, shall calculate the NGR in that Formula either on a per counterparty basis, or on an aggregate basis.

(4) An authorized institution shall allocate to the credit equivalent amount of its net credit exposure to the counterparty calculated in accordance with subsection (2), net of specific provisions, the attributed risk-weight of the counterparty.

(5) Where a net credit exposure to a counterparty is covered by recognized collateral under the comprehensive approach to the treatment of recognized collateral, Formula 4 shall, with all necessary modifications, be used by the authorized institution to calculate the credit equivalent amount after taking into account the effect of the recognized collateral.

(6) In this section—

aggregate basis (總和基準), in relation to the calculation of the NGR in Formula 8, means the ratio of the sum of the net replacement costs for all nettable derivative transactions with each counterparty to the sum of gross replacement costs for all nettable derivative transactions with each counterparty;

derivative transaction (衍生工具交易) means—

(a) an OTC derivative transaction; or

(b) a credit derivative contract; *(L.N. 156 of 2012)*

per counterparty basis (每位對手方基準), in relation to the calculation of the NGR in Formula 8, means the ratio of net replacement cost to gross replacement cost for the nettable derivative transactions with a particular counterparty.

Editorial Note:

* (L.N. 156 of 2012)

96. Netting of repo-style transactions

(1) An authorized institution which uses the comprehensive approach in its treatment of recognized collateral shall not take into account the effect of recognized netting covering the institution's repo-style transactions in the calculation of its capital adequacy ratio insofar as it relates to credit risk other than in accordance with the provisions of this section.

(2) Where under nettable repo-style transactions the subject of recognized netting an authorized institution has the same counterparty, the institution shall calculate—

(a) the aggregate value of all money and securities sold, transferred, loaned or paid to the counterparty; and

(b) the aggregate value of money and securities received by the institution consisting of—

(i) in the case of repo-style transactions booked in the institution's banking book, securities which would be recognized collateral falling within section 80(1)(a), (b) or (c) under the comprehensive approach to the treatment of recognized collateral; and *(L.N. 156 of 2012)*

(ii) in the case of repo-style transactions booked in the institution's trading book where the arrangements for the provision of collateral in respect of the transactions satisfy all the requirements of section 77 (other than the requirements of section 77(g) and (i)(i)), any securities. *(L.N. 137 of 2011)*

(3) Subject to section 97, where, in respect of a calculation under subsection (2) made by an authorized institution in respect of a counterparty, the aggregate value referred to in subsection (2)(a) is greater than the aggregate value referred to in subsection (2)(b), the institution shall calculate its net credit exposure to the counterparty by the use of Formula 9.

Formula 9

Calculation of Net Credit Exposure to Counterparty where Aggregate Value Referred to in Section 96(2)(a) is Greater than Aggregate Value Referred to in Section 96(2)(b)

$$E^{\#} = \max \{0, [(\Sigma(E) - \Sigma(C)) + \Sigma(E_s \times H_s) + \Sigma(E_{fx} \times H_{fx})]\}$$

where—

$E^{\#}$ = net credit exposure;

E = current market value of money and securities sold, transferred, loaned or paid by the authorized institution;

C = current market value of money and securities received by the authorized institution;

E_s = absolute value (irrespective of positive or negative) of the net position in the same securities;

H_s = haircut applicable to the absolute value of the net position in the same securities (that is, E_s) pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92;

E_{fx} = absolute value of the net position in a currency different from the settlement currency; and

H_{fx} = haircut applicable in consequence of a currency mismatch, if any, between the currency in which a net position is denominated and the settlement currency pursuant to the standard supervisory haircut for currency mismatch set out in Schedule 7 subject to adjustment as set out in section 92.

(4) An authorized institution shall allocate to its net credit exposure to a counterparty, calculated in accordance with subsection (3), the attributed risk-weight of the counterparty.

(5) An authorized institution—

(a) subject to paragraph (b), shall net its nettable repo-style transactions booked in its banking book separately from netting its nettable repo-style transactions booked in its trading book and vice versa;

(b) may net repo-style transactions booked in its banking book with repo-style transactions booked in its trading book in respect of the same counterparty if—

(i) all those repo-style transactions are marked-to-market daily; and

(ii) all the securities received by the institution in respect of all those repo-style transactions are recognized collateral falling within section 80(1)(a), (b) or (c) under the comprehensive approach to the treatment of recognized collateral. *(L.N. 156 of 2012)*

97. Use of value-at-risk model instead of Formula 9

(1) Where under Part 2 the Monetary Authority has approved the use by an authorized institution of an internal model to measure the institution's exposure to market risk, the institution may, with the approval of the Monetary Authority under subsection (3) and in accordance with that approval, use an internal model based on VaR (referred to in this section as ***VaR model***) as an alternative to the use of Formula 9 for the purposes of calculating the institution's net credit exposure to a given counterparty under nettable repo-style transactions the subject of recognized netting.

(2) An authorized institution referred to in subsection (1) may make an application to the Monetary Authority for the Monetary Authority's approval to the institution using a VaR model for the purposes referred to in that subsection.

(3) Subject to subsections (4) and (5), the Monetary Authority shall determine an application under subsection (2) from an authorized institution by notice in writing given to the institution granting, or refusing to grant, the approval sought.

(4) The Monetary Authority must refuse to grant approval under subsection (3) to an authorized institution unless the institution satisfies the Monetary Authority that, in the case of the VaR model in respect of which the approval is sought—

(a) the model will take into account any price relationship between the value of money and securities sold, transferred, loaned or paid by the institution and the value of money and securities received by the institution under nettable repo-style transactions, and, in particular in this regard, whether the prices have a positive relationship (that is, their prices move in the same direction) or negative relationship (that is, their prices move in the opposite direction), or have no relationship at all;

(b) the quality of the model has proved acceptable pursuant to a back-testing of the model—

(i) using data covering at least a one-year period; and

(ii) that covers representative counterparty portfolios that have been chosen based on the sensitivity of the portfolios to the material risk factors and correlations to which the institution is exposed;

(c) if the nettable repo-style transactions are subject to daily remargining, the model will assume a minimum holding period of 5 business days and that minimum holding period—

(i) will be subject to increase to the extent that the liquidity of the securities provided by way of collateral under those transactions is such that a longer minimum holding period should be assumed; and

(ii) will be increased in the manner set out in section 226M(2), (3) or (7), as the case requires, if those transactions constitute a netting set that falls within any of the descriptions in that section; and *(L.N. 175 of 2017)*

(d) if the nettable repo-style transactions are not subject to daily remargining, the model will assume a minimum holding period that is at least equal to the minimum holding period calculated by the use of Formula 9A.

Formula 9A

Calculation of Minimum Holding Period where Section 97(4)(d) is Applicable

$$\text{Minimum holding period} = F + N - 1$$

where—

F = 5 business days or the supervisory floor determined in accordance with section 226M(2) or (3), as the case may be; and

N = actual number of days between each remargining of the transactions.

(L.N. 156 of 2012)

(5) The Monetary Authority shall, in deciding whether to grant approval under subsection (3) in respect of a VaR model, take into account quantitative and qualitative requirements set out in Schedule 3.

(6) Where an authorized institution is granted approval under subsection (3) to use a VaR model for the purposes referred to in subsection (1), the institution shall calculate its net credit exposure to the counterparty under nettable repo-style transactions by the use of Formula 10.

Formula 10

Calculation of Net Credit Exposure to Counterparty under Nettable Repo-style Transactions Using VaR Model

$$E^* = \max \{0, [(\Sigma(E) - \Sigma(C)) + \text{VaR output}]\}$$

where—

E* = net credit exposure;

E = current market value of money and securities sold, transferred, loaned or paid by the authorized institution;

C = current market value of money and securities received by the authorized institution as collateral; and

VaR output = the VaR number generated by the VaR model in respect of the previous business day.

(L.N. 137 of 2011)

Table 13

(Repealed L.N. 137 of 2011)

(7)-(8) *(Repealed L.N. 137 of 2011)*

Division 9—Use of Recognized Guarantees and Recognized Credit Derivative Contracts in Credit Risk Mitigation

98. Recognized guarantees

A guarantee given to an authorized institution is recognized for the purposes of calculating the risk-weighted amount of an exposure of the institution where—

(a) the guarantee is given by—

(i) a sovereign;

(ii) a public sector entity;

(iii) a multilateral development bank;

(iv) a bank;

(v) a securities firm; or *(L.N. 137 of 2011; L.N. 156 of 2012)*

(vi) a corporate that has an ECAI issuer rating, *(L.N. 156 of 2012)*

(vii) *(Repealed L.N. 156 of 2012)*

in each case having been allocated a lower risk-weight than that allocated to the exposure in respect of which the guarantee has been given (referred to in this section as ***guaranteed exposure***);

(b) the guarantee gives the institution a direct claim against the guarantor;

(c) the credit protection provided by the guarantee relates to a specific exposure, specific exposures, or specific pools of exposures, of the institution;

(d) the undertaking of the guarantor to make payment in specified circumstances relating to the guaranteed exposure is clearly documented so that the extent of the credit protection provided by the guarantee is clearly defined;

(e) there is no clause in the guarantee, the satisfaction of which is outside the direct control of the institution, which would allow the guarantor to cancel the guarantee unilaterally or which would increase the effective cost of the credit protection provided by the guarantee as a result of the deteriorating credit quality of the guaranteed exposure except for a clause permitting termination in the event of a failure by the institution to pay sums due from it under the terms of the guarantee;

(f) there is no clause in the guarantee, the satisfaction of which is outside the direct control of the institution, which could operate to prevent the guarantor from being obliged to pay out promptly in the event that the obligor in respect of the guaranteed exposure defaults in making any payments due to the institution in respect of the guaranteed exposure;

(g) the country in which the guarantor is located and from which the guarantor may be obliged to make payment has no existing exchange controls in place or, if there are existing exchange controls in place, approval has been obtained for the funds to be remitted freely in the event that the guarantor is called upon under the terms of the guarantee to make payment to the institution;

(h) the guarantor has no recourse to the institution for any losses suffered as a result of the guarantor being obliged to make any payment to the institution pursuant to the guarantee;

(i) the institution has the right to receive payment from the guarantor without having to take legal action in order to pursue the obligor in respect of the guaranteed exposure for payment; and

(j) the guarantee is binding on all parties and legally enforceable in all relevant jurisdictions.

99. Recognized credit derivative contracts

(1) A credit derivative contract entered into by an authorized institution as a protection buyer is recognized for the purposes of calculating the risk-weighted amount of an exposure of the institution where—

(a) the credit derivative contract is a credit default swap or total return swap (other than a restricted return swap);

(b) the protection seller of the credit derivative contract is—

(i) a sovereign;

(ii) a public sector entity;

(iii) a multilateral development bank;

(iv) a bank;

(v) a securities firm; or *(L.N. 137 of 2011; L.N. 156 of 2012)*

(vi) a corporate that has an ECAI issuer rating, *(L.N. 156 of 2012)*

(vii) *(Repealed L.N. 156 of 2012)*

in each case having been allocated a lower risk-weight than that allocated to the exposure in respect of which the credit derivative contract has been entered into (referred to in this section as ***protected exposure***);

(c) the economic benefit derived by the institution would make good the economic loss suffered by the institution in consequence of the default of the obligor in respect of the protected exposure in a manner substantially similar to that of a recognized guarantee;

(d) the credit derivative contract gives the institution a direct claim against the protection seller;

(e) the credit protection provided by the credit derivative contract relates to a specific exposure, specific exposures, or specific pools of exposures, of the institution;

(f) the undertaking of the protection seller under the credit derivative contract to make payment in specified circumstances relating to the protected exposure is clearly documented so that the extent of the credit protection provided by the credit derivative contract is clearly defined;

(g) there is no clause in the credit derivative contract, the satisfaction of which is outside the direct control of the institution, which would allow the protection seller to cancel the contract unilaterally or which would increase the effective cost of the credit protection offered by the credit derivative contract as a result of the deteriorating credit quality of the protected exposure except for a clause permitting termination in the event of a failure by the institution to pay sums due from it under the terms of the credit derivative contract;

(h) there is no clause in the credit derivative contract, the satisfaction of which is outside the direct control of the institution, which could operate to prevent the protection seller from being obliged to pay out promptly in the event that the obligor in respect of the protected exposure defaults in making any payments due to the institution in respect of the protected exposure;

(i) the country in which the protection seller is located and from which the protection seller may be obliged to make payment has no existing exchange controls in place or, if there are existing exchange controls in place, approval has been obtained for the funds to be remitted freely in the event that the protection seller is called upon under the terms of the credit derivative contract to make payment to the institution;

(j) the protection seller has no recourse to the institution for any losses suffered as a result of the protection seller being obliged to make any payment to the institution pursuant to the credit derivative contract;

(k) the credit derivative contract obliges the protection seller to make payment to the institution in the following credit events—

(i) any failure by the obligor in respect of the protected exposure to pay amounts due under the terms of the protected exposure (subject to any grace period in the contract which is of substantially similar duration to any grace period provided for in the terms of the protected exposure);

(ii) the bankruptcy or insolvency of (or analogous events affecting) the obligor in respect of the protected exposure or the obligor's failure or inability to pay its debts as they fall due or the obligor's admission in writing of the obligor's inability generally to pay its debts as they fall due; or

(iii) subject to subsections (2) and (3), the protected exposure is restructured, involving forgiveness or postponement of payment of any principal or interest or fees, which results in the institution making any deduction or specific provision or other similar debit to the institution's profit and loss account;

(l) in any case where the protected exposure provides a grace period within which the obligor may make good a default in payment, the credit derivative contract is not capable of terminating prior to the expiry of the grace period;

(m) in any case where the credit derivative contract provides for settlement in cash, it provides an adequate mechanism for valuation of the loss occasioned to the institution in respect of the protected exposure and specifies a reasonable period within which that valuation is to be arrived at following a credit event;

(n) in any case where the reference obligation or the obligation used for the purposes of determining whether a credit event has occurred as specified in the credit derivative contract (referred to in this paragraph as ***specified obligation***) does not include or is different from the protected exposure—

(i) the specified obligation of the credit derivative contract ranks for payment or repayment equally with, or junior to, the protected exposure; and

(ii) the obligor in respect of the protected exposure is the same person as the obligor in respect of the specified obligation and legally enforceable cross default or cross acceleration clauses are included in the terms of both the protected exposure and the specified obligation;

(o) in any case where under the terms of the credit derivative contract it is a condition of settlement that the institution transfers its rights in respect of the protected exposure to the protection seller, the terms of the protected exposure provide that any consent which may be required from the obligor in respect of the protected exposure shall not be unreasonably withheld;

(p) the credit derivative contract specifies clearly the identity of the person who is empowered to determine whether a credit event has occurred, that person is not solely the protection seller and the institution is, under the terms of the credit derivative contract, entitled to inform the protection seller of the occurrence of a credit event; and

(q) the credit derivative contract is binding on all parties and legally enforceable in all relevant jurisdictions.

(2) Where any restructuring of the protected exposure to which a credit derivative contract relates does not, under the terms of the contract, require payment by the protection seller to the authorized institution concerned but the maximum liability of the protection seller to the institution under the credit derivative contract is more than the amount of the protected exposure, the contract shall be deemed to be a recognized credit derivative contract to the extent of 60% of the amount of the protected exposure.

(3) Where any restructuring of the protected exposure to which a credit derivative contract relates does not, under the terms of the contract, require payment by the protection seller to the authorized institution concerned but the maximum liability of the protection seller to the institution under the credit derivative contract is less than, or equal to, the amount of the protected exposure, the contract shall be deemed to be a recognized credit derivative contract to the extent of 60% of the maximum liability of the protection seller to the institution under the credit derivative contract.

(4) In this section—

restricted return swap (受限制回報掉期), in relation to an authorized institution, means a total return swap where—

(a) the institution is the protection buyer under the swap; and

(b) the institution records the net payments received by it under the swap as net income but does not record, through deductions in fair value in the accounts of the institution or by an addition to reserves or provisions, the extent to which the value of the protected exposure has deteriorated.

100. Capital treatment of recognized guarantees and recognized credit derivative contracts

(1) Where an authorized institution's exposure is covered by a recognized guarantee or recognized credit derivative contract, the institution must determine the risk-weight to be allocated to the exposure in accordance with subsections (2), (3), (4), (5), (9) and (10). *(L.N. 51 of 2013; L.N. 212 of 2015)*

(2) Subject to subsections (3), (4), (5), (9) and (10), where — *(L.N. 51 of 2013; L.N. 212 of 2015)*

(a) an authorized institution's exposure is covered by a recognized guarantee or recognized credit derivative contract; and *(L.N. 51 of 2013)*

(b) the credit protection covered portion and the credit protection uncovered portion of the exposure rank equally,

the institution shall—

(c) allocate to the credit protection covered portion of the exposure the attributed risk-weight of the credit protection provider;

(d) allocate to the credit protection uncovered portion of the exposure the risk-weight attributable to the exposure.

(3) Sections 83, 84 and 85, with all necessary modifications, apply to an authorized institution in relation to the calculation of the risk-weighted amount of exposures covered by recognized guarantees or recognized credit derivative contracts.

(4) Where in respect of an authorized institution's exposure covered by a recognized guarantee or recognized credit derivative contract there is a currency mismatch, then, to the extent that a calculation required by subsection (3) by the institution relates to that guarantee or contract, as the case may be, the institution shall adjust the credit protection covered portion by the use of Formula 11.

Formula 11

Calculation of Amount of Credit Protection of Recognized Guarantee or Recognized Credit Derivative Contract where there is Currency Mismatch

$$G_a = G \times (1 - H_{fx})$$

where—

G_a = credit protection covered portion adjusted for a currency mismatch;

G = maximum liability of the credit protection provider to the authorized institution under the credit protection; and

H_{fx} = haircut applicable in consequence of a currency mismatch pursuant to the standard supervisory haircuts for the comprehensive approach to the treatment of recognized collateral subject to adjustment as set out in section 92.

(5) Where—

(a) section 56(2) is applicable to domestic currency exposure to a sovereign; and

(b) the credit protection covered portion of an authorized institution's exposure—

(i) is funded in the local currency of that sovereign; and

(ii) is the subject of a recognized guarantee by that sovereign denominated in the local currency,

the institution may allocate the lower risk-weight provided for by section 56(2) to that credit protection covered portion.

(6)-(8) *(Repealed L.N. 212 of 2015)*

(9) Where the credit protection covered portion of an authorized institution's exposure is such credit protection covered portion by virtue of a recognized guarantee (***original guarantee***) and is the subject of a counter-guarantee given by a sovereign, the institution may, in respect of the credit protection covered portion, treat the counter-guarantee as if it were the original guarantee if—

(a) the counter-guarantee covers all credit risk elements of the exposure to the extent that it relates to the credit protection covered portion;

(b) the counter-guarantee is given in such terms that it can be called if—

(i) for any reason the obligor in respect of the exposure to which the original guarantee relates fails to make payments due in respect of the exposure; and

(ii) the original guarantee could be called;

(c) the original guarantee and the counter-guarantee meet all of the requirements for guarantees set out in section 98 (except that the counter-guarantee need not meet the requirements set out in section 98(b) and (c)); and

(d) the institution reasonably considers, and demonstrates to the satisfaction of the Monetary Authority, that—

(i) the cover of the counter-guarantee is adequate and effective; and

(ii) there is no evidence to suggest that the coverage of the counter-guarantee is less effective than that of a direct and explicit guarantee by the sovereign that gives the counter-guarantee. *(L.N. 156 of 2012)*

(10) Where an authorized institution's exposure is covered by a recognized credit derivative contract cleared by a qualifying CCP, the institution may allocate to the credit protection covered portion of the exposure—

(a) a risk-weight of 2% if—

(i) the institution is a clearing member of the qualifying CCP; or

(ii) the institution is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) are met; or

(b) a risk-weight of 4% if the institution is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) (excluding the condition set out in section 226ZA(6)(a)(iii)) are met. *(L.N. 51 of 2013)*

101. Provisions supplementary to section 100

(1) Where the credit protection in respect of an authorized institution's exposure consists of a recognized credit derivative contract which is a credit default swap or total return swap—

(a) if upon the happening of a credit event the protection seller is obliged to pay the amount specified in the contract to the institution in exchange for delivery by the institution of the deliverable obligation specified in the contract, the institution may treat the exposure as being fully covered;

(b) if upon the happening of a credit event the protection seller is obliged to pay the amount specified in the contract to the institution less the market value of the reference obligation specified in the contract, calculated by specified calculation agents at some specified point in time after the credit event has occurred, the institution may treat the exposure as being fully covered; and

(c) if upon the happening of a credit event the protection seller is obliged to pay a fixed amount to the institution, the institution may only treat that amount of the exposure which is equivalent to the fixed amount as being fully covered.

(2) Where the credit protection in respect of an authorized institution's exposure consists of a recognized credit derivative contract which provides that, upon the happening of a credit event—

(a) the protection seller is not obliged to make a payment in respect of any loss until the loss exceeds a specified amount (referred to in this subsection as ***first loss portion***); and

(b) the protection seller is not obliged to make a payment in respect of any loss except to the extent that the loss exceeds the first loss portion,

the institution shall, in calculating its capital adequacy ratio, allocate a risk-weight of 1250% to the first loss portion. *(L.N. 156 of 2012)*

(3) Subject to subsection (6A), where the credit protection in respect of a basket of exposures of an authorized institution consists of a recognized first-to-default credit derivative contract— *(L.N. 51 of 2013)*

(a) the institution shall recognize that credit protection for the exposure in the basket of exposures which would carry the lowest risk-weighted amount in the absence of the credit protection amongst the exposures in the basket only if the principal amount of the exposure is not more than the notional amount of the contract; and

(b) in the case of such credit protection so recognized, the institution may allocate to the exposure within the basket which would carry the lowest risk-weighted amount in the absence of the credit protection the attributed risk-weight of the credit protection provider.

(4) Subject to subsection (6A), where the credit protection in respect of a basket of exposures of an authorized institution consists of a recognized second-to-default credit derivative contract, the institution may, to the extent of the coverage of the credit protection, allocate to the exposure within the basket which would carry the second lowest risk-weighted amount in the absence of the credit protection the attributed risk-weight of the credit protection provider only if— *(L.N. 51 of 2013)*

(a) the institution has, as a protection buyer, entered into a recognized first-to-default credit derivative contract in respect of which the basket of reference obligations, or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in the contract, is the same as the basket of reference obligations or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in the second-to-default credit derivative contract (referred to in this subsection as ***relevant basket***); or

(b) an exposure in the relevant basket has defaulted.

(5) Where the credit protection in respect of a basket of exposures of an authorized institution consists of a recognized subsequent-to-default credit derivative contract, the institution may, with all necessary modifications, apply subsection (4) to that contract as that subsection is applied to a second-to-default credit derivative contract so that—

(a) the reference to "a recognized first-to-default credit derivative contract in respect of which the basket of reference obligations, or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in the contract" in subsection (4)(a) is construed to mean "recognized first-to-default and second-to-default credit derivative contracts in respect of which the basket of reference obligations, or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in each contract"; and

(b) the reference to "an exposure in the relevant basket has" in subsection (4)(b) is construed to mean "2 exposures in the relevant basket have",

in the case of a third-to-default credit derivative contract and likewise for other subsequent-to-default credit derivative contracts.

(6) Subject to subsection (6A), where the credit protection in respect of a basket of exposures of an authorized institution is a credit derivative contract which provides credit protection proportionately to reference obligations in the basket of reference obligations as specified in the contract, the institution shall calculate the risk-weighted amount of its exposures by substituting the attributed risk-weight of the credit protection provider for the risk-weights of the exposures to the extent of the coverage of the credit protection. *(L.N. 51 of 2013)*

(6A) For the purposes of subsections (3), (4) and (6), where the credit derivative contract concerned is cleared by a qualifying CCP, the words "the attributed risk-weight of the credit protection provider" in those subsections are deemed to read as—

(a) "a risk-weight of 2%" if—

(i) the authorized institution concerned is a clearing member of the qualifying CCP; or

(ii) the authorized institution concerned is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) are met; or

(b) "a risk-weight of 4%" if the authorized institution concerned is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) (excluding the condition set out in section 226ZA(6)(a)(iii)) are met. *(L.N. 51 of 2013)*

(7) If an authorized institution has obtained tranched credit protection for its exposure, it must—

(a) decompose the exposure into a protected sub-tranche and an unprotected sub-tranche; and

(b) determine the risk-weighted amount of the exposure in accordance with Part 7. *(L.N. 175 of 2017)*

(8) Where the credit protection in respect of an authorized institution's exposure takes the form of an issue of credit-linked notes by the institution, the institution—

(a) may only treat that amount of the exposure which is equivalent to the cash funding received from the notes as being fully covered;

(b) must treat the credit protection covered portion of the exposure as an exposure collateralized by cash deposit; and *(L.N. 156 of 2012)*

(c) must allocate a risk-weight of 1250% to the first loss portion, being any specified amount of loss, on the happening of a credit event, below which the protection seller is not obliged to share in the loss. *(L.N. 156 of 2012)*

Division 10—Multiple Recognized Credit Risk Mitigation and Maturity Mismatches

102. Multiple recognized credit risk mitigation

(1) Where in respect of a single exposure of an authorized institution to an obligor, 2 or more forms of recognized credit risk mitigation have been used by the institution, the institution shall calculate the risk-weighted amount of the exposure in accordance with these Rules by dividing the exposure into the portions which respectively represent the proportions of the exposure covered by each of the forms of recognized credit risk mitigation so used.

(2) Where in respect of a single exposure of an authorized institution to an obligor, there is an overlap of coverage between 2 or more forms of recognized credit risk mitigation used by the institution, the institution may select, in respect of the portion of the exposure covered by the overlap, the recognized credit risk mitigation which result in the lowest risk-weighted amount of that portion of the exposure covered by the overlap.

(3) Where an authorized institution has an exposure to an obligor in respect of which credit protection has been provided by a single credit protection provider in circumstances where the relevant credit protection has different maturities, the institution shall calculate the risk-weighted amount of the exposure in accordance with these Rules by dividing the exposure into different portions reflecting the maturity of the credit protection respectively attributable to the different portions.

(4) Where an authorized institution has an exposure to an obligor in the form of a general banking facility consisting of 2 or more credit lines—

(a) the institution may, in calculating its risk-weighted amount in respect of the credit lines, allocate any credit protection taken in respect of the exposure amongst the individual exposures under each of the credit lines; and

(b) if the institution exercises its discretion under paragraph (a), the institution shall aggregate the risk-weighted amounts of the individual exposures under each of the credit lines to determine the total risk-weighted amount of the exposure in respect of the general banking facility.

103. Maturity mismatches

(1) Where the credit protection provided in respect of an exposure of an authorized institution (other than the netting of repo-style transactions, OTC derivative transactions and credit derivative contracts) has a residual maturity which is shorter than the residual maturity of the exposure (referred to in this section as "maturity mismatch"), the institution shall adjust the value of the credit protection by the use of Formula 12.

Formula 12

Adjustment of Calculation of Value of Credit Protection where there is Maturity Mismatch

$$P_a = P \times (t - 0.25) / (T - 0.25)$$

where—

P_a = value of credit protection adjusted for maturity mismatch;

P = value of credit protection adjusted by standard supervisory haircuts for price volatility of collateral and currency mismatch (if applicable);

t = Min (T, residual maturity of credit protection) expressed in years; and

T = Min (5, residual maturity of the exposure) expressed in years.

(2) Where there is a maturity mismatch, the institution, in calculating its risk-weighted amount of the exposure—

(a) shall take into account the credit protection only if the credit protection has an original maturity of not less than one year;

(b) shall not take into account the credit protection once it has a residual maturity of not more than 3 months; and

(c) shall not take into account the credit protection if the credit protection is in the form of recognized collateral and the risk-weighted amount of the exposure is calculated by using the simple approach to the treatment of recognized collateral.

(3) For the purposes of calculating the respective maturities of an exposure of an authorized institution and any credit protection covering the exposure—

(a) if the credit protection is in the form of recognized collateral guarantees or credit derivative contracts, the institution shall, at any time before the obligor in respect of the exposure to which the credit protection relates performs the obligor's obligations, take the effective maturity of the exposure to be the longest possible remaining time after taking into account any applicable grace period provided for in the terms of the exposure;

(b) if the terms of the credit protection provide for an option which may reduce the term of that credit protection, the institution shall take into account the option and the earliest possible date upon which it may be exercised;

(c) if the terms of the credit protection provide that the credit protection provider may terminate the credit protection before its maturity, the institution shall take the maturity of the credit protection to be the first date upon which the credit protection provider may so terminate the credit protection; and

(d) if the terms of the credit protection permit the institution to terminate the credit protection before its maturity and there is a positive incentive for the institution to exercise its discretion so to do, the institution shall take the maturity of the credit protection to be the time left to run before the earliest date upon which the institution may exercise the discretion.

(4) For the purposes of this section, the original maturity and residual maturity of credit protection which is recognized collateral falling within section 79(1)(a) shall be taken to be the period for which it will continue to fulfil the requirements of section 77 applicable to the credit protection. *(L.N. 156 of 2012)*

Part 5

Calculation of Credit Risk for Non-securitization Exposures: BSC Approach

Division 1—General

104. Application of Part 5

(1) This Part applies to an authorized institution which uses the BSC approach to calculate its credit risk for non-securitization exposures.

(2) Unless the context otherwise requires, a reference to an authorized institution in this Part is a reference to an authorized institution which uses the BSC approach to calculate its credit risk for non-securitization exposures.

105. Interpretation of Part 5

In this Part, unless the context otherwise requires—

attributed risk-weight (歸屬風險權重), in relation to a person to whom an authorized institution has an exposure, means the risk-weight which would be attributable, in accordance with sections 109, 110, 111, 112, 113, 114A, 116 and 117A, to — *(L.N. 156 of 2012)*

(a) the person as the obligor; or

(b) the exposure;

cash items (現金項目), in relation to an authorized institution, means all or any of the following—

(a) legal tender notes or other notes, and coins, representing the lawful currency of a country held by the institution;

(b) the institution's holdings of certificates of indebtedness issued by the Government for the issue of legal tender notes;

(c) gold bullion held by the institution, or gold bullion held on an allocated basis for the institution by another person, which is backed by gold bullion liabilities;

(d) gold bullion held on an unallocated basis for the institution by another person which is backed by gold bullion liabilities;

(e) gold bullion held by the institution, or gold bullion held for the institution by another person, which is not backed by gold bullion liabilities;

(f) cheques, drafts and other items drawn on other banks—

(i) which are payable to the account of the institution immediately upon presentation; and

(ii) which are in the process of collection;

(g) unsettled clearing items of the institution which are being processed through any interbank clearing system in Hong Kong;

(h) receivables from transactions in securities (other than repo-style transactions), foreign exchange, and commodities which are not yet due for settlement;

(i) positive current exposure incurred by the institution under transactions in securities (other than repo-style transactions), foreign exchange, and commodities—

(i) which are entered into on a delivery-versus-payment basis; and

(ii) which are outstanding after the settlement date in respect of the transaction concerned;

(j) the amounts of payment made or the current market value of the thing delivered, and the positive current exposure incurred, by the institution under transactions in securities (other than repo-style transactions), foreign exchange, and commodities—

(i) which are entered into on a basis other than a delivery-versus-payment basis; and *(L.N. 156 of 2012)*

(ii) which are outstanding up to and including the fourth business day after the settlement date in respect of the transaction concerned;

credit equivalent amount (信貸等值數額), in relation to an off-balance sheet exposure, means the credit equivalent amount of the exposure calculated under section 118 or 120, as the case requires;

credit protection covered portion (信用保障涵蓋部分), in relation to an exposure of an authorized institution which is covered by recognized collateral, a recognized guarantee or a recognized credit derivative contract, means that portion of the exposure (which may be all of the exposure) which is covered by the current market value of the recognized collateral, or the maximum liability of the credit protection provider to the institution under the recognized guarantee or recognized credit derivative contract, as the case may be;

credit protection uncovered portion (不受信用保障涵蓋部分), in relation to an exposure of an authorized institution which is covered by recognized collateral, a recognized guarantee or a recognized credit derivative contract, means that portion of the exposure which is not covered by the current market value of the recognized collateral, or the maximum liability of the credit protection provider to the institution under the recognized guarantee or recognized credit derivative contract, as the case may be;

debt securities (債務證券) means any securities other than shares, stocks or import or export trade bills;

exposure (風險承擔), in relation to an authorized institution, means a credit exposure (including an asset) of the institution;

non-qualifying reference obligation (不合資格參照義務) means a reference obligation which is not a qualifying reference obligation;

principal amount (本金額)—

(a) in relation to an on-balance sheet exposure of an authorized institution—

(i) if the exposure is measured at fair value, means the value of the exposure determined in accordance with section 4A; or

(ii) if the exposure is not measured at fair value, means the book value (including accrued interest) of the exposure; or *(L.N. 137 of 2011)*

(b) in relation to an off-balance sheet exposure of an authorized institution, means—

(i) subject to subparagraph (ii), in the case of an exposure listed in Table 14, the contracted amount of the exposure;

(ii) in the case of an exposure listed in Table 14 arising from an undrawn facility or the undrawn portion of a partially drawn facility, the amount of the undrawn commitment; *(L.N. 175 of 2017)*

(iii) subject to subparagraph (iv), in the case of an exposure listed in Table 15, the notional amount of the exposure;

(iv) in the case of an exposure listed in Table 15 where the stated notional amount of the exposure is leveraged or enhanced by the structure of the exposure, the effective notional amount of the exposure taking into account that the stated notional amount is so leveraged or enhanced, as the case may be;

(v) in the case of an exposure to a person arising from the person holding collateral posted by the institution in a manner that is not bankruptcy remote from the person, the fair value of the collateral; *(L.N. 156 of 2012)*

qualifying reference obligation (合資格參照義務) means a reference obligation which falls within section 287(4) or is issued by a sovereign with a credit quality grade of 1, 2 or 3 as determined in accordance with section 287;

recognized collateral (認可抵押品) means collateral recognized under section 124;

recognized credit derivative contract (認可信用衍生工具合約) means—

(a) a credit derivative contract recognized under section 133(1); or

(b) a credit derivative contract which falls within section 133(2) or (3) to the extent that it is deemed under that section to be a recognized credit derivative contract;

recognized guarantee (認可擔保) means a guarantee recognized under section 132;

SFT risk-weighted amount (SFT風險加權數額), in relation to SFTs, means the sum of the default risk risk-weighted amounts for all counterparties to the SFTs where the default risk risk-weighted amount for each of the counterparties is calculated as the product of—

(a) the sum of default risk exposures across all the SFTs with the counterparty calculated under section 123A(4), (5), (6) and (7), net of specific provisions; and

(b) the applicable risk-weight determined under section 121(1); *(L.N. 156 of 2012)*

Tier 2 country (第2級國家) means any country which is not a Tier 1 country.

Division 2—Calculation of Credit Risk under BSC Approach, Exposures to be Covered in Calculation, and Classification of Exposures

106. Calculation of risk-weighted amount of exposures

(1) Subject to section 107, an authorized institution shall calculate an amount representing the degree of credit risk to which the institution is exposed by aggregating—

(a) the risk-weighted amount of the institution's on-balance sheet exposures; and

(b) the risk-weighted amount of the institution's off-balance sheet exposures.

(2) For the purposes of subsection (1)(a)—

(a) subject to paragraph (b), an authorized institution shall calculate the risk-weighted amount of the institution's on-balance sheet exposures by multiplying the principal amount of each such exposure, net of specific provisions, by the relevant risk-weight attributable to the exposure determined under Division 3;

(b) subject to paragraph (c), an authorized institution may reduce the risk-weighted amount of the institution's on-balance sheet exposure by taking into account the effect of any recognized credit risk mitigation in respect of the exposure in the manner set out in Divisions 5, 6, 7 and 8; *(L.N. 156 of 2012)*

(c) if an authorized institution has bought credit protection for an exposure and the credit protection is in the form of a single-name credit default swap that falls within section 226J(1), the institution must not take into account the credit risk mitigation effect of the swap when calculating the risk-weighted amount of the exposure. *(L.N. 156 of 2012)*

(3) For the purposes of subsection (1)(b)—

(a) subject to paragraph (b), in the case of an authorized institution's off-balance sheet exposures that are counterparty credit risk exposures in respect of OTC derivative transactions, credit derivative contracts or SFTs—

(i) the institution must, if it has an IMM(CCR) approval and an approval to use the IMM approach to calculate the market risk capital charge for specific risk for interest rate exposures, calculate the risk-weighted amount of those off-balance sheet exposures as the sum of the amounts specified in subsection (4)(a), (b) and (c);

(ii) the institution must, if it has an IMM(CCR) approval but does not have an approval to use the IMM approach to calculate the market risk capital charge for specific risk for interest rate exposures, calculate the risk-weighted amount of those off-balance sheet exposures as the sum of the amounts specified in subsection (4)(a), (b) and (d); and

(iii) the institution must, if it does not have an IMM(CCR) approval for any of its transactions or contracts, calculate the risk-weighted amount of those off-balance sheet exposures as the sum of the CEM risk-weighted amount, the SFT risk-weighted amount, and the CVA risk-weighted amount determined using the standardized CVA method; *(L.N. 156 of 2012)*

(ab) subject to paragraph (b), in the case of an authorized institution's off-balance sheet exposures that do not fall within paragraph (a), the institution must calculate the risk-weighted amount of each of those exposures by—

(i) converting the principal amount of the exposure, net of specific provisions, into its credit equivalent amount in the manner set out in section 118 or 120, as the case requires; and

(ii) multiplying the credit equivalent amount by the exposure's relevant risk-weight determined under section 121; *(L.N. 156 of 2012)*

(b) subject to paragraphs (c) and (d), an authorized institution may reduce the risk-weighted amount of the institution's off-balance sheet exposure by taking into account the effect of any recognized credit risk mitigation in respect of the exposure in the manner set out in Divisions 5, 6, 7 and 8; *(L.N. 156 of 2012)*

(c) if an off-balance sheet exposure of an authorized institution is a counterparty credit risk exposure in respect of OTC derivative transactions, credit derivative contracts or SFTs, the institution must not, under paragraph (b), take into account the effect of any recognized credit risk mitigation applicable to the exposure if that effect has already been taken into account in the calculation of its default risk exposures in respect of those transactions or contracts; *(L.N. 156 of 2012)*

(d) if an authorized institution has bought credit protection for an exposure and the credit protection is in the form of a single-name credit default swap that falls within section 226J(1), the institution must not take into account the credit risk mitigation effect of the swap when calculating the risk-weighted amount of the exposure. *(L.N. 156 of 2012)*

(4) The amounts referred to in subsection (3)(a)(i) and (ii) are—

(a) the IMM(CCR) risk-weighted amount of the transactions or contracts concerned that are covered by the IMM(CCR) approval;

(b) the CEM risk-weighted amount or SFT risk-weighted amount of the transactions or contracts concerned that are not covered by the IMM(CCR) approval or that fall within section 10B(5) or (7);

(c) the CVA risk-weighted amount determined using the advanced CVA method, the standardized CVA method, or a combination of those 2 methods that is permitted under these Rules, as the case requires; and

(d) the CVA risk-weighted amount determined using the standardized CVA method. *(L.N. 156 of 2012)*

107. On-balance sheet exposures and off-balance sheet exposures to be covered

(1) An authorized institution shall, for the purposes of calculating an amount representing the degree of credit risk to which the institution is exposed under section 106, take into account and risk-weight— *(L.N. 156 of 2012)*

(a) all of the institution's on-balance sheet exposures and off-balance sheet exposures booked in its banking book except such exposures—

(i) that under Division 4 of Part 3 are required to be deducted from any of the institution's CET1 capital, Additional Tier 1 capital and Tier 2 capital; *(L.N. 156 of 2012)*

(ii) that are subject to the requirements of Division 4 of Part 6A; or *(L.N. 156 of 2012)*

(iii) that are subject to the requirements of Part 7; *(L.N. 156 of 2012)*

(b) subject to subsection (2), all of the institution's exposures to counterparties—

(i) under OTC derivative transactions, credit derivative contracts or SFTs booked in its trading book; or

(ii) in respect of assets that are—

(A) posted by the institution as collateral for transactions or contracts booked in its trading book; and

(B) held by the counterparties in a manner that is not bankruptcy remote from the counterparties; and *(L.N. 156 of 2012)*

(c) all of the institution's market risk exposures which are exempted from section 17 under section 22 except for its total net open position in foreign exchange exposures as derived in accordance with section 296.

(2) Subsection (1)(b) does not apply to exposures that are subject to—

(a) deduction from any of the authorized institution's CET1 capital, Additional Tier 1 capital and Tier 2 capital under Division 4 of Part 3; or

(b) the requirements of Division 4 of Part 6A. *(L.N. 156 of 2012)*

108. Classification of exposures

An authorized institution shall classify each of its exposures, according to the obligor or the nature of the exposure, into one only of the following classes—

(a) sovereign exposures;

(b) public sector entity exposures;

(c) multilateral development bank exposures;

(d) bank exposures;

(e) cash items;

(ea) exposures in respect of failed delivery on transactions entered into on a basis other than a delivery-versus-payment basis; *(L.N. 156 of 2012)*

(f) residential mortgage loans; *(L.N. 156 of 2012)*

(g) other exposures; *(L.N. 156 of 2012)*

(h) significant exposures to commercial entities. *(L.N. 156 of 2012)*

Division 3—Determination of Risk-weights Applicable to On-balance Sheet Exposures

109. Sovereign exposures

(1) Subject to section 110, an authorized institution shall allocate a risk-weight to a sovereign exposure in accordance with the following provisions.

(2) Where an exposure of an authorized institution to a sovereign of a Tier 1 country arises from a loan by the institution to the sovereign, the institution shall allocate a risk-weight of 0% to the exposure.

(3) Where an exposure of an authorized institution to a sovereign of a Tier 1 country arises from—

(a) fixed rate debt securities with a residual maturity of less than one year, which are issued by the sovereign and held by the institution; or

(b) floating rate debt securities of any maturity, which are issued by the sovereign and held by the institution,

the institution shall allocate a risk-weight of 10% to the exposure.

(4) Where an exposure of an authorized institution to a sovereign of a Tier 1 country arises from fixed rate debt securities with a residual maturity of not less than one year, which are issued by the sovereign and held by the institution, the institution shall allocate a risk-weight of 20% to the exposure.

(5)-(6) *(Repealed L.N. 137 of 2011)*

(7) Where—

(a) an exposure of an authorized institution to a sovereign of a Tier 2 country arises from a loan by the institution to the sovereign; and

(b) the exposure is a domestic currency exposure,

the institution shall allocate a risk-weight of 0% to the exposure.

(8) Where—

(a) an exposure of an authorized institution to a sovereign of a Tier 2 country arises from—

(i) fixed rate debt securities with a residual maturity of less than one year, which are issued by the sovereign and held by the institution; or

(ii) floating rate debt securities of any maturity, which are issued by the sovereign and held by the institution; and

(b) the exposure is a domestic currency exposure,

the institution shall allocate a risk-weight of 10% to the exposure.

(9) Where—

(a) an exposure of an authorized institution to a sovereign of a Tier 2 country arises from fixed rate debt securities with a residual maturity of not less than one year, which are issued by the sovereign and held by the institution; and

(b) the exposure is a domestic currency exposure, the institution shall allocate a risk-weight of 20% to the exposure.

(10)-(11) *(Repealed L.N. 137 of 2011)*

(12) Where an exposure of an authorized institution to a sovereign of a Tier 2 country does not fall within subsection (7), (8) or (9), the institution shall allocate a risk-weight of 100% to the exposure. (L.N. 137 of 2011)

(13) For the avoidance of doubt, it is hereby declared that, for the purposes of this section, an exposure of an authorized institution to the Government includes an exposure of the institution to the Exchange Fund.

110. Exceptions to section 109

Where an exposure of an authorized institution to a sovereign consists of an exposure to a relevant international organization, the institution shall allocate a risk-weight of 0% to the exposure.

111. Public sector entity exposures

An authorized institution shall allocate a risk-weight of—

(a) 20% to an exposure of the institution to a public sector entity of a Tier 1 country; and

(b) 100% to an exposure of the institution to a public sector entity of a Tier 2 country.

112. Multilateral development bank exposures

An authorized institution shall allocate a risk-weight of 0% to an exposure of the institution to a multilateral development bank.

113. Bank exposures

An authorized institution shall allocate a risk-weight of—

(a) 20% to an exposure of the institution to a bank which falls within paragraph (a) of the definition of ***bank*** in section 2(1);

(b) 20% to an exposure of the institution to a bank which falls within paragraph (b) of the definition of ***bank*** in section 2(1) and which is incorporated in a Tier 1 country;

(c) 20% to an exposure of the institution, with a residual maturity of less than one year, to a bank which falls within paragraph (b) of the definition of ***bank*** in section 2(1) and which is incorporated in a Tier 2 country; and

(d) 100% to an exposure of the institution, with a residual maturity of not less than one year, to a bank which falls within paragraph (b) of the definition of ***bank*** in section 2(1) and which is incorporated in a Tier 2 country.

114. Cash items

An authorized institution shall allocate a risk-weight of 0% to all cash items in relation to the institution except that—

(a) in the case of cash items which fall within paragraph (d) of the definition of ***cash items*** in section 105, the institution shall allocate a risk-weight which is the same as the attributed risk-weight of the person who holds the gold bullion concerned;

(b) in the case of cash items which fall within paragraph (e) of the definition of ***cash items*** in section 105, the institution shall allocate a risk-weight of 100%;

(c) in the case of cash items which fall within paragraph (f) of the definition of ***cash items*** in section 105, the institution shall allocate a risk-weight of 20%;

(d) in the case of cash items which fall within paragraph (i) of the definition of ***cash items*** in section 105, and the transactions to which the items relate remain outstanding for 5 or more business days after the settlement date, the institution shall allocate a risk-weight of—

(i) 100% for such items in relation to the transactions which remain so outstanding from 5 to 15 business days (both days inclusive);

(ii) 625% for such items in relation to the transactions which remain so outstanding from 16 to 30 business days (both days inclusive);

(iii) 937.5% for such items in relation to the transactions which remain so outstanding from 31 to 45 business days (both days inclusive); and

(iv) 1250% for such items in relation to the transactions which remain so outstanding for 46 or more business days; and

(e) in the case of cash items which fall within paragraph (j) of the definition of ***cash items*** in section 105, the institution shall allocate a risk-weight which is the same as the attributed risk-weight of the obligor in respect of the transaction to which the items relate.

114A. Failed delivery on transactions entered into on non-delivery-versus-payment basis

An authorized institution must allocate a risk-weight of 1250% to—

(a) the amount of payment made, or the current market value of the thing delivered, by the institution in respect of any transaction in securities (other than a repo-style transaction), or any transaction in foreign exchange or commodities, that—

(i) is entered into on a basis other than a delivery-versus-payment basis; and

(ii) has remained unsettled after the contractual date of payment or delivery to the institution for 5 or more business days; and

(b) the amount of any positive current exposure associated with any transaction referred to in paragraph (a).

(L.N. 156 of 2012)

115. Residential mortgage loans

(1) Subject to subsections (2) and (3), an authorized institution shall allocate a risk-weight of 50% to a residential mortgage loan in relation to the institution where—

(a) the borrower under the loan is—

(i) one or more than one individual; or

(ii) a property-holding shell company;

(b) the loan is secured by a first legal charge on one or more than one residential property;

(c) each residential property which falls within paragraph (b) is—

(i) if paragraph (a)(i) is applicable, used, or intended for use, as the residence of the borrower or as the residence of a tenant, or a licensee, of the borrower;

(ii) if paragraph (a)(ii) is applicable, used, or intended for use, as the residence of the directors or shareholders of the borrower or as the residence of a tenant, or a licensee, of the borrower;

(d) the loan-to-value ratio of the loan does not exceed 90% at the time a commitment to extend the loan was made by the institution, or in relation to a residential mortgage loan purchased by the institution, at the time the loan was purchased; and

(e) if the borrower under the loan is a property-holding shell company—

(i) all of the borrowed-monies obligations of the company arising under the loan are the subject of a personal guarantee—

(A) which is entered into by one or more than one director or shareholder (referred to in this paragraph as ***guarantor***) of the company; and

(B) which fully and effectively covers those obligations;

(ii) the institution, having due regard to the guarantor's financial obligations (including, in particular, all the guarantor's borrowed-monies obligations and obligations of suretyship), is satisfied that the guarantor is able to discharge all the guarantor's obligations under the guarantee; and

(iii) the loan has been assessed by reference to substantially similar credit underwriting standards (including loan purpose and loan-to-value and debt service ratios) as would normally be applied by the institution to an individual.

(2) Where, in respect of a residential mortgage loan made or purchased by an authorized institution, any residential property which falls within subsection (1)(b) is situated outside Hong Kong, the institution may allocate a risk-weight to the loan generally provided for under the supervisory treatment, or capital adequacy requirements, applicable to banks carrying on banking business in the jurisdiction in which the residential property is situated.

(3) Subject to subsection (4), an authorized institution shall, for the purposes of the application of subsection (1)(d) to a residential mortgage loan, exclude from the calculation of the loan-to-value ratio of a residential mortgage loan made or purchased by the institution any portion of the loan amount which has been provided by a person who is not a member of the group of companies of which the institution is a member.

(4) The Monetary Authority may, by notice in writing given to an authorized institution, direct the institution, in calculating—

(a) the loan-to-value ratio of a residential mortgage loan specified in the notice; or

(b) the loan-to-value ratio of a residential mortgage loan belonging to a class of residential mortgage loans specified in the notice,

to include a portion of the loan amount which would otherwise be excluded pursuant to subsection (3).

(5) An authorized institution given a notice under subsection (4) shall comply with the notice.

(6) In this section—

loan-to-value ratio (貸款與價值比率), in relation to a residential mortgage loan, means the ratio of the sum of the following amounts to the market value of the security—

(a) the principal amount of that loan; and

(b) the principal amount of all other residential mortgage loans in respect of which the residential property falling within subsection (1)(b) is also used as security.

116. Other exposures

(1) This section applies to—

(a) in the case of an authorized institution’s holdings of capital instruments issued by, and non-capital LAC liabilities of, financial sector entities— *(L.N. 222 of 2018)*

(i) insignificant LAC investments that are not subject to deduction from any of the institution’s CET1 capital, Additional Tier 1 capital and Tier 2 capital under sections 43(1)(o), 47(1)(c) and 48(1)(c);

(ii) significant LAC investments that are not subject to deduction from the institution’s CET1 capital under section 43(1)(p); and

(iii) (if the institution maintains any non-capital LAC debt resources) holdings of non-capital LAC liabilities falling within section 48A that are not subject to deduction from the institution’s Tier 2 capital under section 48(1)(g)(i); or *(L.N. 222 of 2018)*

(b) in any other case—

(i) equities held by an authorized institution that do not fall within section 117A; and

(ii) any other on-balance sheet exposures of the institution that do not fall within any of sections 109, 110, 111, 112, 113, 114, 114A and 115 (including accrued interest if subsection (5) is applicable). *(L.N. 156 of 2012)*

(2) Subject to subsections (3) and (4), an authorized institution must allocate a risk-weight of—

(a) 100% to an exposure to which this section applies except for an exposure falling within subsection (1)(a)(ii); and

(b) 250% to an exposure falling within subsection (1)(a)(ii). *(L.N. 156 of 2012)*

(3) The Monetary Authority may, by notice in writing given to an authorized institution, direct the institution to allocate to an exposure, or an exposure belonging to a class of exposures, to which this section applies, a risk-weight specified in the notice, being a risk-weight greater than 100%.

(4) An authorized institution given a notice under subsection (3) shall comply with the notice.

(5) Where in respect of an exposure of an authorized institution, the institution has difficulty in allocating any accrued interest under the exposure to the obligors of the institution, the institution may, with the prior consent of the Monetary Authority, treat the accrued interest as an exposure to which this section applies. *(L.N. 137 of 2011)*

117. Credit-linked notes

An authorized institution which has an exposure in respect of a credit-linked note held by the institution shall allocate a risk-weight to the exposure which is the greater of—

(a) the risk-weight attributable to—

(i) subject to subparagraph (ii), the reference obligation of the note as determined in accordance with sections 109, 110, 111, 112, 113, 114, 115 and 116 as if the institution had a direct exposure to the reference obligation;

(ii) if the note—

(A) is a first-to-default, second-to-default or n^{th}-to-default note; or

(B) provides credit protection proportionately to a basket of reference obligations,

the pool of reference obligations of the note as determined in accordance with section 121(3), (4), (5) or (6), as the case requires, as if the institution had a direct exposure to the credit default swap embedded in the note; and *(L.N. 137 of 2011)*

(b) the attributed risk-weight of the issuer of the note.

117A. Significant exposures to commercial entities

(1) This section applies to—

(a) an authorized institution’s holdings of shares in any commercial entity if the holdings amount to more than 10% of the ordinary shares issued by that commercial entity; and

(b) an authorized institution’s holdings of shares in any commercial entity if that commercial entity is an affiliate of the institution.

(2) Subject to section 43(1)(n), where the net book value of an authorized institution's holdings referred to in subsection (1)(a) or (b) exceeds 15% of its capital base as reported in its capital adequacy ratio return as at the immediately preceding calendar quarter end date, the institution must allocate a risk-weight of 1250% to that amount of the net book value of the holdings that exceeds that 15%.

(L.N. 156 of 2012)

Division 4—Calculation of Risk-weighted Amount of Authorized Institution's Off-balance Sheet Exposures

117B. Application of sections 118(2) and (3), 119 and 120(b) and (c)

Sections 118(2) and (3), 119 and 120(b) and (c) do not apply to OTC derivative transactions or credit derivative contracts for which an authorized institution has an IMM(CCR) approval except for transactions or contracts for which the institution is permitted under section 10B(5), or has chosen under section 10B(7), to use the current exposure method.

(L.N. 156 of 2012)

118. Off-balance sheet exposures

(1) An authorized institution shall, in calculating the risk-weighted amount of an off-balance sheet exposure of the institution—

(a) specified in column 2 of Table 14; and

(b) booked in the institution's banking book,

calculate the credit equivalent amount of the off-balance sheet exposure by multiplying the principal amount of the exposure, after deducting any specific provisions applicable to the exposure, by the CCF specified in column 3 of Table 14 opposite the exposure.

Table 14

Determination of CCF for Off-balance Sheet Exposures other than OTC Derivative Transactions or Credit Derivative Contracts

Item	Off-balance sheet exposures	CCF
1.	Direct credit substitutes	100%
2.	Transaction-related contingencies	50%
3.	Trade-related contingencies	20%
4.	Asset sales with recourse	100%
5.	Forward asset purchases	100%
6.	Partly paid-up shares and securities	100%
7.	Forward forward deposits placed	100%
8.	Note issuance and revolving underwriting facilities	50%
9.	Off-balance sheet exposures that do not fall within any of items 1, 2, 3, 4, 5, 6, 7 and 8 and arise from commitments— *(L.N. 175 of 2017)*	
	(a) subject to paragraph (d), which have an original maturity of not more than one year;	20%
	(b) subject to paragraph (d), which have an original maturity of more than one year;	50%
	(c) which may be cancelled at any time unconditionally by the authorized institution or which provide for automatic cancellation due to a deterioration in the creditworthiness of the persons to whom the institution has made the commitments;	0%

(d)	the drawdown of which will give rise to an off-balance sheet exposure falling within any of items 1, 2, 3, 4, 5, 6, 7 and 8 or any item specified in section 120,	the lower of the CCF applicable to the exposure based on the original maturity of the commitment or the CCF applicable to the off-balance sheet exposure arising from the drawdown of the commitment concerned *(L.N. 175 of 2017)*

where—

original maturity (原訂到期期限), in relation to a commitment of an authorized institution, means the period between the date on which the institution enters into the commitment and the earliest date on which the institution can, at its option, unconditionally cancel the commitment. *(L.N. 175 of 2017)*

(2) Subject to section 119, an authorized institution shall, in calculating the risk-weighted amount of an off-balance sheet exposure of the institution being an OTC derivative transaction or credit derivative contract—

(a) specified in column 2 of Table 15; and

(b) booked in the institution's banking book or trading book,

calculate the credit equivalent amount of the off-balance sheet exposure—

(c) subject to paragraph (d) and to any exceptions specified in column 2 of Table 15 applicable to the off-balance sheet exposure, by multiplying the principal amount of the off-balance sheet exposure by the CCF specified in column 3 of Table 15 opposite the off-balance sheet exposure and aggregating the resultant figure with the current exposure of the off-balance sheet exposure;

(d) if the off-balance sheet exposure is a single-currency floating rate against floating rate interest rate swap, by taking the current exposure of the off-balance sheet exposure as the credit equivalent amount.

Table 15

Determination of CCF for OTC Derivative Transactions or Credit Derivative Contracts

Item	Off-balance sheet exposures	CCF
1.	Exchange rate contracts (other than an excluded exchange rate contract)—	
	(a) with a residual maturity of not more than one year;	1%
	(b) with a residual maturity of more than one year but not more than 5 years;	5%
	(c) with a residual maturity of more than 5 years,	
	where—	
	excluded exchange rate contract (豁除匯率合約) means—	
	(a) *(Repealed L.N. 212 of 2015)*	
	(b) a forward exchange rate contract entered into by the authorized institution pursuant to a swap deposit arrangement with an obligor;	

	swap deposit arrangement (掉期存款安排) means an arrangement entered into by the authorized institution with an obligor whereby the institution sells a specified currency at spot rate to the obligor against another currency, and at the same time, the obligor deposits the specified currency so purchased with the institution and enters into a forward exchange rate contract with the institution to sell the specified currency so purchased back to the institution against another currency at a specified exchange rate on a future date.	7.5%
2.	Interest rate contracts—	
	(a) with a residual maturity of not more than one year;	0%
	(b) with a residual maturity of more than one year but not more than 5 years;	0.5%
	(c) with a residual maturity of more than 5 years.	1.5%
3.	Equity contracts—	
	(a) with a residual maturity of not more than one year;	6%
	(b) with a residual maturity of more than one year but not more than 5 years;	8%
	(c) with a residual maturity of more than 5 years.	10%
4.	Precious metal contracts—	
	(a) with a residual maturity of not more than one year;	7%
	(b) with a residual maturity of more than one year but not more than 5 years;	7%

	(c) with a residual maturity of more than 5 years.	8%
5.	Debt security contracts or other commodity contracts—	
	(a) with a residual maturity of not more than one year;	10%
	(b) with a residual maturity of more than one year but not more than 5 years;	12%
	(c) with a residual maturity of more than 5 years.	15%
6.	Credit derivative contracts which are —	
	(a) credit default swaps booked in the trading book—	
	(i) where the authorized institution is a protection buyer and the reference obligation is—	
	(A) a qualifying reference obligation;	5%
	(B) a non-qualifying reference obligation;	10%
	(ii) where the authorized institution is a protection seller and the credit default swap is subject to close-out upon the insolvency of the protection buyer while the reference entity is still solvent and the reference obligation is—	
	(A) a qualifying reference obligation;	5%
	(B) a non-qualifying reference obligation;	10%

(iii) where the authorized institution is a protection seller and the credit default swap does not fall within subparagraph (ii) and the reference obligation is—

(A) a qualifying reference obligation; 0%

(B) a non-qualifying reference obligation; 0%

(b) total return swaps booked in the trading book—

(i) where the authorized institution is a protection buyer and the reference obligation is—

(A) a qualifying reference obligation; 5%

(B) a non-qualifying reference obligation; 10%

(ii) where the authorized institution is a protection seller and the reference obligation is—

(A) a qualifying reference obligation; 5%

(B) a non-qualifying reference obligation, 10%

where the amount of the potential exposure for a credit derivative contract which falls within paragraph (a)(ii) shall be capped at the amount of the unpaid premium under the contract.

(3) For the avoidance of doubt, it is hereby declared that an authorized institution is not required to hold regulatory capital in respect of an excluded exchange rate contract specified in Table 15.

119. Provisions supplementary to section 118

For the purposes of the operation of section 118 in relation to an authorized institution and its off-balance sheet exposures—

(a) in the case of an off-balance sheet exposure which has multiple exchanges of principal, the institution shall calculate its potential exposure to the off-balance sheet exposure by multiplying the product of the number of payments remaining to be made under the off-balance sheet exposure and the principal by the CCF required to be used under that section in respect of the off-balance sheet exposure;

(b) in the case of an off-balance sheet exposure—

(i) which is structured to settle the outstanding exposures under the off-balance sheet exposure on specified payment dates; and

(ii) the terms of which are reset so that the market value of the off-balance sheet exposure is zero on the specified payment dates referred to in subparagraph (i),

the institution—

(iii) subject to subparagraph (iv), shall treat the residual maturity of the off-balance sheet exposure as being equal to the period until the next specified payment date; and

(iv) if the off-balance sheet exposure is an interest rate contract where the remaining time to final maturity of the contract is more than one year, shall not use a CCF of less than 0.5% in respect of the off-balance sheet exposure;

(c) in the case of an off-balance sheet exposure booked in the institution's trading book which is a first-to-default credit derivative contract, the institution shall use the CCF for non-qualifying reference obligation if there is at least one non-qualifying reference obligation in the basket of reference obligations specified in the contract, otherwise the CCF for qualifying reference obligation is to be used;

(d) in the case of an off-balance sheet exposure booked in the institution's trading book which is a second-to-default credit derivative contract or any other subsequent-to-default credit derivative contract, the institution shall—

(i) for the second-to-default credit derivative contract, use the CCF for non-qualifying reference obligation if there are at least 2 non-qualifying reference obligations in the basket of reference obligations specified in the second-to-default credit derivative contract, otherwise the CCF for qualifying reference obligation is to be used;

(ii) for any other subsequent-to-default credit derivative contract, determine the CCF for the other subsequent-to-default credit derivative contract with reference to the corresponding number of non-qualifying reference obligations in the basket of reference obligations specified in the contract based on the approach taken in subparagraph (i);

(e) in the case of an off-balance sheet exposure arising from a commitment in the form of a general banking facility consisting of 2 or more credit lines, where under each credit line, an authorized institution is obliged either to provide funds or create off-balance sheet exposures in the future, the institution shall assign a CCF to the commitment in accordance with item 9(a), (b) or (c) of Table 14 based on the original maturity of the commitment;*(L.N. 137 of 2011; L.N. 175 of 2017)*

(f) in the case of an off-balance sheet exposure that is a credit derivative contract where—

(i) the contract is a credit default swap, the institution is the protection seller and a regulatory capital has been held in respect of the risk-weighted amount calculated in accordance with section 121 or Part 7 for the credit risk of the reference obligation underlying the swap; or

(ii) the institution is the protection buyer and the credit risk mitigation effect of the contract has been recognized and taken into account, in accordance with Divisions 7 and 8, or Division 5 of Part 7, for the purposes of the calculation of the risk-weighted amount of the exposure to which credit protection is provided by the contract, *(L.N. 175 of 2017)*

the institution must treat the credit equivalent amount of that exposure as zero. *(L.N. 137 of 2011)*

120. Calculation of credit equivalent amount of other off-balance sheet exposures not specified in Table 14 or 15

An authorized institution must, in calculating the risk-weighted amount of an off-balance sheet exposure that is not specified in Table 14 or 15—

(a) subject to paragraph (c), if the exposure is not specified in Table 14 and is neither an OTC derivative transaction nor a credit derivative contract, calculate the credit equivalent amount of the exposure by applying a CCF of 100% in accordance with section 118(1) with all necessary modifications;

(b) subject to paragraph (c), if the exposure is an OTC derivative transaction or credit derivative contract that is not specified in Table 15, calculate the credit equivalent amount of the exposure by treating the exposure as if it fell within item 5 of Table 15 and applying the relevant CCF specified in that item in accordance with section 118(2) with all necessary modifications; or

(c) calculate the credit equivalent amount of the exposure by applying the CCF applicable to the exposure pursuant to Part 2 of Schedule 1 in accordance with section 118(1) or (2), as the case requires, with all necessary modifications.

(L.N. 137 of 2011)

121. Determination of risk-weights applicable to off-balance sheet exposures

(1) Subject to subsections (2) and (6A), an authorized institution shall determine the risk-weight attributable to an off-balance sheet exposure in accordance with sections 109, 110, 111, 112, 113, 114A, 115, 116 and 117A as if the exposure were an on-balance sheet exposure. *(L.N. 156 of 2012)*

(2) Where an off-balance sheet exposure referred to in subsection (1) of an authorized institution is—

(a) an asset sale with recourse;

(b) a forward asset purchase;

(c) partly paid-up shares and securities; or

(d) a direct credit substitute arising from the selling of credit derivative contracts in the form of total return swaps or credit default swaps in the institution’s banking book,

the institution shall determine the risk-weight attributable to the exposure—

(e) in the case of paragraph (a) or (b), by reference to the risk-weight allocated to the assets sold or purchased or the attributed risk-weight of the obligor in respect of the assets sold or purchased; *(L.N. 175 of 2017)*

(f) in the case of paragraph (c), by reference to the risk-weight allocated to the relevant shares or securities; *(L.N. 212 of 2015)*

(g) in the case of paragraph (d), subject to subsection (3), by reference to the risk-weight of the relevant reference obligation in respect of the credit derivative contract. *(L.N. 175 of 2017)*

(3) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from a first-to-default credit derivative contract— *(L.N. 175 of 2017)*

(a) subject to paragraph (b), the institution shall, for the purposes of that subsection, aggregate the risk-weights of the reference obligations in the basket of reference obligations specified in the contract to determine the risk-weight to be allocated to its exposure in respect of the contract; and

(b) the institution shall not allocate to its exposure in respect of the contract a risk-weight greater than 1,250%.

(4) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from a second-to-default credit derivative contract— *(L.N. 175 of 2017)*

(a) subject to paragraph (b), the institution shall, for the purposes of that subsection, aggregate the risk-weights of the reference obligations in the basket of reference obligations specified in the contract to determine the risk-weight to be allocated to its exposure in respect of the contract but excluding the lowest of those risk-weights; and

(b) the institution shall not allocate to its exposure in respect of the contract a risk-weight greater than 1,250%.

(5) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from any other subsequent-to-default credit derivative contract, the institution shall, for the purposes of that subsection, and with all necessary modifications, apply subsection (4) to that contract as that subsection is applied to a second-to-default credit derivative contract so that the reference to "lowest" in subsection (4)(a) is construed to mean "lowest and second lowest" in the case of a third-to-default credit derivative contract and "lowest, second lowest and third lowest" in the case of a fourth-to-default credit derivative contract and likewise for other subsequent-to-default credit derivative contracts. *(L.N. 175 of 2017)*

(6) Where an off-balance sheet exposure referred to in subsection (2)(d) of an authorized institution arises from a credit derivative contract which provides credit protection proportionately in respect of the reference obligations in the basket of reference obligations specified in the contract, the institution shall calculate the risk-weight of its exposure in respect of the contract by taking a weighted average of the risk-weights attributable to the reference obligations in the basket by the use of Formula 13.

Formula 13

Calculation of Risk-weight of Off-balance Sheet Exposure Arising from Credit Derivative Contract which Falls within Section 121(6)

(L.N. 175 of 2017)

$$RW_a = \sum_i a_i \times RW_i$$

where—

RW_a = average risk-weight in a basket of reference obligations;

a_i = proportion of credit protection allocated to a reference obligation; and

RW_i = risk-weight of a reference obligation.

(6A) Where an off-balance sheet exposure referred to in subsection (1) of an authorized institution arises from a single-name credit default swap that falls within section 226J(1) and the default risk exposure in respect of the swap is determined in accordance with section 226J(3), the institution must determine the risk-weight attributable to the exposure by reference to the attributed risk-weight of the counterparty in respect of the swap without taking into account any recognized credit risk mitigation afforded to the swap. *(L.N. 156 of 2012)*

(7) For the avoidance of doubt, it is hereby declared that where an off-balance sheet exposure referred to in subsection (1) of an authorized institution arises from a commitment to extend a residential mortgage loan, the institution shall allocate a risk-weight in accordance with section 115 to the exposure only if the institution has no reason to believe that any of the provisions of that section will not be satisfied immediately after the loan that is the subject of that commitment is drawn down. *(L.N. 175 of 2017)*

122. Calculation of risk-weighted amount of exposures in respect of assets underlying SFTs booked in banking book*

(1) An authorized institution shall calculate the risk-weighted amount of an exposure in respect of the asset underlying an SFT booked in its banking book in accordance with the following provisions. *(L.N. 156 of 2012)*

(2) Subject to subsection (5), where the SFT is a repo-style transaction that falls within paragraph (a) or (b) of the definition of ***repo-style transaction***in section 2(1), an authorized institution shall treat the securities sold or lent under the transaction as an on-balance sheet exposure of the institution as if the institution had never entered into the transaction and, accordingly, calculate the risk-weighted amount of the institution's exposure in respect of the transaction by reference to the risk-weight attributable to the securities. *(L.N. 156 of 2012)*

(3) *(Repealed L.N. 156 of 2012)*

(4) Subject to subsection (5), where the SFT is a repo-style transaction that falls within paragraph (d) of the definition of ***repo-style transaction*** in section 2(1)— *(L.N. 156 of 2012)*

(a) *(Repealed L.N. 156 of 2012)*

(b) if and to the extent an authorized institution has provided collateral in the form of securities under the transaction, the institution shall treat those securities as its on-balance sheet exposure as if the institution had never entered into the transaction and, accordingly, calculate the risk-weighted amount of the institution's exposure in respect of the transaction by reference to the risk-weight attributable to the securities.

(5) Where the asset underlying an SFT is a securitization issue, an authorized institution must determine the risk-weight attributable to the asset in accordance with Part 7. *(L.N. 156 of 2012)*

Editorial Note:

* (L.N. 156 of 2012)

123. Calculation of risk-weighted amount of exposures in respect of assets underlying SFTs booked in trading book

To avoid doubt, an exposure of an authorized institution to the asset underlying a specified SFT, as defined by section 76(2), is an exposure subject to the requirements of Part 8 instead of this Part.

(L.N. 222 of 2018)

123A. Calculation of risk-weighted amount of default risk exposures in respect of SFTs

(1) Where an authorized institution does not have an IMM(CCR) approval for SFTs, the institution must calculate the risk-weighted amount of its default risk exposures in respect of SFTs (whether booked in its banking book or trading book) in accordance with subsections (4), (5), (6) and (7).

(2) Subject to subsection (3), an authorized institution that has an IMM(CCR) approval for SFTs must calculate the risk-weighted amount of its default risk exposures in respect of SFTs (whether booked in its banking book or trading book) using the IMM(CCR) approach.

(3) Where—

(a) an authorized institution has an IMM(CCR) approval for SFTs but the approval does not include SFTs that are long settlement transactions; or

(b) an authorized institution is permitted under section 10B(5), or has chosen under section 10B(7), to use the methods referred to in section 10A(1)(b) for certain SFTs,

the institution must calculate the risk-weighted amount of its default risk exposures in respect of SFTs (whether booked in its banking book or trading book) that are not, by virtue of the circumstance described in paragraph (a) or (b), subject to the IMM(CCR) approach, in accordance with subsections (4), (5), (6) and (7).

(4) Where the SFT is a repo-style transaction that falls within paragraph (a) or (b) of the definition of ***repo-style transaction*** in section 2(1), the authorized institution must treat the securities sold or lent under the transaction as if they were an on-balance sheet exposure to the counterparty secured on the money or securities that are provided to, or to the order of, the institution under the transaction and, accordingly, calculate the risk-weighted amount of the institution’s default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(5) Where the SFT is a repo-style transaction that falls within paragraph (c) of the definition of ***repo-style transaction*** in section 2(1), an authorized institution must treat the money paid by the institution under the transaction as if it were a loan to the counterparty secured on the securities that are provided to, or to the order of, the institution under the transaction and, accordingly, calculate the risk-weighted amount of the institution's default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(6) Where the SFT is a margin lending transaction, the authorized institution must calculate the risk-weighted amount of its default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(7) Where the SFT is a repo-style transaction that falls within paragraph (d) of the definition of ***repo-style transaction*** in section 2(1)—

(a) if and to the extent that the authorized institution has provided collateral in the form of money under the transaction, the institution must treat the money paid by the institution under the transaction as if it were a loan to the counterparty secured on the securities borrowed by the institution and, accordingly, calculate the risk-weighted amount of the institution's default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction; and

(b) if and to the extent that the authorized institution has provided collateral in the form of securities under the transaction, the institution must treat those securities as if they were an on-balance sheet exposure to the counterparty secured on the securities borrowed by the institution and, accordingly, calculate the risk-weighted amount of the institution's default risk exposure in respect of the transaction by reference to the attributed risk-weight of the counterparty subject to the application of any recognized credit risk mitigation applicable to the transaction.

(L.N. 156 of 2012)

Division 5—Use of Recognized Collateral in Credit Risk Mitigation

124. Recognized collateral

Collateral is recognized for the purposes of calculating the risk-weighted amount of an exposure of an authorized institution where —

(a) all documentation creating the collateral and providing for the obligations of the parties with respect to each other in respect of the collateral is binding on all parties and legally enforceable in all relevant jurisdictions;

(b) the legal mechanism by which the collateral is pledged or transferred ensures that the institution has the right to realize, or to take legal possession of, the collateral in a timely manner in the event of a default by, or the insolvency or bankruptcy of, or any other event specified in the relevant legal documentation applicable to any of —

(i) the obligor in respect of the exposure; or

(ii) the custodian, if any, holding the collateral;

(c) the institution has clear and adequate procedures for the timely realization of collateral in respect of an event referred to in paragraph (b);

(d) the institution has taken all steps to fulfil requirements under the law applicable to the institution's interest in the collateral which are necessary to obtain and maintain an enforceable security interest, whether by registration or otherwise, or to exercise a right to set-off in relation to title transfer collateral;

(e) if the collateral is to be held by a custodian, the institution has taken reasonable steps to ensure that the custodian segregates the collateral from the custodian's assets;

(ea) if the collateral is provided under a margin agreement for OTC derivative transactions, credit derivative contracts or SFTs, the institution—

(i) has devoted sufficient resources to enable the orderly operation of the agreement; and

(ii) has collateral management policies in place to control, monitor and report—

(A) risks (including liquidity risk and concentration risk) associated with the agreement;

(B) reuse of collateral; and

(C) the rights ceded by the institution in respect of collateral posted; *(L.N. 156 of 2012)*

(f) there is no material positive correlation between the credit quality of the obligor in respect of which the institution has an exposure and the current market value of the collateral provided in respect of the exposure; *(L.N. 156 of 2012)*

(g) the collateral—

(i) is pledged for not less than the life of the exposure; and

(ii) is revalued not less than every 6 months from the date upon which the collateral is taken in respect of the exposure; and

(h) the collateral falls within section 125(1)(a), (b), (c), (d), (e), (f) or (g). *(L.N. 156 of 2012)*

125. Collateral which may be recognized for purposes of section 124(h)

(1) Subject to subsection (2), for the purposes of section 124(h), only collateral of the following description may be recognized in relation to an authorized institution— *(L.N. 156 of 2012)*

(a) cash on deposit with the institution or held at a third-party bank;

(b) certificates of deposit issued by the institution;

(c) instruments issued by the institution which are comparable to instruments referred to in paragraph (b);

(d) debt securities issued or guaranteed by a sovereign of a Tier 1 country;

(e) debt securities issued or guaranteed by a relevant international organization;

(f) debt securities issued by a public sector entity of a Tier 1 country; or

(g) debt securities issued by a multilateral development bank.

(2) Any reference to debt securities in subsection (1) does not include debt securities that, if treated as an on-balance sheet exposure of an authorized institution, would fall within the definition of ***re-securitization exposure*** in section 2(1). *(L.N. 156 of 2012)*

126. Calculation of risk-weighted amount of exposures taking into account credit risk mitigation effect of recognized collateral

(1) An authorized institution shall, in respect of an exposure of the institution to which the recognized collateral relates—

(a) subject to subsections (2) and (3), allocate to the credit protection covered portion of the exposure the risk-weight of the collateral; and

(b) allocate to the credit protection uncovered portion of the exposure the risk-weight of the exposure.

(2) Where the recognized collateral consists of collateral—

(a) which falls within section 125(1)(a), (b) or (c); *(L.N. 156 of 2012)*

(b) which is held at a third-party bank in a non-custodial arrangement; and

(c) which is unconditionally and irrevocably pledged or assigned to an authorized institution,

the institution shall allocate to the credit protection covered portion of the exposure the attributed risk-weight of the third-party bank.

(3) An authorized institution shall, for the purposes of subsection (1)(a) or (2) where the exposure and the recognized collateral have currency mismatch, reduce the value of the collateral by a standard haircut of 8%.

(4) An authorized institution must—

(a) if the recognized collateral is not a securitization issue, determine the risk-weight to be allocated to the collateral in accordance with sections 109, 110, 111, 112, 113, 114, 115 and 116 as if the collateral were an on-balance sheet exposure; and

(b) if the recognized collateral is a securitization issue, determine the risk-weight to be allocated to the collateral in accordance with Part 7 as if the collateral were an on-balance sheet exposure. *(L.N. 156 of 2012; L.N. 175 of 2017)*

127. Calculation of risk-weighted amount of on-balance sheet exposures

An authorized institution shall calculate the risk-weighted amount of each of its on-balance sheet exposures by—

(a) dividing the principal amount of the exposure, net of specific provisions, into—

(i) the credit protection covered portion; and

(ii) the credit protection uncovered portion;

(b) multiplying the credit protection covered portion by the riskweight attributable to the recognized collateral and multiplying the credit protection uncovered portion by the risk-weight attributable to the exposure; and

(c) adding together the 2 products derived from the application of paragraph (b).

128. Calculation of risk-weighted amount of off-balance sheet exposures other than OTC derivative transactions or credit derivative contracts*

An authorized institution shall calculate the risk-weighted amount of each of its off-balance sheet exposures which is neither an OTC derivative transaction nor a credit derivative contract by— *(L.N. 137 of 2011)*

(a) dividing the principal amount of the exposure, net of specific provisions, into—

(i) the credit protection covered portion; and

(ii) the credit protection uncovered portion;

(b) multiplying the credit protection covered portion and the credit protection uncovered portion by the CCF applicable to the off-balance sheet exposure to produce 2 credit equivalent amounts;

(c) multiplying the credit equivalent amount of the credit protection covered portion by the risk-weight attributable to the recognized collateral and multiplying the credit equivalent amount of the credit protection uncovered portion by the risk-weight attributable to the exposure; and

(d) adding together the 2 products derived from the application of paragraph (c).

Editorial Note:

* (Amended L.N. 137 of 2011)

129. Calculation of risk-weighted amount of OTC derivative transactions and credit derivative contracts*

(1) An authorized institution shall calculate the risk-weighted amount of each of its off-balance sheet exposures which is an OTC derivative transaction by— *(L.N. 137 of 2011)*

(a) dividing the outstanding default risk exposure of the transaction, net of specific provisions, into—

(i) the credit protection covered portion; and

(ii) the credit protection uncovered portion; *(L.N. 156 of 2012)*

(b) multiplying the credit protection covered portion by the risk-weight attributable to the recognized collateral and multiplying the credit protection uncovered portion by the risk-weight attributable to the exposure; and *(L.N. 156 of 2012)*

(c) adding together the 2 products derived from the application of paragraph (b). *(L.N. 156 of 2012)*

(d) *(Repealed L.N. 156 of 2012)*

(2) Subsection (1), with all necessary modifications, applies to the calculation of the risk-weighted amount of each of an authorized institution's off-balance sheet exposures that is a credit derivative contract as it applies to the calculation of the risk-weighted amount of each of the institution's off-balance sheet exposures that is an OTC derivative transaction. *(L.N. 137 of 2011)*

Editorial Note:

* (Amended L.N. 137 of 2011)

Division 6—Use of Recognized Netting in Credit Risk Mitigation

130. On-balance sheet netting

(1) Where amounts owed by an obligor to an authorized institution in respect of on-balance sheet exposures of the institution are subject to recognized netting, the institution—

(a) may take into account the effect of the recognized netting in calculating its exposure to the obligor; and

(b) if a net credit exposure for the institution is the result of so taking into account the effect of the recognized netting, shall use the net credit exposure in calculating the risk-weighted amount of the exposure.

(2) An authorized institution shall calculate its net credit exposure, if any, referred to in subsection (1)(b) by the use of Formula 14.

Formula 14

Calculation of Net Credit Exposure under Recognized Netting

$$\text{Net credit exposure} = \max [0, \text{exposures} - \text{liabilities} \times (1 - H_{fx})]$$

where—

exposures = the amounts subject to recognized netting, net of specific provisions, owed by the obligor to the authorized institution;

liabilities = the amounts subject to recognized netting owed by the authorized institution to the obligor; and

H_{fx} = the 8% haircut to be applicable in consequence of a currency mismatch, if any, between the currencies in which the exposures and liabilities are denominated.

(3) Where an authorized institution has a net credit exposure to an obligor after taking into account recognized netting, the institution shall calculate the risk-weighted amount of the net credit exposure by multiplying the net credit exposure by the attributed risk-weight of the obligor.

(L.N. 137 of 2011)

130A. Application of section 131

Where an authorized institution uses the IMM(CCR) approach to calculate the default risk exposure of a netting set that contains OTC derivative transactions or credit derivative contracts—

(a) subject to paragraph (b), the institution must take into account the effect of any recognized netting in the manner set out in Part 6A instead of in the manner set out in section 131;

(b) paragraph (a) does not apply in the case of OTC derivative transactions or credit derivative contracts for which the institution is permitted under section 10B(5), or has chosen under section 10B(7), to use the current exposure method.

(L.N. 156 of 2012)

131. Netting of OTC derivative transactions and netting of credit derivative contracts*

(1) Where an authorized institution's exposure to a counterparty is under a nettable derivative transaction (whether or not the recognized netting concerned relates to more than one type of nettable derivative transaction), the institution may, in accordance with subsections (2) and (3), take into account the effect of the recognized netting in calculating the risk-weighted amount of its net credit exposure to the counterparty.

(2) Subject to subsection (3), an authorized institution shall calculate the credit equivalent amount of its net credit exposure to a counterparty by adding together—

(a) the net current exposure (being the sum of the positive and negative mark-to-market replacement costs of the individual nettable derivative transactions subject to recognized netting if the sum is positive); and

(b) the net potential exposure calculated by the use of Formula 15.

Formula 15

Calculation of Net Potential Exposure under Nettable Derivative Transactions

$$A_{Net} = 0.4 \times A_{Gross} + 0.6 \times NGR \times A_{Gross}$$

where—

A_{Net} = the net potential exposure;

A_{Gross} = the sum of the individual amounts derived by multiplying the principal amounts of all of the individual nettable derivative transactions by the applicable CCFs; and

NGR = the ratio of net replacement cost for the nettable derivative transactions (that is, the non-negative sum of the positive and negative mark-to-market replacement costs of the transactions) to gross replacement cost for the nettable derivative transactions (that is, the sum of the positive mark-to-market replacement costs of the transactions).

(3) An authorized institution, in the application of Formula 15 in respect of its nettable derivative transactions, shall calculate the NGR in that Formula either on a per counterparty basis, or on an aggregate basis.

(4) An authorized institution shall allocate to the credit equivalent amount of its net credit exposure to the counterparty calculated in accordance with subsection (2), net of specific provisions, the attributed risk-weight of the counterparty.

(5) In this section—

aggregate basis (總和基準), in relation to the calculation of the NGR in Formula 15, means the ratio of the sum of the net replacement costs for all nettable derivative transactions with each counterparty to the sum of gross replacement costs for all nettable derivative transactions with each counterparty;

derivative transaction (衍生工具交易) means—

(a) an OTC derivative transaction; or

(b) a credit derivative contract; *(L.N. 156 of 2012)*

per counterparty basis (每位對手方基準), in relation to the calculation of the NGR in Formula 15, means the ratio of net replacement cost to gross replacement cost for the nettable derivative transactions with a particular counterparty.

Editorial Note:

* (L.N. 156 of 2012)

Division 7—Use of Recognized Guarantees and Recognized Credit Derivative Contracts in Credit Risk Mitigation

132. Recognized guarantees

A guarantee given to an authorized institution is recognized for the purposes of calculating the risk-weighted amount of an exposure of the institution where—

(a) the guarantee is given by—

(i) a sovereign of a Tier 1 country;

(ii) a sovereign of a Tier 2 country where the underlying exposures are—

(A) denominated in the local currency of that country; and

(B) funded by liabilities entered into by the institution in that currency;

(iii) a relevant international organization;

(iv) a public sector entity of a Tier 1 country;

(v) a multilateral development bank;

(vi) a bank which falls within paragraph (a) of the definition of ***bank*** in section 2(1);

(vii) a bank which falls within paragraph (b) of the definition of ***bank*** in section 2(1) and which is incorporated in a Tier 1 country; or

(viii) a bank which falls within paragraph (b) of the definition of ***bank*** in section 2(1) and which is incorporated in a Tier 2 country but only in respect of exposures of the institution with a residual maturity of less than one year,

in each case having been allocated a lower risk-weight than that allocated to the exposure in respect of which the guarantee has been given (referred to in this section as ***guaranteed exposure***);

(b) the guarantee gives the institution a direct claim against the guarantor;

(c) the credit protection provided by the guarantee relates to a specific exposure, specific exposures, or specific pools of exposures, of the institution;

(d) the undertaking of the guarantor to make payment in specified circumstances relating to the guaranteed exposure is clearly documented so that the extent of the credit protection provided by the guarantee is clearly defined;

(e) there is no clause in the guarantee, the satisfaction of which is outside the direct control of the institution, which would allow the guarantor to cancel the guarantee unilaterally or which would increase the effective cost of the credit protection provided by the guarantee as a result of the deteriorating credit quality of the guaranteed exposure except for a clause permitting termination in the event of a failure by the institution to pay sums due from it under the terms of the guarantee;

(f) there is no clause in the guarantee, the satisfaction of which is outside the direct control of the institution, which could operate to prevent the guarantor from being obliged to pay out promptly in the event that the obligor in respect of the guaranteed exposure defaults in making any payments due to the institution in respect of the guaranteed exposure;

(g) the country in which the guarantor is located and from which the guarantor may be obliged to make payment has no existing exchange controls in place or, if there are existing exchange controls in place, approval has been obtained for the funds to be remitted freely in the event that the guarantor is called upon under the terms of the guarantee to make payment to the institution;

(h) the guarantor has no recourse to the institution for any losses suffered as a result of the guarantor being obliged to make any payment to the institution pursuant to the guarantee;

(i) the institution has the right to receive payment from the guarantor without having to take legal action in order to pursue the obligor in respect of the guaranteed exposure for payment; and

(j) the guarantee is binding on all parties and legally enforceable in all relevant jurisdictions.

133. Recognized credit derivative contracts

(1) A credit derivative contract entered into by an authorized institution as a protection buyer is recognized for the purposes of calculating the risk-weighted amount of an exposure of the institution where—

(a) the credit derivative contract is a credit default swap or total return swap (other than a restricted return swap);

(b) the protection seller of the credit derivative contract is—

(i) a sovereign of a Tier 1 country;

(ii) a sovereign of a Tier 2 country where the institution's exposures to which the credit derivative contract relates are—

(A) denominated in the local currency of that country; and

(B) funded by liabilities entered into by the institution in that currency;

(iii) a relevant international organization;

(iv) a public sector entity of a Tier 1 country;

(v) a multilateral development bank;

(vi) a bank which falls within paragraph (a) of the definition of ***bank*** in section 2(1);

(vii) a bank which falls within paragraph (b) of the definition of ***bank*** in section 2(1) and which is incorporated in a Tier 1 country; or

(viii) a bank which falls within paragraph (b) of the definition of ***bank*** in section 2(1) and which is incorporated in a Tier 2 country but only in respect of exposures of the institution with a residual maturity of less than one year,

in each case having been allocated a lower risk-weight than that allocated to the exposure in respect of which the credit derivative contract has been entered into (referred to in this section as ***protected exposure***);

(c) the economic benefit derived by the institution would make good the economic loss suffered by the institution in consequence of the default of the obligor in respect of the protected exposure in a manner substantially similar to that of a recognized guarantee;

(d) the credit derivative contract gives the institution a direct claim against the protection seller;

(e) the credit protection provided by the credit derivative contract relates to a specific exposure, specific exposures, or specific pools of exposures, of the institution;

(f) the undertaking of the protection seller under the credit derivative contract to make payment in specified circumstances relating to the protected exposure is clearly documented so that the extent of the credit protection provided by the credit derivative contract is clearly defined;

(g) there is no clause in the credit derivative contract, the satisfaction of which is outside the direct control of the institution, which would allow the protection seller to cancel the contract unilaterally or which would increase the effective cost of the credit protection offered by the credit derivative contract as a result of the deteriorating credit quality of the protected exposure except for a clause permitting termination in the event of a failure by the institution to pay sums due from it under the terms of the credit derivative contract;

(h) there is no clause in the credit derivative contract, the satisfaction of which is outside the direct control of the institution, which could operate to prevent the protection seller from being obliged to pay out promptly in the event that the obligor in respect of the protected exposure defaults in making any payments due to the institution in respect of the protected exposure;

(i) the country in which the protection seller is located and from which the protection seller may be obliged to make payment has no existing exchange controls in place or, if there are existing exchange controls in place, approval has been obtained for the funds to be remitted freely in the event that the protection seller is called upon under the terms of the credit derivative contract to make payment to the institution;

(j) the protection seller has no recourse to the institution for any losses suffered as a result of the protection seller being obliged to make any payment to the institution pursuant to the credit derivative contract;

(k) the credit derivative contract obliges the protection seller to make payment to the institution in the following credit events—

(i) any failure by the obligor in respect of the protected exposure to pay amounts due under the terms of the protected exposure (subject to any grace period in the contract which is of substantially similar duration to any grace period provided for in the terms of the protected exposure);

(ii) the bankruptcy or insolvency of (or analogous events affecting) the obligor in respect of the protected exposure or the obligor's failure or inability to pay its debts as they fall due or the obligor's admission in writing of the obligor's inability generally to pay its debts as they fall due; or

(iii) subject to subsections (2) and (3), the protected exposure is restructured, involving forgiveness or postponement of payment of any principal or interest or fees, which results in the institution making any deduction or specific provision or other similar debit to the institution's profit and loss account;

(l) in any case where the protected exposure provides a grace period within which the obligor may make good a default in payment, the credit derivative contract is not capable of terminating prior to the expiry of the grace period;

(m) in any case where the credit derivative contract provides for settlement in cash, it provides an adequate mechanism for valuation of the loss occasioned to the institution in respect of the protected exposure and specifies a reasonable period within which that valuation is to be arrived at following a credit event;

(n) in any case where the reference obligation or the obligation used for the purposes of determining whether a credit event has occurred as specified in the credit derivative contract (referred to in this paragraph as ***specified obligation***) does not include or is different from the protected exposure—

(i) the specified obligation of the credit derivative contract ranks for payment or repayment equally with, or junior to, the protected exposure; and

(ii) the obligor in respect of the protected exposure is the same person as the obligor in respect of the specified obligation and legally enforceable cross default or cross acceleration clauses are included in the terms of both the protected exposure and the specified obligation;

(o) in any case where under the terms of the credit derivative contract it is a condition of settlement that the institution transfers its rights in respect of the protected exposure to the protection seller, the terms of the protected exposure provide that any consent which may be required from the obligor in respect of the protected exposure shall not be unreasonably withheld;

(p) the credit derivative contract specifies clearly the identity of the person who is empowered to determine whether a credit event has occurred, that person is not solely the protection seller and the institution is, under the terms of the credit derivative contract, entitled to inform the protection seller of the occurrence of a credit event; and

(q) the credit derivative contract is binding on all parties and legally enforceable in all relevant jurisdictions.

(2) Where any restructuring of the protected exposure to which a credit derivative contract relates does not, under the terms of the contract, require payment by the protection seller to the authorized institution concerned but the maximum liability of the protection seller to the institution under the credit derivative contract is more than the amount of the protected exposure, the contract shall be deemed to be a recognized credit derivative contract to the extent of 60% of the amount of the protected exposure.

(3) Where any restructuring of the protected exposure to which a credit derivative contract relates does not, under the terms of the contract, require payment by the protection seller to the authorized institution concerned but the maximum liability of the protection seller to the institution under the credit derivative contract is less than, or equal to, the amount of the protected exposure, the contract shall be deemed to be a recognized credit derivative contract to the extent of 60% of the maximum liability of the protection seller to the institution under the credit derivative contract.

(4) In this section—

restricted return swap (受限制回報掉期), in relation to an authorized institution, means a total return swap where—

(a) the institution is the protection buyer under the swap; and

(b) the institution records the net payments received by it under the swap as net income but does not record, through deductions in fair value in the accounts of the institution or by an addition to reserves or provisions, the extent to which the value of the protected exposure has deteriorated.

134. Capital treatment of recognized guarantees and recognized credit derivative contracts

(1) Where an authorized institution's exposure is covered by a recognized guarantee or recognized credit derivative contract, the institution must determine the risk-weight to be allocated to the exposure in accordance with subsections (2), (3), (4), (5), (6) and (7). *(L.N. 51 of 2013)*

(2) Subject to subsections (3), (4), (5), (6) and (7), where— *(L.N. 51 of 2013)*

(a) an authorized institution's exposure is covered by a recognized guarantee or recognized credit derivative contract; and *(L.N. 51 of 2013)*

(b) the credit protection covered portion and the credit protection uncovered portion of the exposure rank equally,

the institution shall—

(c) allocate to the credit protection covered portion of the exposure the attributed risk-weight of the credit protection provider;

(d) allocate to the credit protection uncovered portion of the exposure the risk-weight attributable to the exposure.

(3) Where the guarantor of the recognized guarantee referred to in subsection (1) is a sovereign, then, for the purposes of that subsection, the risk-weight attributable to the guarantor is that attributable under— *(L.N. 51 of 2013)*

(a) if the institution's exposure covered by the guarantee concerned is to a debt security, section 109(3), (4), (8) or (9), as the case requires; or

(b) if the institution's exposure covered by the guarantee concerned is not to a debt security, section 109(2) or (7), as the case requires. *(L.N. 137 of 2011)*

(4) Sections 127, 128 and 129 shall, with all necessary modifications, apply to an authorized institution in relation to the calculation of the risk-weighted amount of exposures covered by recognized guarantees or recognized credit derivative contracts.

(5) Where in respect of an authorized institution's exposure covered by a recognized guarantee or recognized credit derivative contract there is a currency mismatch, then, to the extent that a calculation required by subsection (4) by the institution relates to that guarantee or contract, as the case may be, the institution shall reduce the credit protection covered portion by a standard haircut of 8%.

(6) Where the credit protection covered portion of an authorized institution's exposure is such credit protection covered portion by virtue of a recognized guarantee (***original guarantee***) and is the subject of a counter-guarantee given by a sovereign, the institution may, in respect of the credit protection covered portion, treat the counter-guarantee as if it were the original guarantee if—

(a) the counter-guarantee covers all credit risk elements of the exposure to the extent that it relates to the credit protection covered portion;

(b) the counter-guarantee is given in such terms that it can be called if—

(i) for any reason the obligor in respect of the exposure to which the original guarantee relates fails to make payments due in respect of the exposure; and

(ii) the original guarantee could be called;

(c) the original guarantee and the counter-guarantee meet all of the requirements for guarantees set out in section 132 (except that the counter-guarantee need not meet the requirements set out in section 132(b) and (c)); and

(d) the institution reasonably considers, and demonstrates to the satisfaction of the Monetary Authority, that—

(i) the cover of the counter-guarantee is adequate and effective; and

(ii) there is no evidence to suggest that the coverage of the counter-guarantee is less effective than that of a direct and explicit guarantee by the sovereign that gives the counter-guarantee. *(L.N. 156 of 2012)*

(7) Where an authorized institution's exposure is covered by a recognized credit derivative contract cleared by a qualifying CCP, the institution may allocate to the credit protection covered portion of the exposure—

(a) a risk-weight of 2% if—

(i) the institution is a clearing member of the qualifying CCP; or

(ii) the institution is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) are met; or

(b) a risk-weight of 4% if the institution is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) (excluding the condition set out in section 226ZA(6)(a)(iii)) are met. *(L.N. 51 of 2013)*

135. Provisions supplementary to section 134

(1) Where the credit protection in respect of an authorized institution's exposure consists of a recognized credit derivative contract which is a credit default swap or total return swap—

(a) if upon the happening of a credit event the protection seller is obliged to pay the amount specified in the contract to the institution in exchange for delivery by the institution of the deliverable obligation specified in the contract, the institution may treat the exposure as being fully covered;

(b) if upon the happening of a credit event the protection seller is obliged to pay the amount specified in the contract to the institution less the market value of the reference obligation specified in the contract, calculated by specified calculation agents at some specified point in time after the credit event has occurred, the institution may treat the exposure as being fully covered; and

(c) if upon the happening of a credit event the protection seller is obliged to pay a fixed amount to the institution, the institution may only treat that amount of the exposure which is equivalent to the fixed amount as being fully covered.

(2) Where the credit protection in respect of an authorized institution's exposure consists of a recognized credit derivative contract which provides that, upon the happening of a credit event—

(a) the protection seller is not obliged to make a payment in respect of any loss until the loss exceeds a specified amount (referred to in this subsection as ***first loss portion***); and

(b) the protection seller is not obliged to make a payment in respect of any loss except to the extent that the loss exceeds the first loss portion,

the institution shall, in calculating its capital adequacy ratio, allocate a risk-weight of 1250% to the first loss portion. *(L.N. 156 of 2012)*

(3) Subject to subsection (6A), where the credit protection in respect of a basket of exposures of an authorized institution consists of a recognized first-to-default credit derivative contract— *(L.N. 51 of 2013)*

(a) the institution shall recognize that credit protection for the exposure in the basket of exposures which would carry the lowest risk-weighted amount in the absence of the credit protection amongst the exposures in the basket only if the principal amount of the exposure is not more than the notional amount of the contract; and

(b) in the case of such credit protection so recognized, the institution may allocate to the exposure within the basket which would carry the lowest risk-weighted amount in the absence of the credit protection the attributed risk-weight of the credit protection provider.

(4) Subject to subsection (6A), where the credit protection in respect of a basket of exposures of an authorized institution consists of a recognized second-to-default credit derivative contract, the institution may, to the extent of the coverage of the credit protection, allocate to the exposure within the basket which would carry the second lowest risk-weighted amount in the absence of the credit protection the attributed risk-weight of the credit protection provider only if— *(L.N. 51 of 2013)*

(a) the institution has, as a protection buyer, entered into a recognized first-to-default credit derivative contract in respect of which the basket of reference obligations, or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in the contract, is the same as the basket of reference obligations or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in the second-to-default credit derivative contract (referred to in this subsection as ***relevant basket***); or

(b) an exposure in the relevant basket has defaulted.

(5) Where the credit protection in respect of a basket of exposures of an authorized institution consists of a recognized subsequent-to-default credit derivative contract, the institution may, with all necessary modifications, apply subsection (4) to that contract as that subsection is applied to a second-to-default credit derivative contract so that—

(a) the reference to "a recognized first-to-default credit derivative contract in respect of which the basket of reference obligations, or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in the contract" in subsection (4)(a) is construed to mean "recognized first-to-default and second-to-default credit derivative contracts in respect of which the basket of reference obligations, or the basket of obligations used for the purposes of determining whether a credit event has occurred as specified in each contract"; and

(b) the reference to "an exposure in the relevant basket has" in subsection (4)(b) is construed to mean "2 exposures in the relevant basket have",

in the case of a third-to-default credit derivative contract and likewise for other subsequent-to-default credit derivative contracts.

(6) Subject to subsection (6A), where the credit protection in respect of a basket of exposures of an authorized institution is a credit derivative contract which provides credit protection proportionately to reference obligations in the basket of reference obligations as specified in the contract, the institution shall calculate the risk-weighted amount of its exposures by substituting the attributed risk-weight of the credit protection provider for the risk-weights of the exposures to the extent of the coverage of the credit protection. *(L.N. 51 of 2013)*

(6A) For the purposes of subsections (3), (4) and (6), where the credit derivative contract concerned is cleared by a qualifying CCP, the words "the attributed risk-weight of the credit protection provider" in those subsections are deemed to read as—

(a) "a risk-weight of 2%" if—

(i) the authorized institution concerned is a clearing member of the qualifying CCP; or

(ii) the authorized institution concerned is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) are met; or

(b) "a risk-weight of 4%" if the authorized institution concerned is a client of a clearing member of the qualifying CCP, and all the conditions set out in section 226ZA(6) (excluding the condition set out in section 226ZA(6)(a)(iii)) are met. *(L.N. 51 of 2013)*

(7) If an authorized institution has obtained tranched credit protection for its exposure, it must—

(a) decompose the exposure into a protected sub-tranche and an unprotected sub-tranche; and

(b) determine the risk-weighted amount of the exposure in accordance with Part 7. *(L.N. 175 of 2017)*

(8) Where the credit protection in respect of an authorized institution's exposure takes the form of an issue of credit-linked notes by the institution, the institution—

(a) may only treat that amount of the exposure which is equivalent to the cash funding received from the notes as being fully covered;

(b) must treat the credit protection covered portion of the exposure as an exposure collateralized by cash deposit; and *(L.N. 156 of 2012)*

(c) must allocate a risk-weight of 1250% to the first loss portion, being any specified amount of loss, on the happening of a credit event, below which the protection seller is not obliged to share in the loss. *(L.N. 156 of 2012)*

Division 8—Multiple Recognized Credit Risk Mitigation and Maturity Mismatches

136. Multiple recognized credit risk mitigation

(1) Where in respect of a single exposure of an authorized institution to an obligor, 2 or more forms of recognized credit risk mitigation have been used by the institution, the institution shall calculate the risk-weighted amount of the exposure in accordance with these Rules by dividing the exposure into the portions which respectively represent the proportions of the exposure covered by each of the forms of recognized credit risk mitigation so used.

(2) Where in respect of a single exposure of an authorized institution to an obligor, there is an overlap of coverage between 2 or more forms of recognized credit risk mitigation used by the institution, the institution may select, in respect of the portion of the exposure covered by the overlap, the recognized credit risk mitigation which result in the lowest risk-weighted amount of that portion of the exposure covered by the overlap.

(3) Where an authorized institution has an exposure to an obligor in the form of a general banking facility consisting of 2 or more credit lines—

(a) the institution may, in calculating its risk-weighted amount in respect of the credit lines, allocate any credit protection taken in respect of the exposure amongst the individual exposures under each of the credit lines; and

(b) if the institution exercises its discretion under paragraph (a), the institution shall aggregate the risk-weighted amounts of the individual exposures under each of the credit lines to determine the total risk-weighted amount of the exposure in respect of the general banking facility.

137. Maturity mismatches

(1) Where the credit protection provided in respect of an exposure of an authorized institution (other than the netting of OTC derivative transactions and credit derivative contracts) has a residual maturity which is shorter than the residual maturity of the exposure, the institution shall not take into account the credit risk mitigation effect of that credit protection for the purposes of this Part.

(2) For the purposes of calculating the respective maturities of an exposure of an authorized institution and any credit protection covering the exposure—

(a) if the credit protection is in the form of recognized collateral, guarantees or credit derivative contracts, the institution shall, at any time before the obligor in respect of the exposure to which the credit protection relates performs the obligor’s obligations, take the effective maturity of the exposure to be the longest possible remaining time after taking into account any applicable grace period provided for in the terms of the exposure;

(b) if the terms of the credit protection provide for an option which may reduce the term of that credit protection, the institution shall take into account the option and the earliest possible date upon which it may be exercised;

(c) if the terms of the credit protection provide that the credit protection provider may terminate the credit protection before its maturity, the institution shall take the maturity of the credit protection to be the first date upon which the credit protection provider may so terminate the credit protection; and

(d) if the terms of the credit protection permit the institution to terminate the credit protection before its maturity and there is a positive incentive for the institution to exercise its discretion so to do, the institution shall take the maturity of the credit protection to be the time left to run before the earliest date upon which the institution may exercise the discretion.

(3) For the purposes of this section, the residual maturity of credit protection which is recognized collateral falling within section 125(1)(a) shall be taken to be the period for which it will continue to fulfil the requirements of section 124 applicable to the credit protection. *(L.N. 156 of 2012)*